BOOK 1& LAST

APA STRATEGY & TRADING PHYSIOLOGY

Derives, forex, indices, metals crypto



JM MAKER

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Disclaimer

The information provided in this book is for educational and informational purposes only and should not be construed as financial or investment advice. Forex trading involves significant risk and may not be suitable for all investors. Past performance is not indicative of future results. Before engaging in any form of trading, you should fully understand the risks involved, seek independent financial advice if necessary, and ensure that your own risk tolerance and financial situation are appropriate for trading in the foreign exchange market.

The author and publisher of this book are not responsible for any financial losses incurred through the application of any techniques or strategies discussed. The examples and strategies provided are meant to illustrate trading concepts and should not be relied upon to make actual trading decisions. You are solely responsible for your investment decisions and actions.

Abstract

As a forex trader, the journey to mastering the market has been one filled with challenges, frustrations, and constant learning. Like many traders, I found myself navigating the complexities of volatile markets, price movements, and liquidity zones with only limited success at first. Each step taught me something new, but it wasn't until I began to develop a structured approach—one that combined market theory with practical liquidity management—that I started to see real progress.

This book is the culmination of countless hours of market study, observation, and trial and error. It presents a strategy that has not only transformed the way I trade but has also deepened my understanding of how market forces, such as liquidity and price action, truly interact. The methods outlined here are the product of hard-earned experience, designed to simplify the process of trading and give you the tools needed to navigate the markets confidently.

This isn't just a strategy book—it's a reflection of my personal growth as a trader, from struggling with inconsistencies to developing a system that has brought clarity and precision to my trades. I hope that the insights and techniques I share will guide you toward a more successful and structured approach to trading, saving you time and helping you avoid the pitfalls I encountered along the way.

FOREX MARKET OVERVIEW

The **Forex Market** is the global marketplace for trading currencies. Currency exchange involves simultaneously buying one currency and selling another. For example, in the **EUR/USD pair**, if someone buys EUR/USD, they are buying **Euros** and selling **US Dollars** at the same time. Forex trading requires a market—this is where participants (buyers and sellers) interact.

Key Participants in the Forex Market:

- **Hedge Funds**
- **Corporations**
- **Retail Traders**
- **Governments**
- **Brokers**
- **Investment Funds**

These participants play a vital role in market liquidity by placing various types of orders in the market, which drives price movement.

Liquidity in Forex

In advanced price action trading, **liquidity** is the lifeblood of the market. The term refers to the **orders (money)** that are placed in the market. For the market to function, orders must be placed by participants, and these orders are what drive price movements.

Types of Orders:

- **Limit Orders**: Orders placed to buy or sell at a specific price.
- **Stop Orders**: Orders executed once the price reaches a predefined level.

Since market movements are driven by orders, price action—represented by candlesticks—reflects the market's attempts to fill these orders. Therefore, the market moves towards areas where there are high concentrations of unfilled orders.

Area of Liquidity

An **Area of Liquidity** refers to specific price zones where the probability of finding orders (buyers and sellers) is high. These zones are critical in price action analysis because they represent areas where the market is most likely to react due to the presence of significant orders.

Characteristics of Liquidity Areas:

- **Marketplaces**: Liquidity areas function like marketplaces where buyers and sellers meet.
- **Order Concentration**: The higher the concentration of orders, the stronger the area of liquidity.
- **Market Movers**: Large players, such as institutions and hedge funds, place big orders in these areas, causing the market to move in response.

The Role of Liquidity in the Market

- **Liquidity Fuels the Market**: Without liquidity, the market wouldn't move. Liquidity is essential for price movement, and it's the process of filling orders (liquidation) that drives trends.
- **Market Movement**: The entire movement of candlesticks is a reflection of the market trying to fill orders. As orders are filled, price reacts, creating the patterns and trends traders observe.

In essence, **liquidity** is the driving force of the Forex market. To understand price movement, traders must grasp the dynamics of liquidity, where it resides, and how orders placed by market participants influence price.

Combining the Theory

In the **Forex Market**, trading involves buying or selling currencies based on the placement of **limit orders**, **stop orders**, or **market execution orders**. These orders are found within **liquidity areas** or **liquidity pools**, which represent high-probability zones for finding active buyers and sellers.

- **Participants** (buyers and sellers) interact within these areas, and the process of filling these orders is called **liquidation**.
- Traders must focus on these areas because trading outside of liquidity zones may lead to low-probability trades due to the lack of order flow.

Trend in Forex Trading

A **trend** refers to the general direction in which the market is moving over a specific time period. Understanding the market trend is crucial for traders to make informed decisions.

Types of Trends:

1. **Downtrend**: The market is moving lower, forming lower highs and lower lows.
2. **Uptrend**: The market is moving higher, forming higher highs and higher lows.
3. **Consolidation/Range**: The market is moving sideways, confined within a horizontal range.

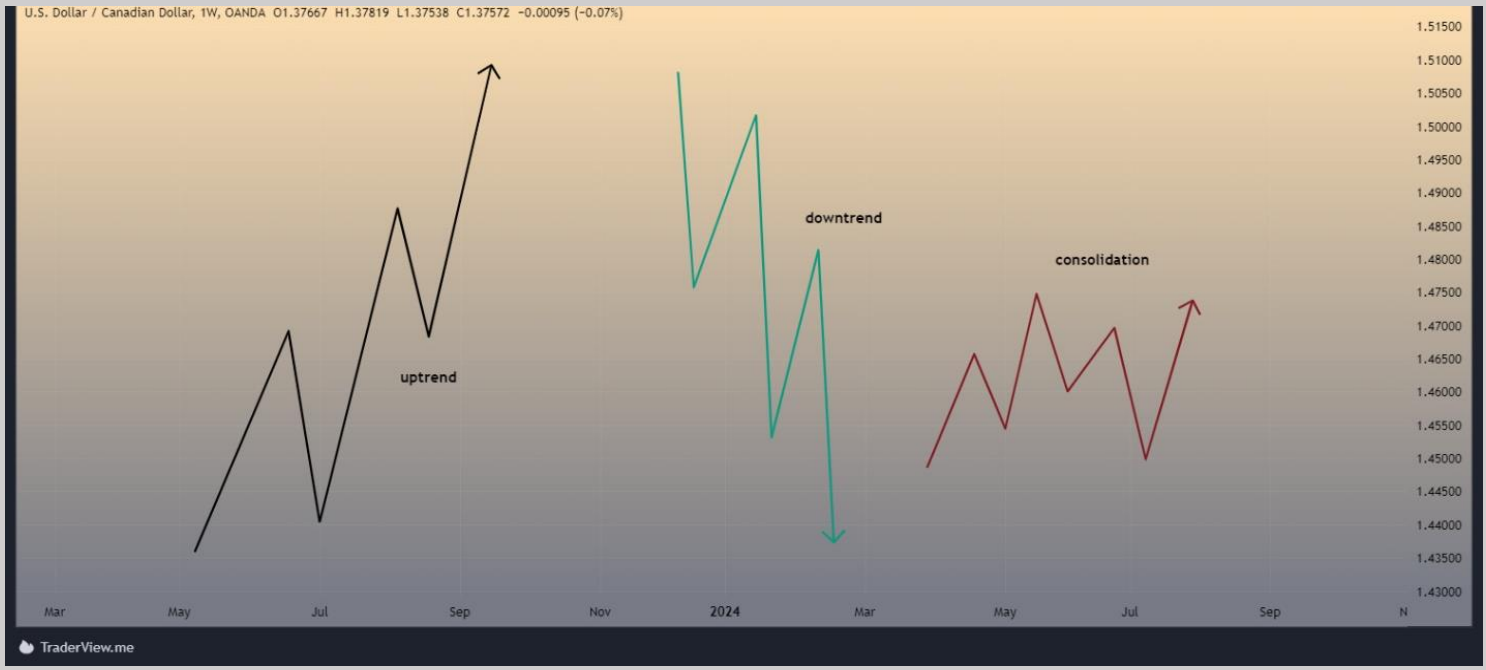


Figure 1 market trend

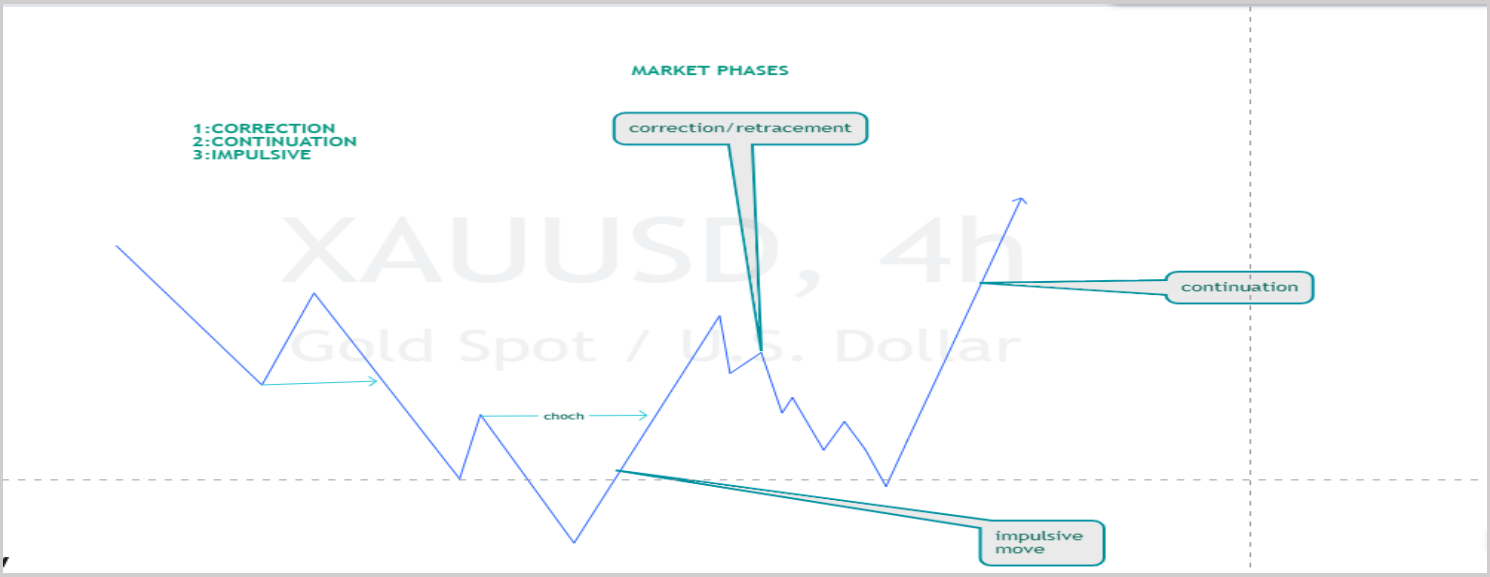


Figure 2 market phases

Market Structure

Market structure is a critical aspect of price action trading, describing the relationship between price movements over time. It can be divided into the following phases:

1. **Reversal**: When the market changes its direction from bullish to bearish or bearish to bullish.
2. **Continuation**: When the market keeps moving in the same direction, either bullish (uptrend) or bearish (downtrend).

Area of Liquidity

An **area of liquidity** is a zone in the market where there is a high concentration of orders. These areas are essential for understanding price movements because they act as points where the market is likely to react.

Key Components of Liquidity Areas:

1. **Validation Point**: This is where the market confirms the dominance of a particular side (either buyers or sellers). It indicates that a certain level holds strength.
2. **Invalidation Point**: This is where the market signals that dominance has shifted. If the market closes below or above this level, it shows that the previous trend or liquidity area has been invalidated.

Uptrend (Bullish Market)

An uptrend or bullish market refers to a scenario where the market consistently moves higher, forming higher highs and higher lows.

Classification of Bullish Markets:

1. **Pure Bullish**: In this case, the market moves higher without returning to the area of liquidity. This indicates the presence of strong liquidity above the previously broken level.

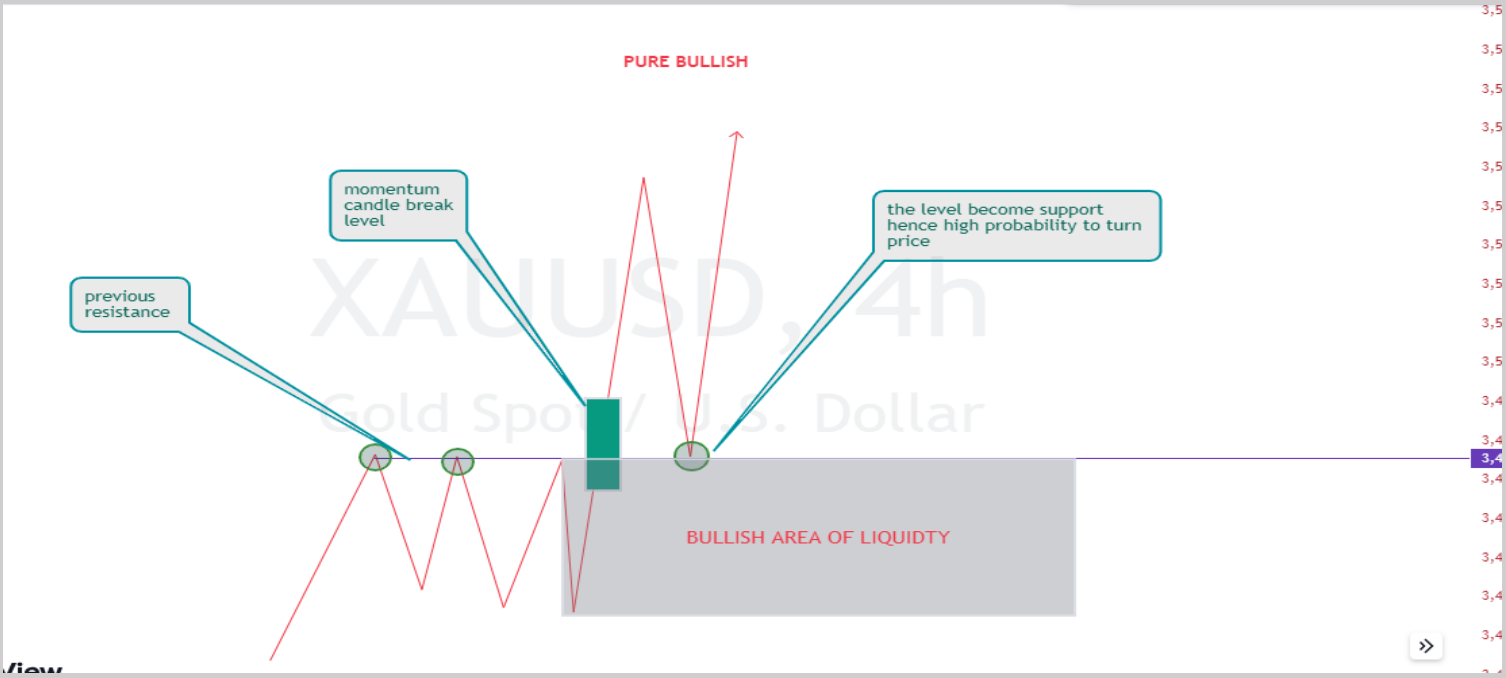


Figure 3 pure bullish

2. **Different Bullish**: This occurs when the price retraces deeply back into the area of liquidity to gather enough liquidity before resuming the upward trend. In this scenario, the price dips into the **validation and invalidation zones** to gather more liquidity.

Bearish Market

In contrast to an uptrend, a **bearish market** (downtrend) occurs when the market forms lower lows and lower highs, indicating selling pressure.

Bearish Market Phases:

- **Pure Bearish**: Similar to pure bullish but in the opposite direction. The market moves down without retracing into the liquidity area, showing strong selling pressure.

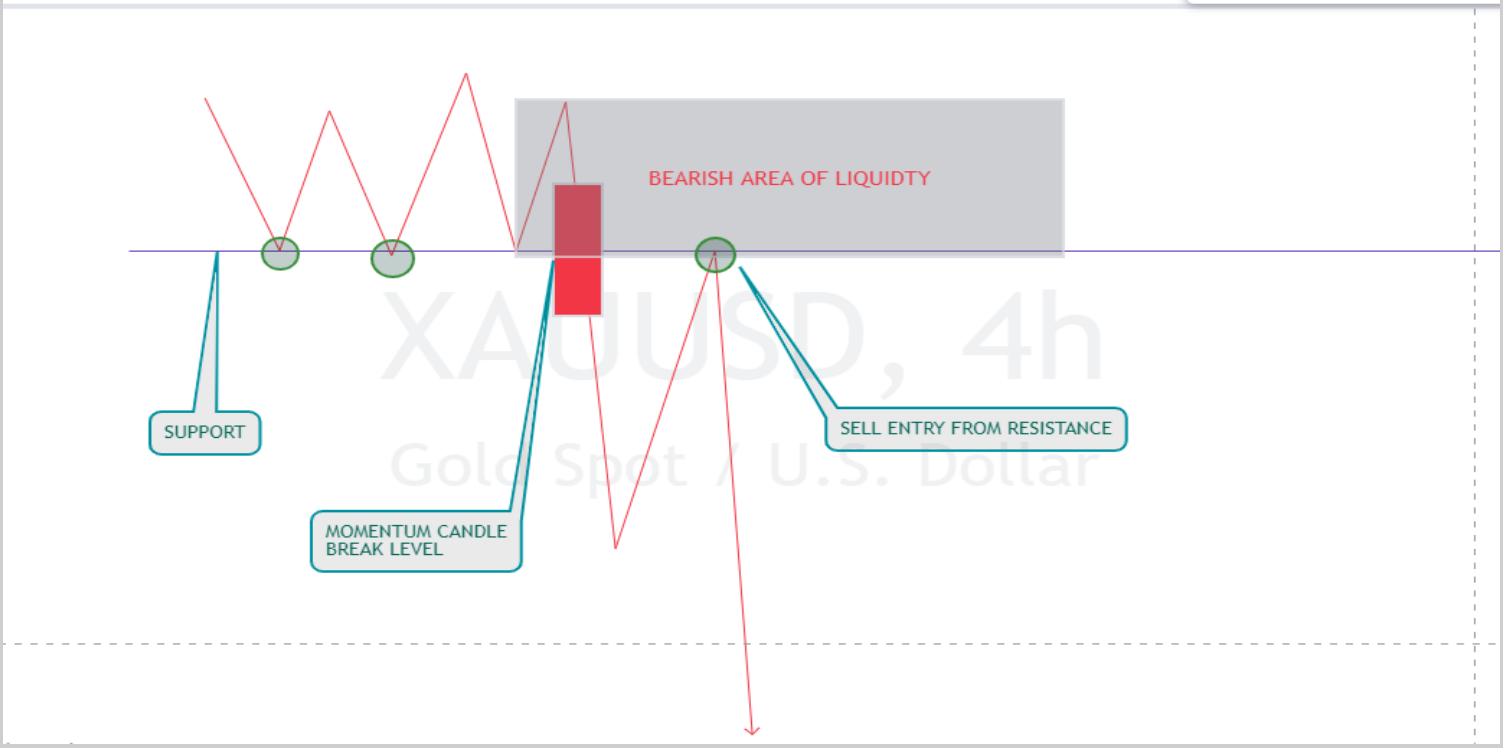


Figure 4 pure bearish

- **Different Bearish**: The price retraces back to the liquidity area before continuing its downward movement.

Importance of Understanding Market Phases

1. **Market Positioning**: Knowing the current phase of the market helps traders understand where they are in the overall market cycle, aiding in strategic decisions.
2. **Trade Decisions**: The phases guide traders on whether to continue with the trend or prepare for a reversal.
3. **Potential Movement**: Phases give insights into potential market movements, allowing traders to manage risk and plan for trade exits or entries.

The Role of Liquidity in Market Phases

Liquidity plays a significant role in determining how the market behaves in different phases. In a **pure trend** (bullish or bearish), the market does not revisit the area of liquidity, as there is enough liquidity to drive the price in the current direction. However, in a **different trend**, the market retraces deeply to gather liquidity before continuing in its original direction.

- In a **different bullish case**, the price retraces deeply into the area of liquidity (validation and invalidation zone) to gather the required liquidity for the next upward movement.
- In a **different bearish case**, the price retraces back into the liquidity zone to gather sufficient orders before resuming the downward trend.

Levels of Liquidity Engineering

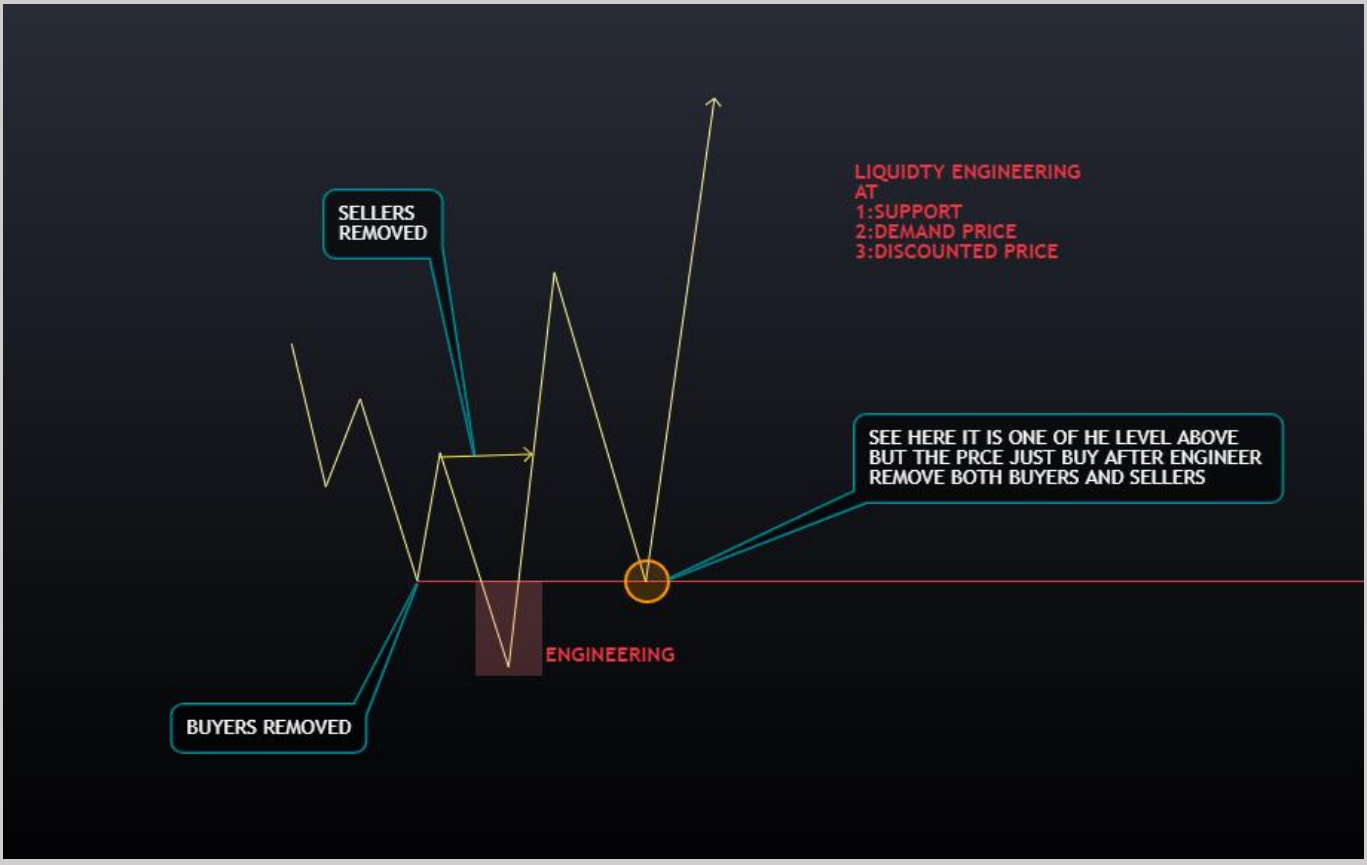
Liquidity engineering refers to how the market manipulates or creates price action to attract traders to wrong side of the market, only for institutions or large players to take the opposite side. This involves making the market appear as if it is headed in one direction, calling retail traders to enter positions, while institutional traders do the exact opposite.

1. Support, Demand, and Discounted Price

Traders typically look to buy at low prices (discounted prices), from support levels, or when the price reaches a demand area. These are areas where the market is expected to rise.

- **Liquidity Engineering**: Institutions may manipulate these zones by creating false signals. They might drive the price to a demand zone or discounted price, signaling a buying opportunity. However, their true intention is also to buy, but after sweeping out early buyers. As a result, many traders may interpret this as a flip in the level, believing it's now a sell zone. When these traders take sell trades, they too are swept as liquidity, enabling institutions to finally buy and drive the price in the correct direction. Therefore, we can validate buying at support, demand, or discounted prices **after the liquidity has been engineered**.

Support, Demand, and Discounted Price

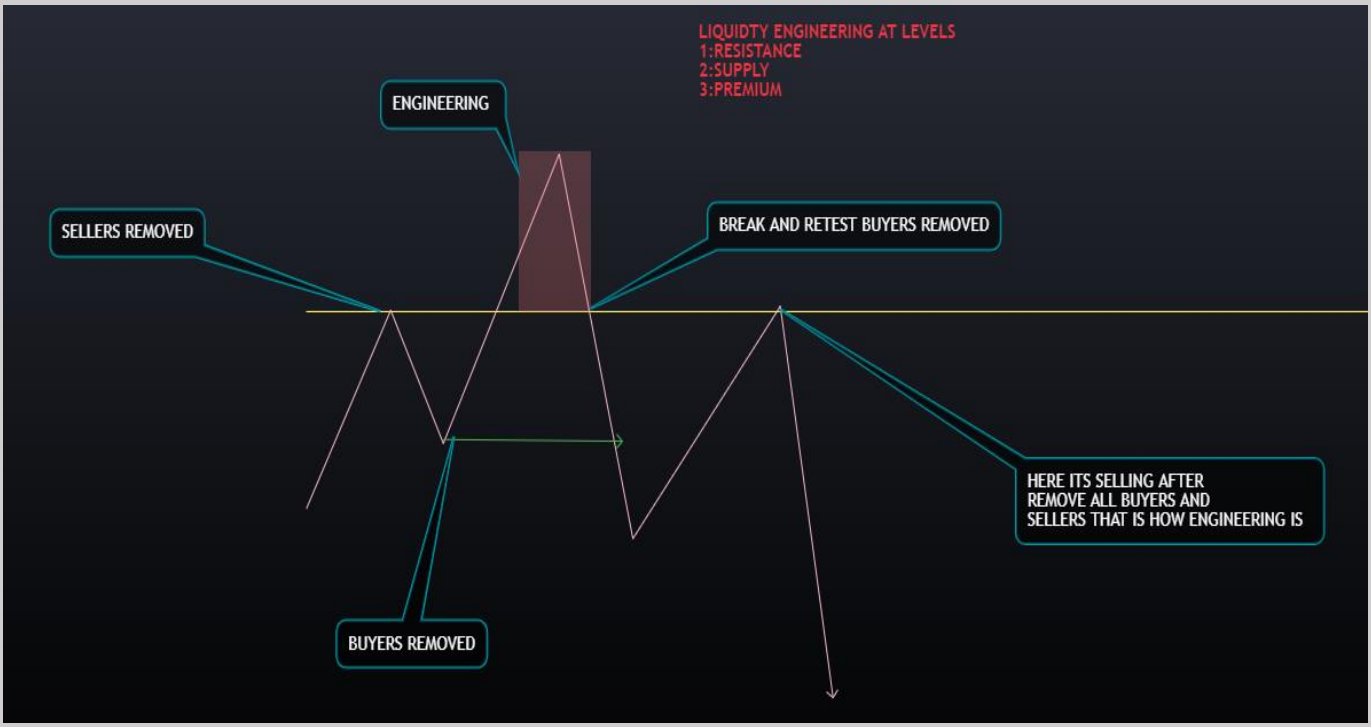


2. Resistance, Supply, and Premium Price

Traders usually aim to sell at high prices (premium prices), at resistance levels, or when the price reaches a supply area, as these are areas where the market is expected to reverse or fall.

- **Liquidity Engineering**: Institutions often manipulate these zones to create false signals. They may drive the price to a supply zone or a premium price, signaling a selling opportunity. However, their true intention is also to sell, but after sweeping out early sellers. Many traders might see the price breaking through resistance or the

supply zone and assume it's a new buying opportunity, only to get swept out again as liquidity. Once this happens, institutions sell at the premium price and drive the market in the correct downward direction. Therefore, we can validate selling at resistance, supply, or premium prices **after the liquidity has been engineered**.



HOW TO SPOT LIQUIDTY ENGINEERING

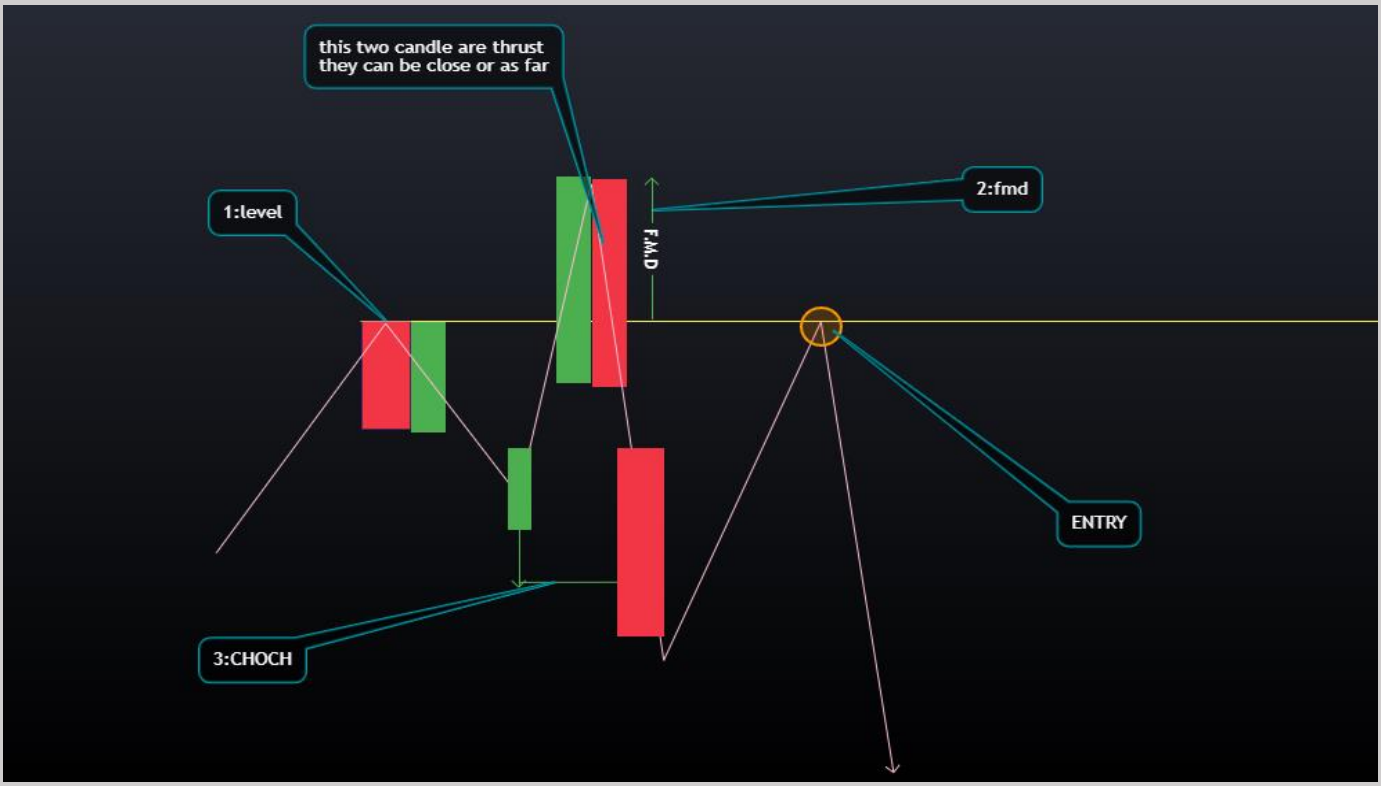
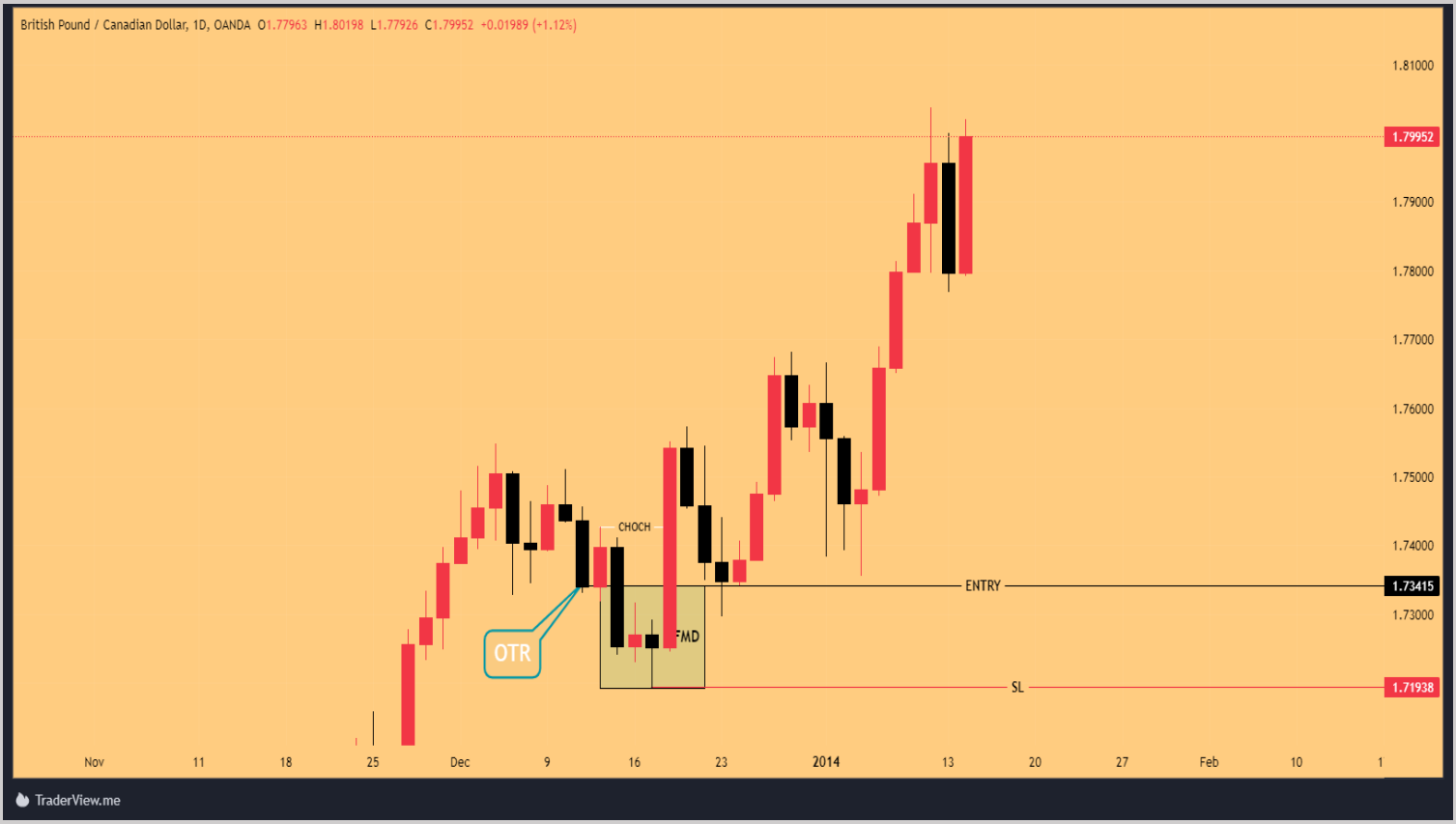


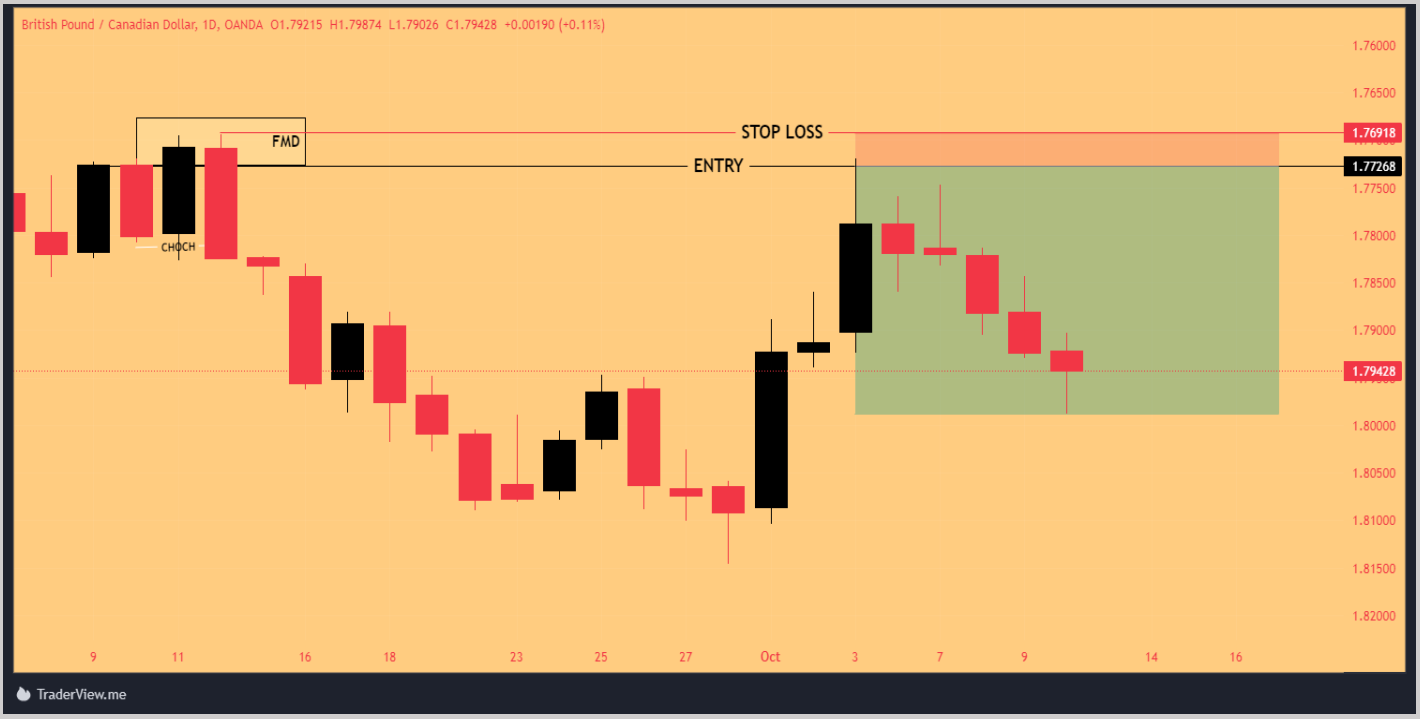
Figure 5:LIQUIDTY ENGINERING

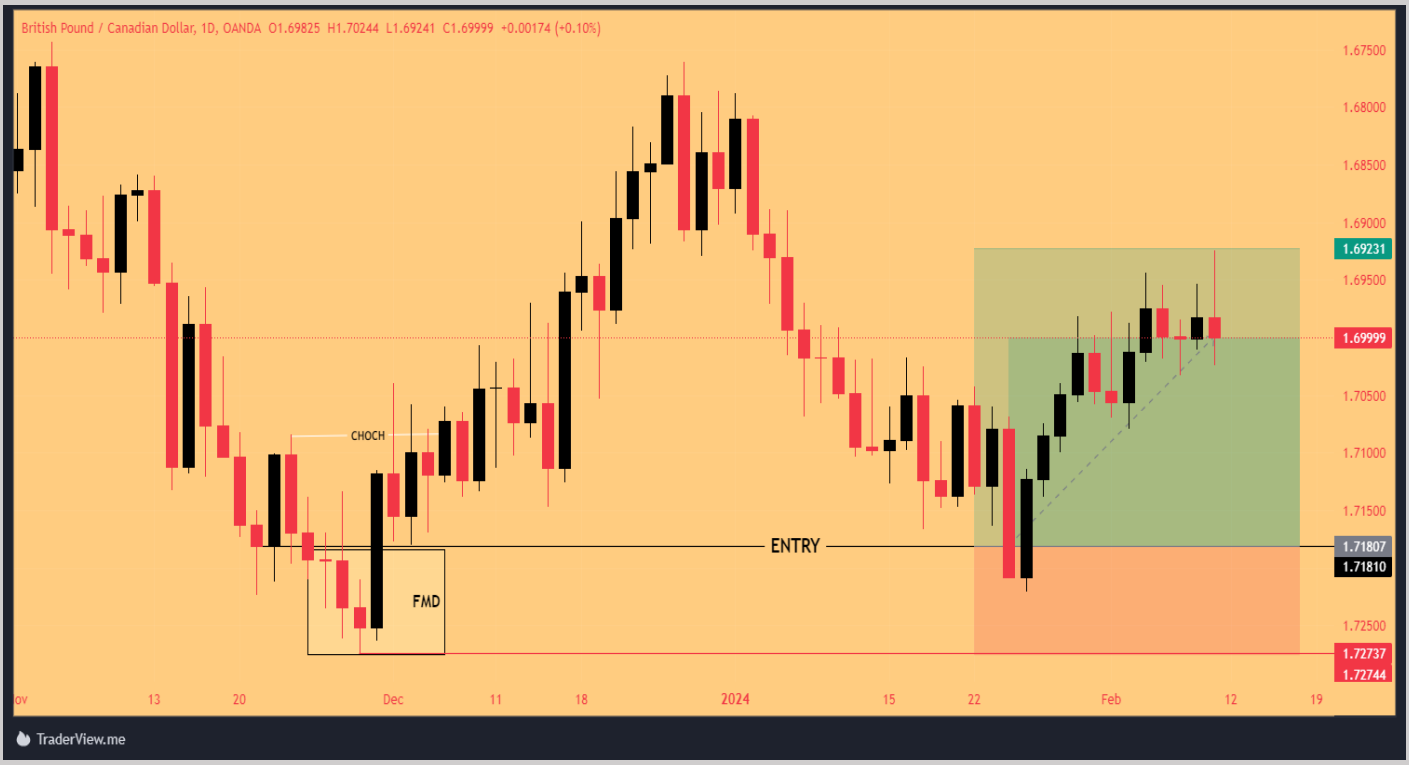
INORDER TO SPOT LIQUIDTY ENGINERING

- ✓ LEVEL which price seems to turn there that we can call it overthrow
- ✓ Thrust candlestick above the level and inside the level
- ✓ Fmd (further most deviation) that is for stop loss
- ✓ Choch also we need to have change of character

EXAMPLE OF LIQUIDTY ENGINERING



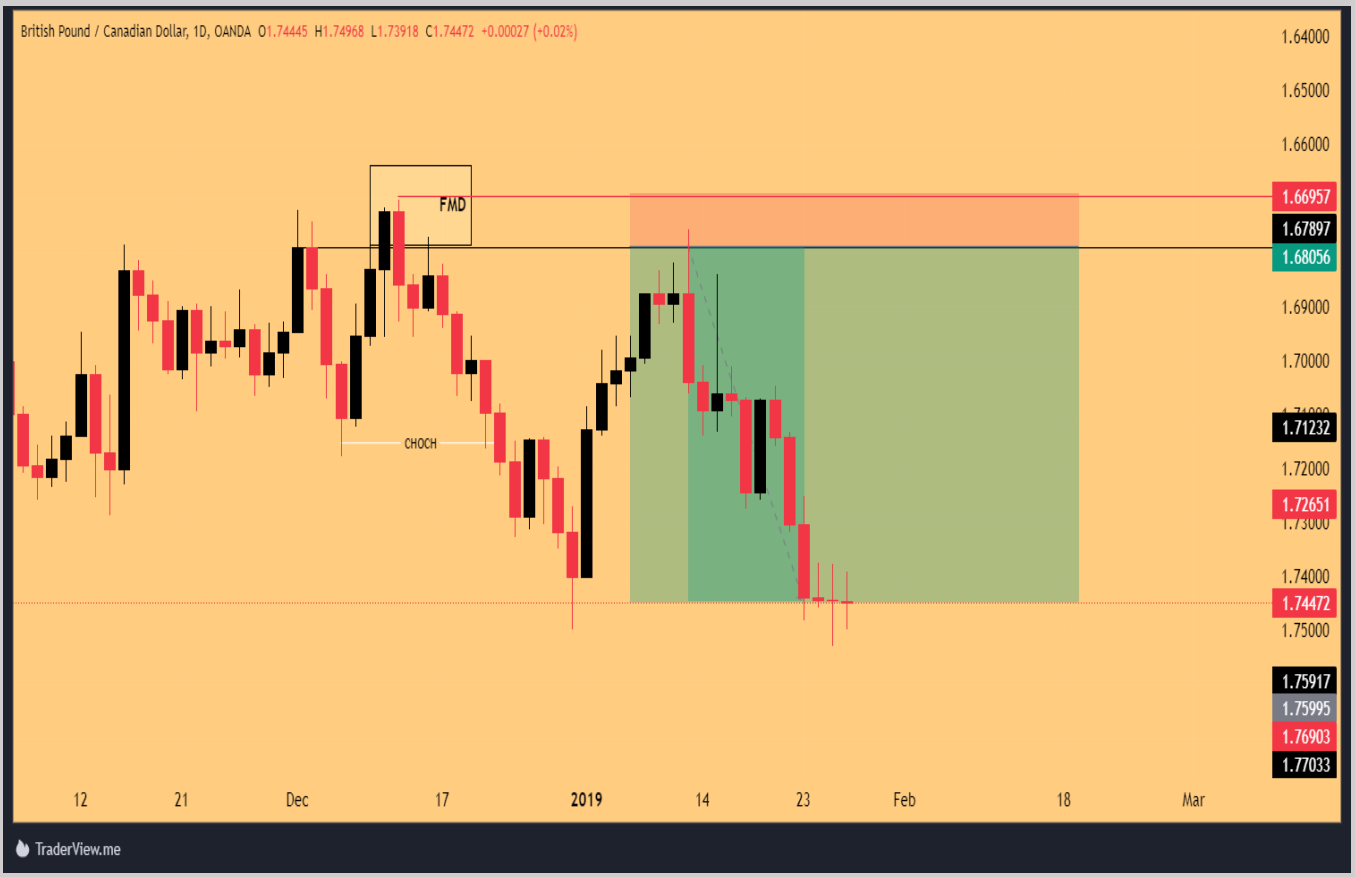

British Pound / Canadian Dollar, 1D, OANDA O1.79215 H1.79874 L1.79026 C1.79428 +0.00190 (+0.11%)
FMD
CHOCH
STOP LOSS
ENTRY
1.76000
1.76500
1.76918
1.77268
1.77500
1.78000
1.78500
1.79000
1.79428
1.80000
1.80500
1.81000
1.81500
1.82000
9
11
16
18
23
25
27
Oct
3
7
9
14
16
TraderView.me


British Pound / Canadian Dollar, 1D, OANDA O1.69825 H1.70244 L1.69241 C1.69999 +0.00174 (+0.10%)
CHOCH
FMD
ENTRY
1.67500
1.68000
1.68500
1.69000
1.69231
1.69500
1.69999
1.70500
1.71000
1.71500
1.71807
1.71810
1.72500
1.72737
1.72744
13
20
Dec
11
18
2024
15
22
Feb
12
19
TraderView.me

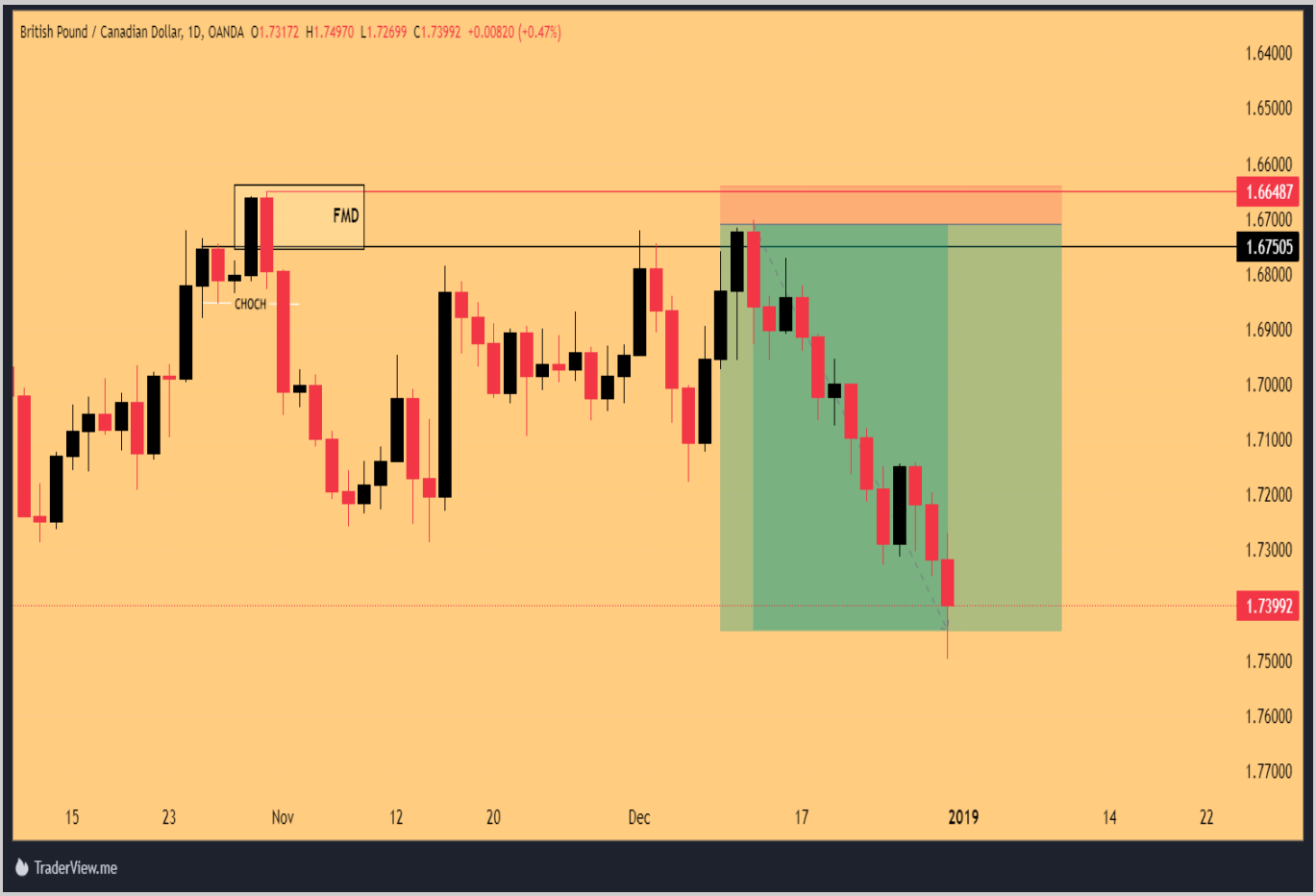

British Pound / Canadian Dollar, 1D, OANDA O1.76946 H1.77142 L1.76198 C1.76566 −0.00380 (−0.21%)
FMD
CHOCH
ENTRY
1.71232
1.72651
1.76566
Dec
7
14
21
28
2021
11
18
25
Feb
8
15
22
TraderView.me

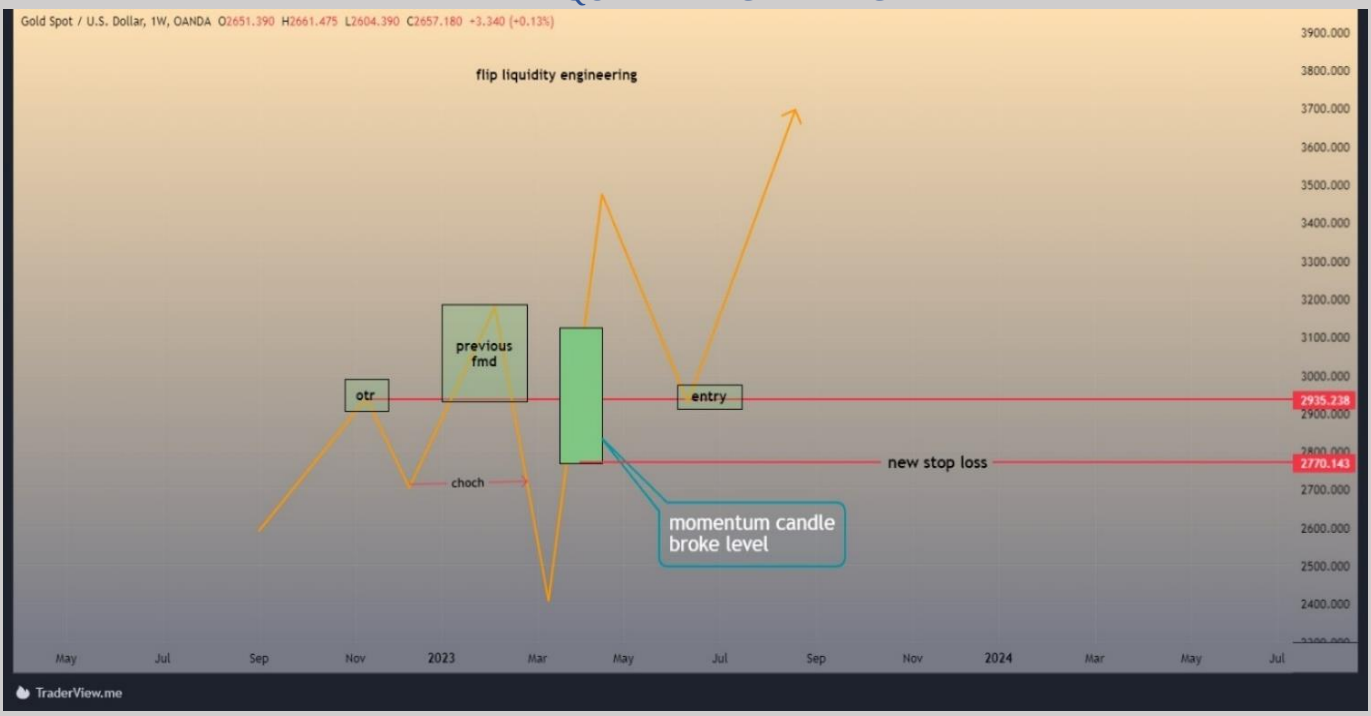

British Pound / Canadian Dollar, 1D, OANDA O1.68966 H1.69364 L1.68106 C1.68620 −0.00346 (−0.20%)
CHOCH
FMD
1.68056
1.68620
1.71232
1.72651
1.75917
1.75995
1.76903
1.77033
May
18
Jun
15
Jul
13
Aug
17
Sep
14
Oct
TraderView.me

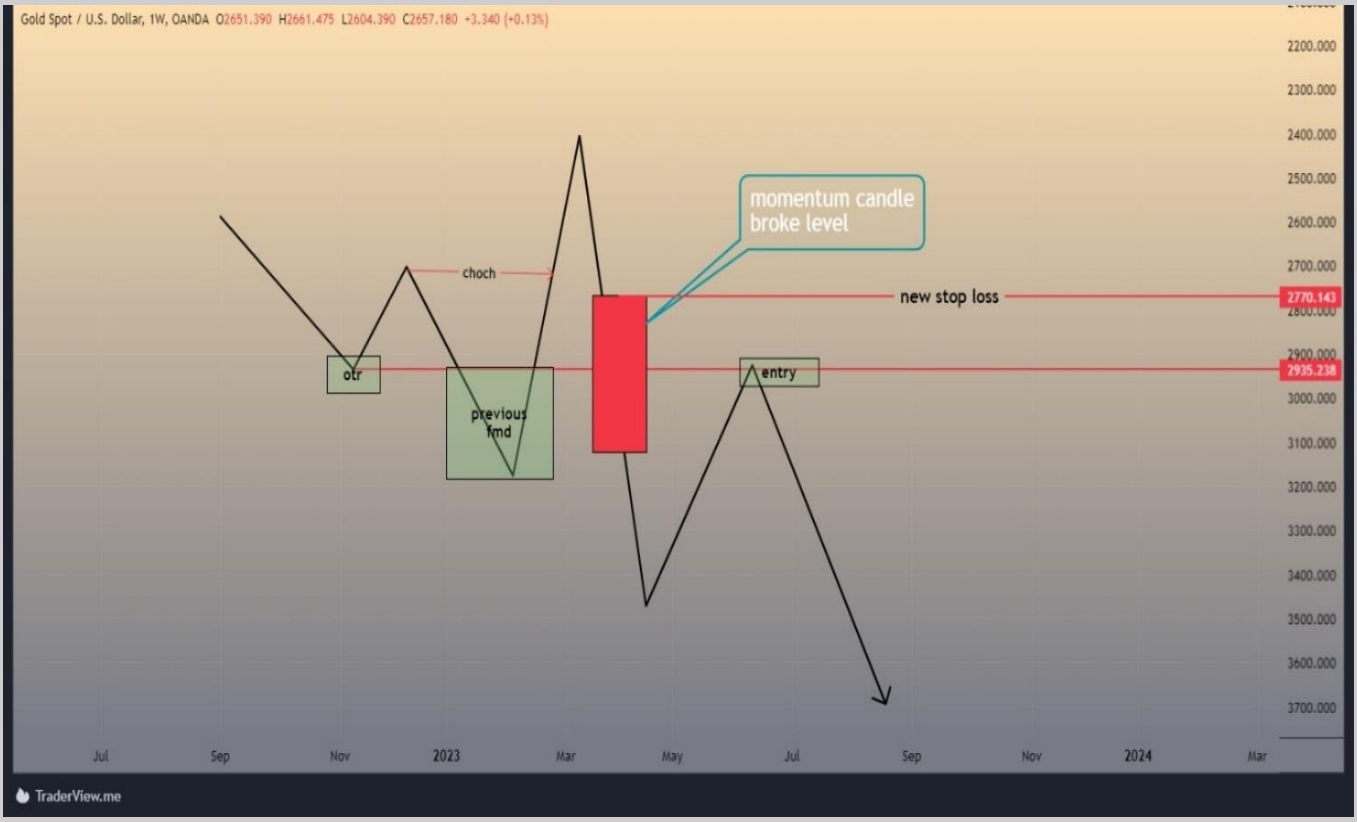

British Pound / Canadian Dollar, 1D, OANDA O1.69340 H1.70534 L1.68710 C1.70456 +0.01116 (+0.66%)
CHOCH
1.59806
1.68056
1.70456
1.71232
15
23
Aug
12
20
Sep
16
Oct
14
22
TraderView.me


British Pound / Canadian Dollar, 1D, OANDA O1.74445 H1.74968 L1.73918 C1.74472 +0.00027 (+0.02%)
FMD
CHOCH
1.66957
1.67897
1.68056
1.71232
1.72651
1.74472
1.75917
1.75995
1.76903
1.77033
12
21
Dec
17
2019
14
23
Feb
18
Mar
TraderView.me


British Pound / Canadian Dollar, 1D, OANDA O1.68333 H1.68554 L1.65655 C1.65947 −0.02386 (−1.42%)
1.64000
1.65857
1.65947
1.68000
1.70000
1.72000
1.74000
1.76000
1.77349
1.77365
1.78512
1.78531
1.80000
CHOCH
FMD
Apr
17
May
15
23
Jun
12
20
Jul
17
TraderView.me


British Pound / Canadian Dollar, 1D, OANDA O1.73172 H1.74970 L1.72699 C1.73992 +0.00820 (+0.47%)
1.64000
1.65000
1.66000
1.66487
1.67000
1.67505
1.68000
1.69000
1.70000
1.71000
1.72000
1.73000
1.73992
1.75000
1.76000
1.77000
FMD
CHOCH
15
23
Nov
12
20
Dec
17
2019
14
22
TraderView.me


Gold Spot / U.S. Dollar, 1W, OANDA O2651.390 H2661.475 L2604.390 C2657.180 +3.340 (+0.13%)
flip liquidity engineering
previous fmd
otr
entry
choch
new stop loss
momentum candle broke level
2935.238
2770.143
May Jul Sep Nov 2023 Mar May Jul Sep Nov 2024 Mar May Jul
TraderView.me


Gold Spot / U.S. Dollar, 1W, OANDA O2651.390 H2661.475 L2604.390 C2657.180 +3.340 (+0.13%)
momentum candle broke level
choch
new stop loss
otr
entry
previous fmd
2770.143
2935.238
Jul Sep Nov 2023 Mar May Jul Sep Nov 2024 Mar
TraderView.me

FLIP EXAMPLE



AREAS OF LIQUIDTY

TYPE 1 ENGULFING

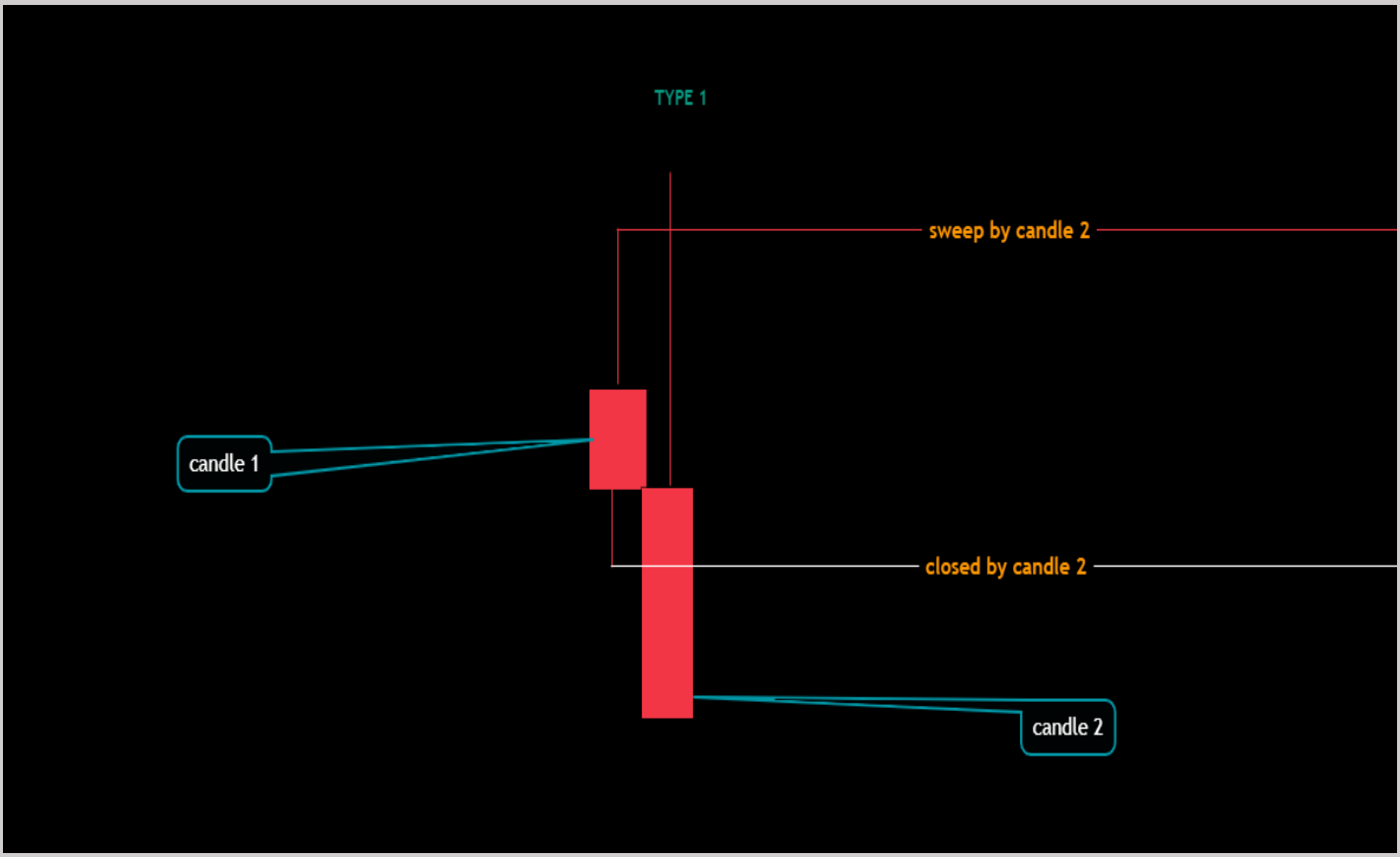
- BEARISH ENGULFING AREA OF LIQUIDTY
- BULLISH ENGULFING AREA OF LIQUIDTY

BEARISH ENGULFING AREA OF LIQUIDTY

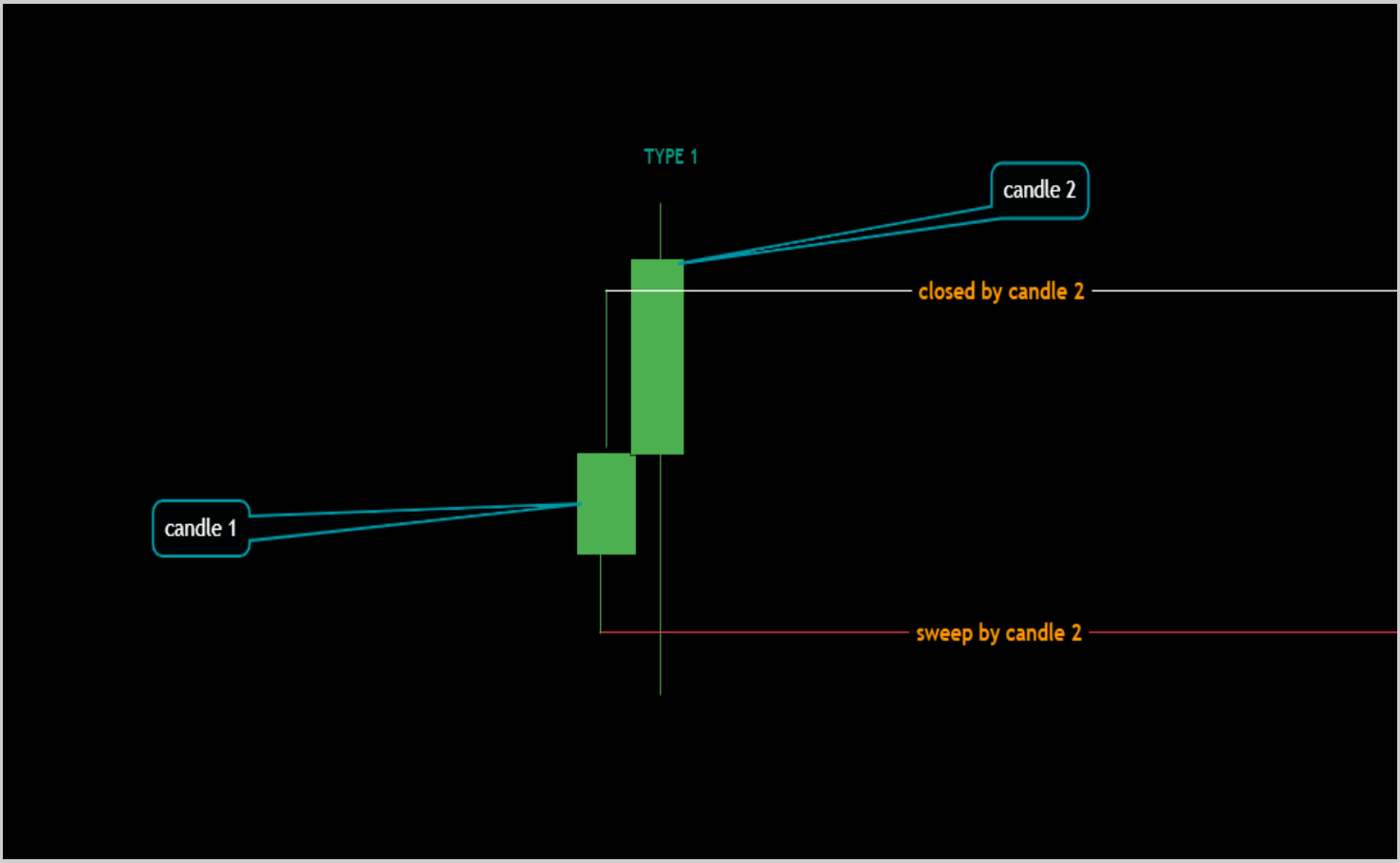
Bearish Engulfing Condition:

- **Both Candles Bearish**: The pattern involves two consecutive bearish candles.
- **Large Wick**: The latest candle must have a significant wick that sweeps through and extends beyond the previous candle's range.
- **Complete Engulfing**: The closing price of the latest candle must be below the closing price of the previous candle, fully engulfing it, including any wick of the previous candle.

STRUCTURE FOR TYPE 1 BEARISH SCENARIO



2. **Liquidity Characteristics:**
   - **Powerful Area**: This zone represents a powerful liquidity area where the market has shown strong selling pressure.
   - **Market Reaction**: The large wick and complete engulfing indicate a strong shift in market sentiment, making this a key level for potential trades.
   - **Rejection Zone**: The area is often a point where price may react strongly, providing a critical zone for entries or exits.

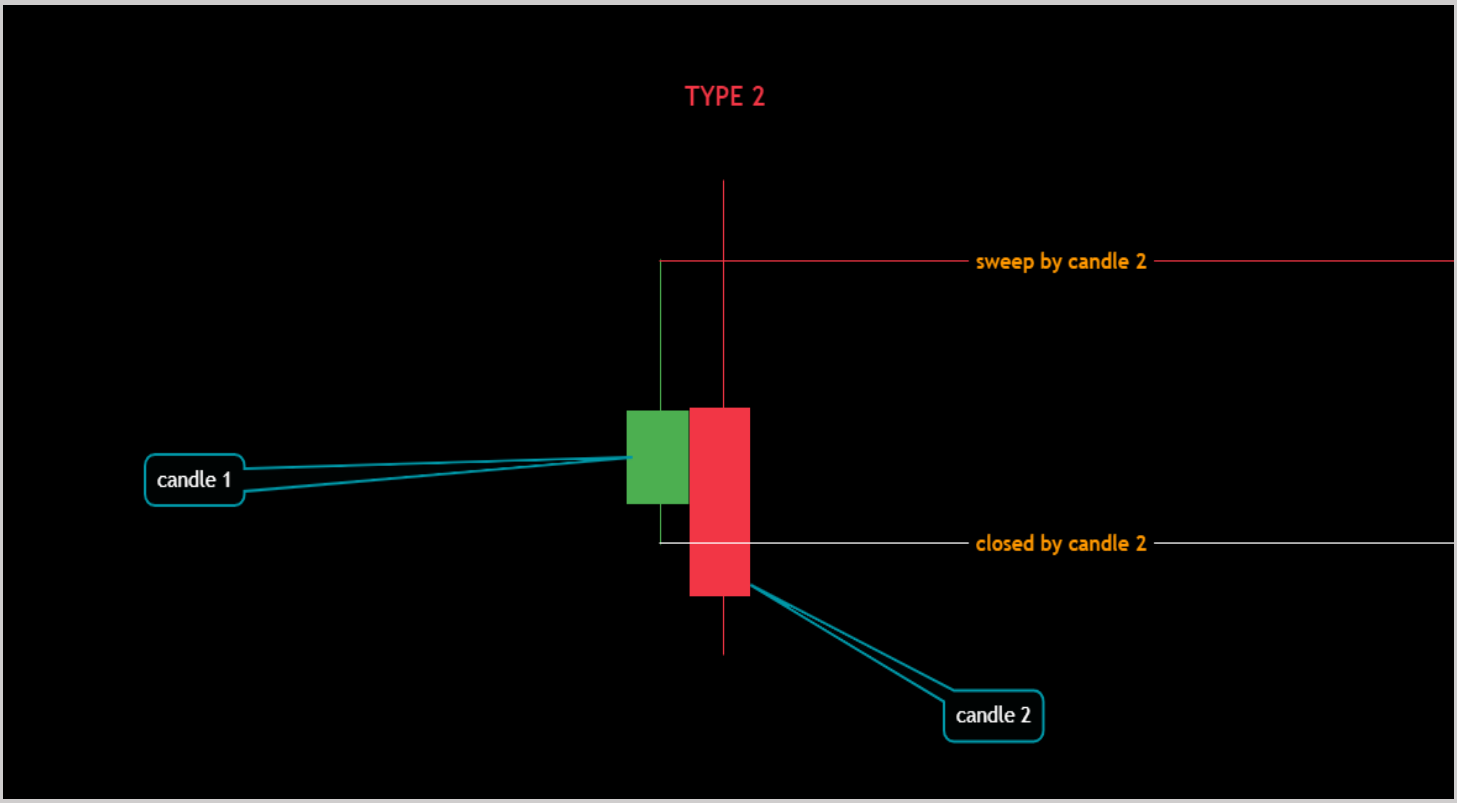


Bullish Engulfing Condition:

- **Both Candles Bullish**: The pattern consists of two consecutive bullish candles.
- **Large Wick**: The latest candle must have a significant wick that extends below and sweeps through the range of the previous candle.
- **Complete Engulfing**: The closing price of the latest candle must be above the closing price of the previous candle, fully engulfing it, including any wick of the previous candle.

2. **Liquidity Characteristics:**
   - **Powerful Zone**: This area represents a significant liquidity zone with strong buying pressure.
   - **Market Reaction**: The large wick and complete engulfing indicate robust buying interest, making this a key level for potential trade setups.
   - **Entry and Exit Points**: Traders may look for price to return to this level and confirm bullish signals before entering trades.


Gold Spot / U.S. Dollar, 1W, OANDA O2651.390 H2659.660 L2604.820 C2615.505 −38.335 (−1.44%)
TYPE 2
validation by closing above the wick of candle 1
3111.013
1
2
sweep by candle 2
invalidation
2829.492
3400.000
3360.000
3320.000
3280.000
3240.000
3200.000
3160.000
3080.000
3040.000
3000.000
2960.000
2920.000
2880.000
2800.000
2760.000
021
May
Sep
2022
May
Sep
2023
May
Aug
2024
May
Sep
2025
TraderView.me


TYPE 2
sweep by candle 2
candle 1
closed by candle 2
candle 2

REAL CHART FOR TYPE 1

CONSTANT TF: DAILY: AREA:TYPE 2:::PAIR:EUR/USD:::ENTRY:LIQUIDITY ENGINERING



REFINEMENT TO SITUTAIONAL 1 TIMEFRAME:H1 FIND L.E



ENTRY VIEW

CONSTANT TF: MONTHLY: AREA:TYPE 2:::PAIR:EUR/USD:::ENTRY:LIQUIDITY ENGINERING



REAL CHART FOR TYPE 1



ENTRY VIEW



TYPE 2



ENTRY


Australian Dollar / Swiss Franc, 4h, OANDA O0.78291 H0.78531 L0.78283 C0.78500 +0.00209 (+0.27%)
M.INVALIDATION
0.82067
TYPE 2
H4.LE
0.81474
M.T2
0.80935
BOS
0.78500
0.82500
0.80500
0.80000
0.79500
0.79000
23
2014
13
20
27
Feb
10
17
24
Mar
10
TraderView.me

TYPE 2


Australian Dollar / Japanese Yen, 1D, OANDA O88.298 H89.297 L88.128 C89.156 +0.858 (+0.97%)
92.032
TYPE 2
DAILY.T2
91.247
89.156
96.000
95.500
95.000
94.500
94.000
93.500
93.000
92.500
91.500
91.000
90.500
90.000
89.500
88.500
88.000
ep
19
Oct
17
Nov
14
Dec
19
2023
16
Feb
14
Mar
TraderView.me

ENTRY



AREA OF LIQUIDTY



ENTRY



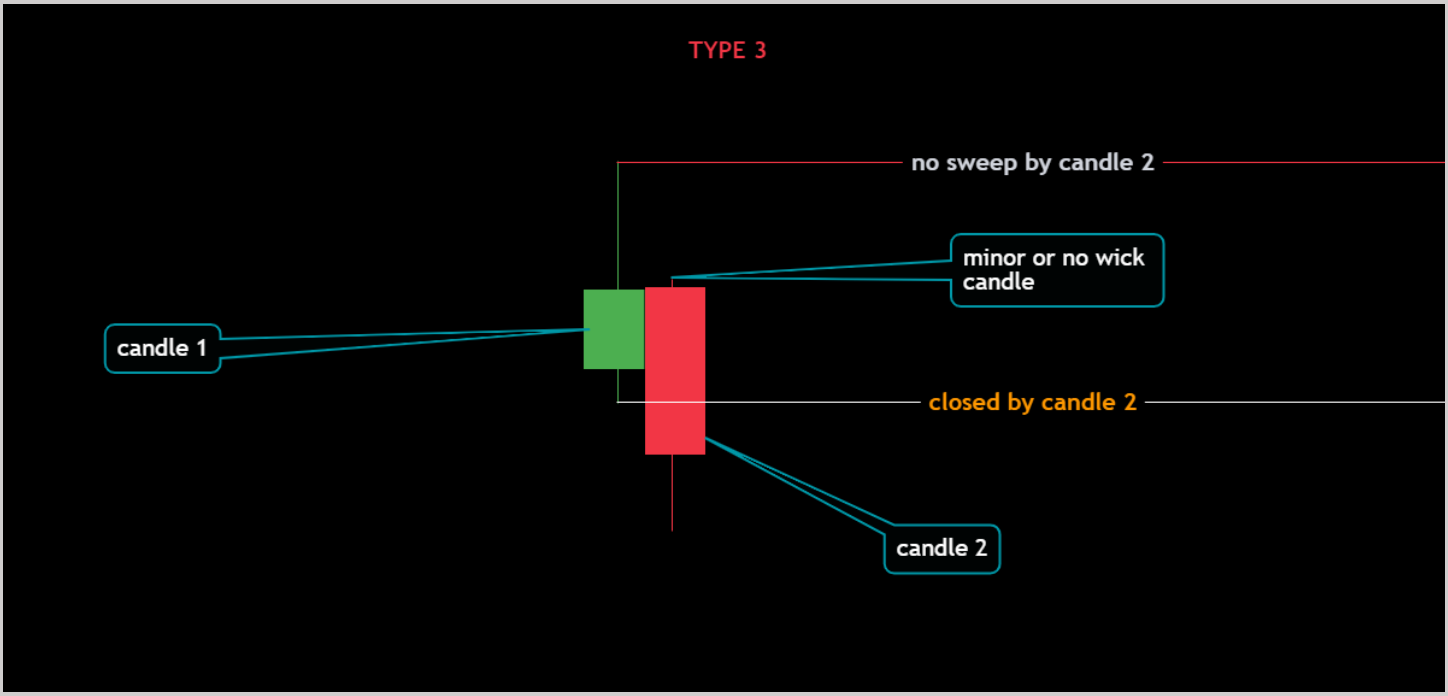
AREA OF LIQUIDTY

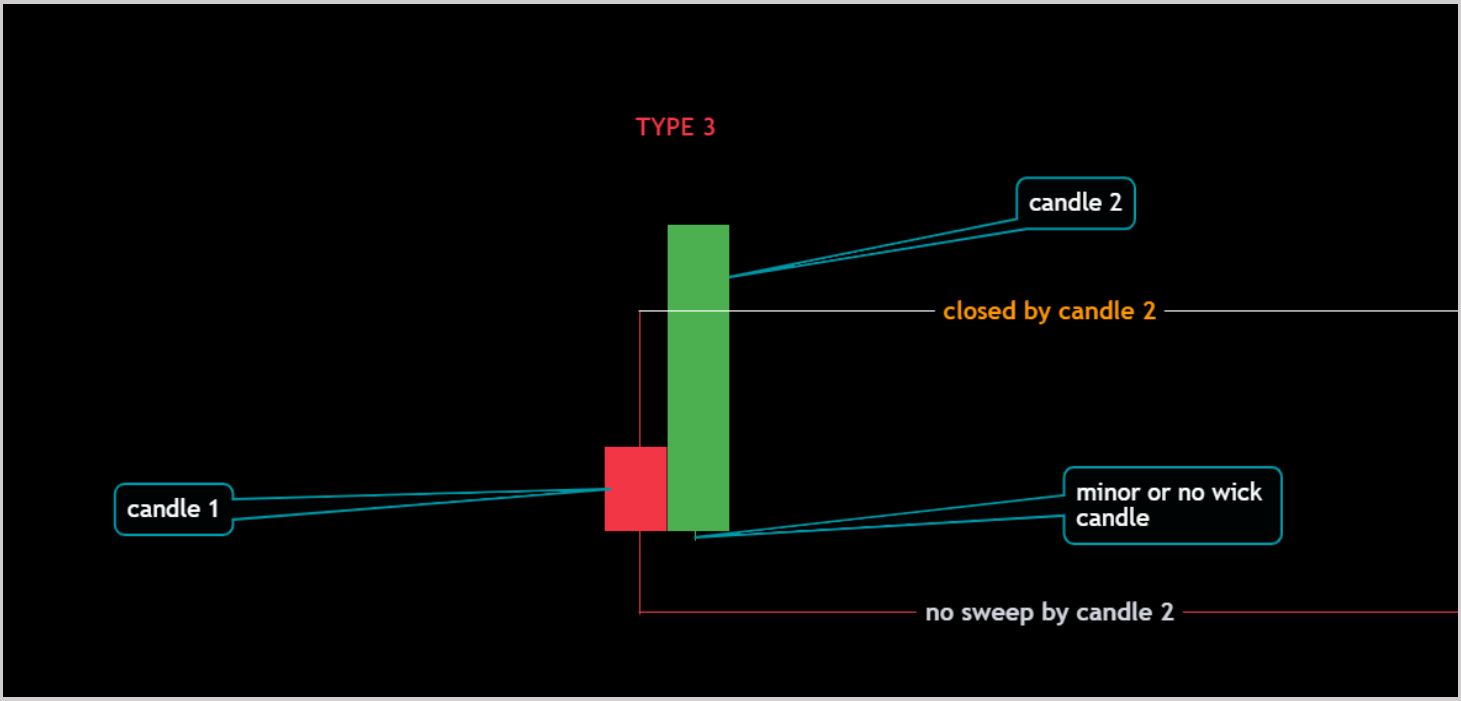


ENTRY VIEW



TYPE 3





TYPE 3 MARKING



TYPE 3 MARKING



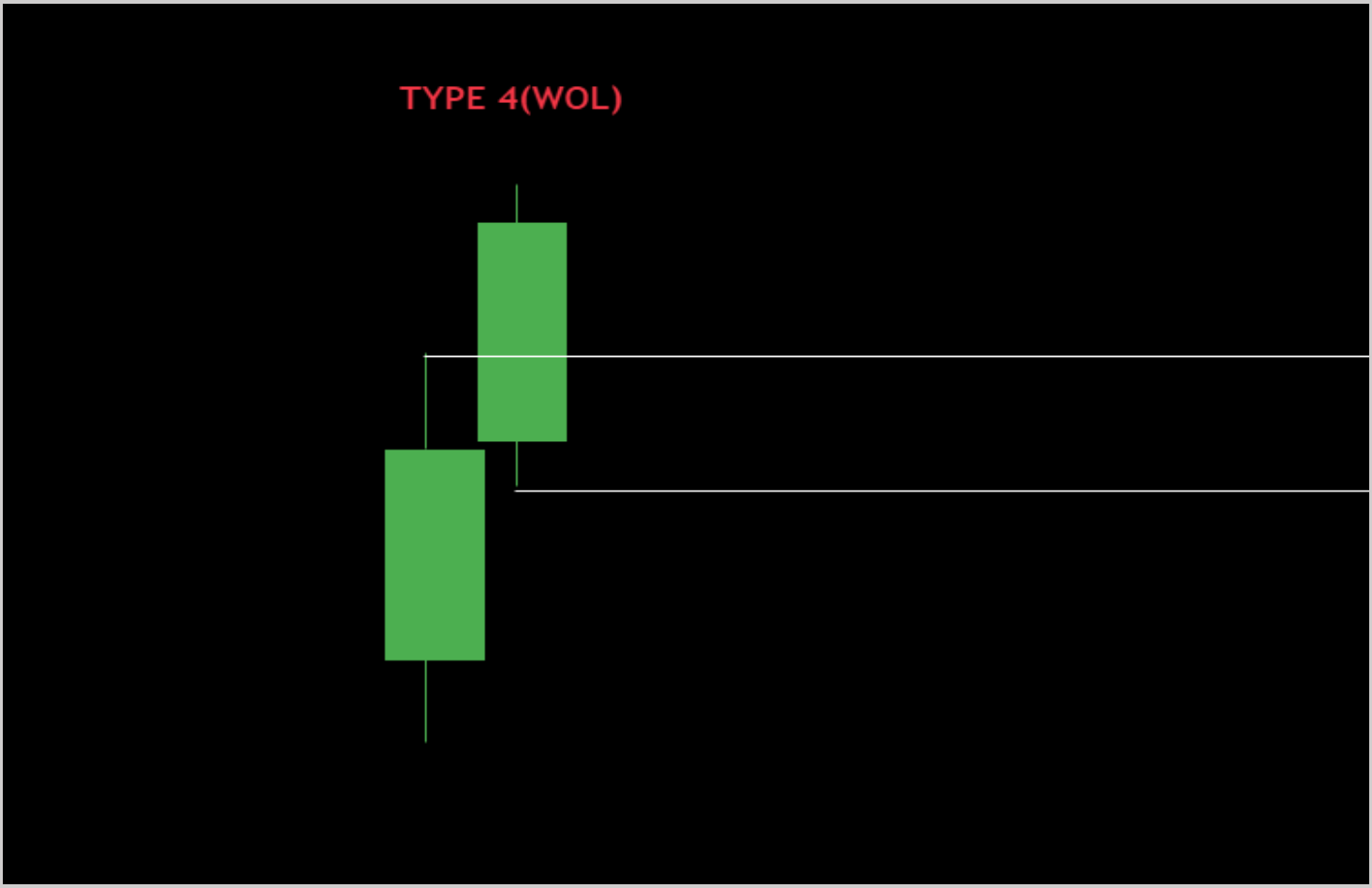
TYPE 3 MARKING

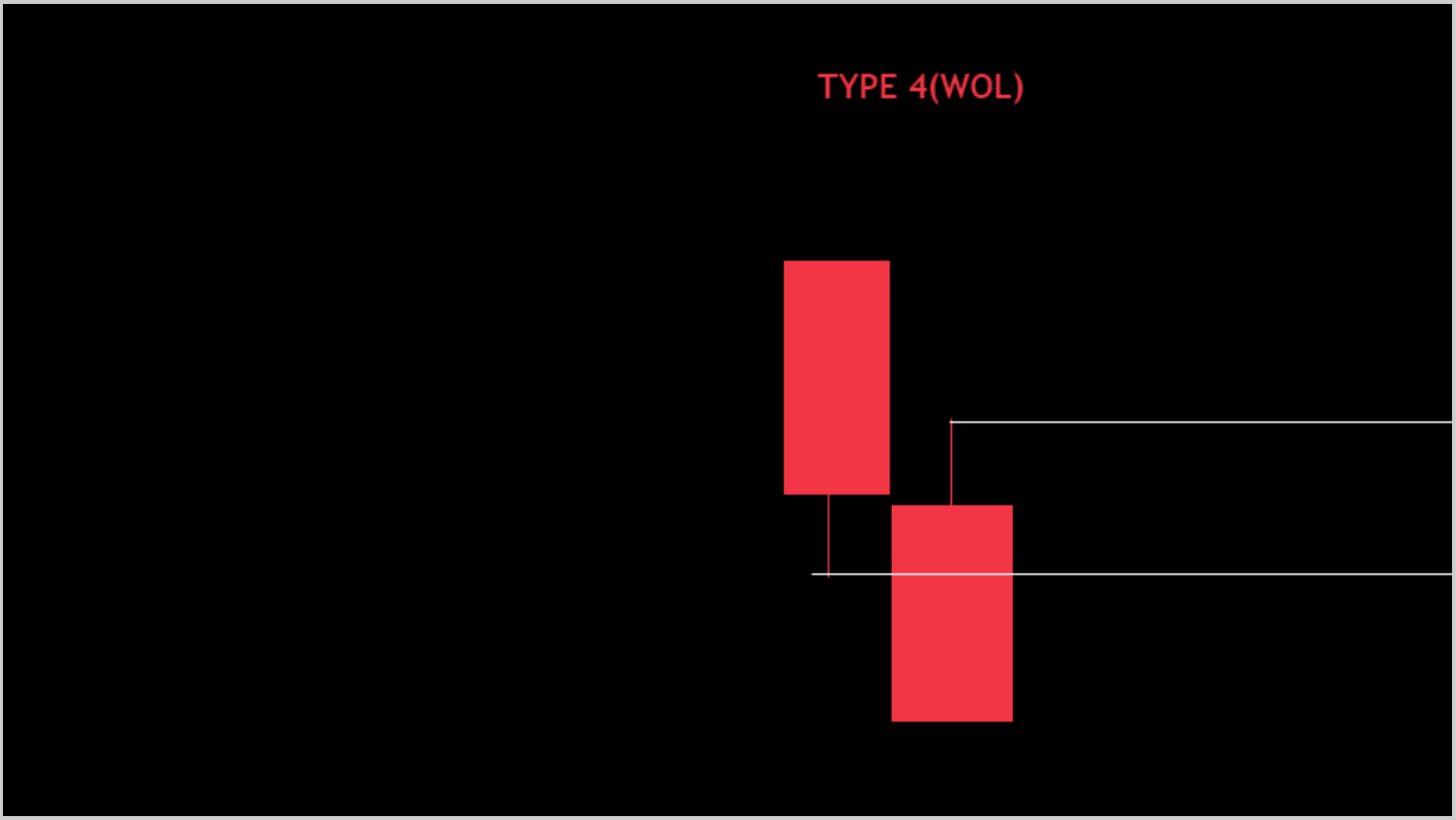


TYPE 3 MARKING



TYPE 4 (it must be spot from weekly and above and you should find structure in one lower timeframe and not coordinated





Spot in monthly so expect weekly to give formation IF THERE SI NO formation then it is invalid



We found structure on weekly and entry



Spotted monthly then we need structure in weekly to validate



We found entry and formation in weekly



We found wick overlap in monthly



Structure found in weekly



Same here



Weekly view


British Pound / U.S. Dollar, 1W, OANDA O1.23835 H1.24250 L1.22307 C1.22394 −0.01441 (−1.16%)
weekly structure
monthly wick overlap
1.42000
1.40000
1.38000
1.36000
1.34000
1.32000
1.30000
1.28000
1.26000
1.24000
1.22394
1.20000
1.18000
1.16000
1.14000
1.12000
Jul
Oct
2022
Apr
Jul
Oct
2023
Apr
Jul
Oct
2024
Apr
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DIRECTIONAL BIAS AND TIMEFRAME CORDINATION

Before everything you firstly we need to understand about how timeframe coordinates.so in time frame coordination there are two things to be considered.

- Structure based
- Time based

STRUCTURE BASED

Structure based timeframe coordination here we are going to learning about how structures coordinates.

LOGIC

We need to trade only when at least two-time frame talks the same language.

Example we will have to place buy entry when monthly state that it is bullish daily it is bullish and 1hr it is bullish

TIME BASED

In this we are going to discuss that there are two cycles required for us to take trade in relation to different timeframes
1: week cycles
2: monthly cycles

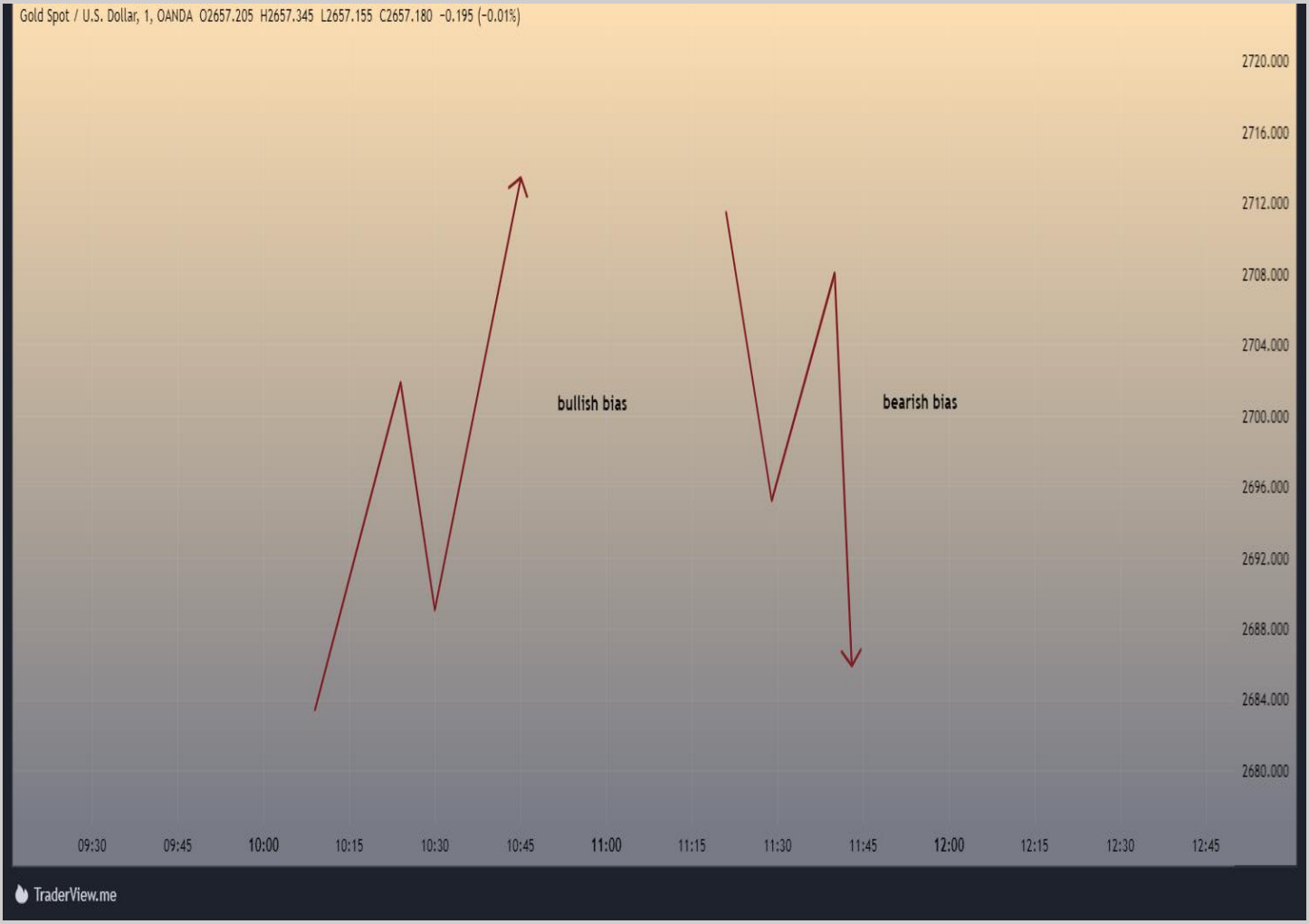
Week--------H4----------→30MIN----------→5MIN----------→3MIN
Monthly----------→1D---------→1H----------→15----------→3MIN

DIRECTIONAL BIAS

Directional bias refers to the overall expectation or belief about where the market is headed—whether up, down, or sideways—based on analysis across multiple timeframes. Each timeframe offers its own perspective on market structure, trends, and liquidity, and combining these perspectives is essential to form a true, cohesive market direction.

In the context of liquidity areas, directional bias is shaped by understanding how price interacts with these key zones across different timeframes:

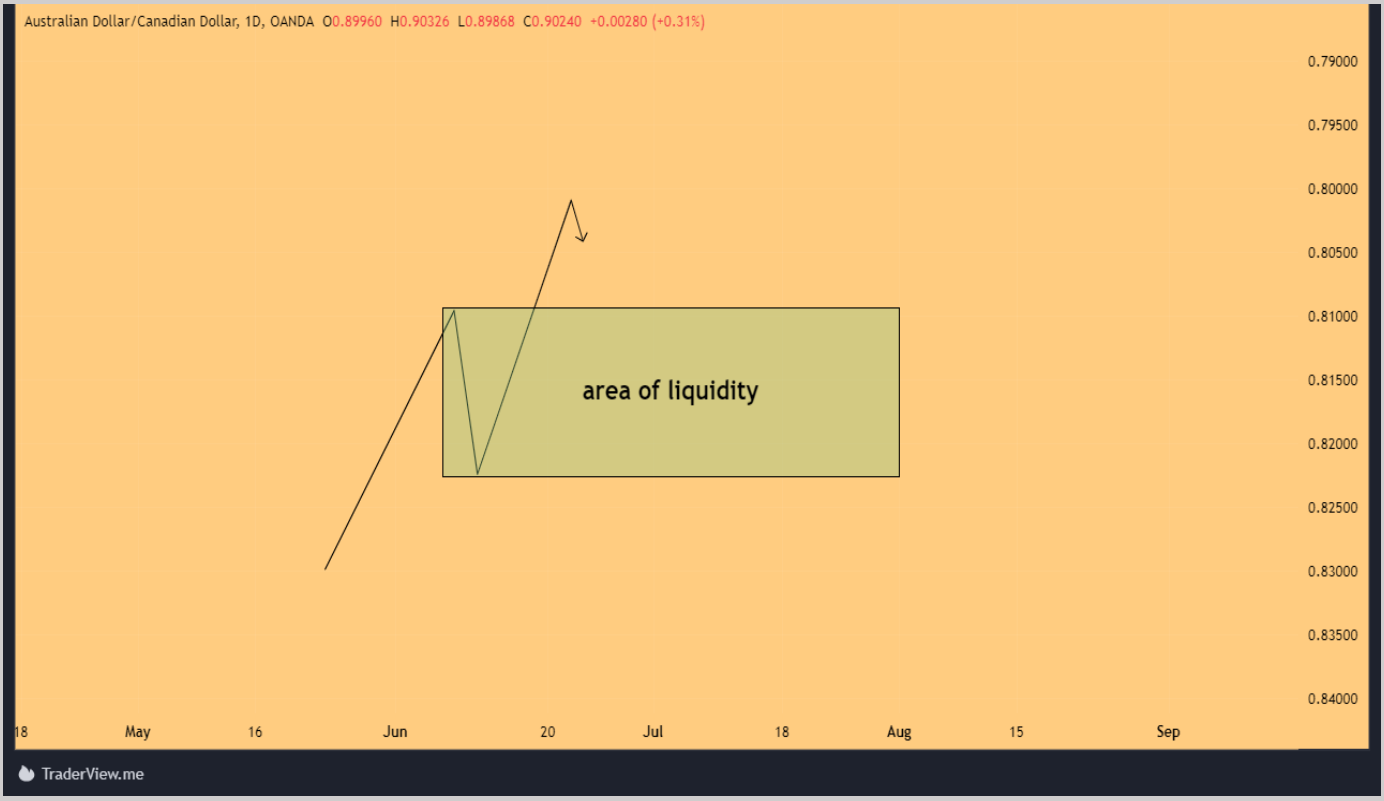
1. **Constant Timeframe as Foundation**: Start by analyzing the constant timeframe (e.g., weekly or daily) to establish the broader market direction. This timeframe helps you identify major areas of liquidity—such as support and resistance zones, areas of demand and supply, or swing highs and lows. These levels represent where large players might be entering or exiting the market, making them crucial to directional bias.
2. **Situational Timeframes for Refinement**: After identifying the broader direction from the constant timeframe, refine your analysis using situational timeframes (e.g., H4, H1). In these lower timeframes, liquidity engineering becomes important, as price might shift within specific zones. These shifts provide clues about whether the market will continue in the same direction or reverse near liquidity areas.


Gold Spot / U.S. Dollar, 1, OANDA O2657.205 H2657.345 L2657.155 C2657.180 −0.195 (−0.01%)
2720.000
2716.000
2712.000
2708.000
2704.000
2700.000
2696.000
2692.000
2688.000
2684.000
2680.000
bullish bias
bearish bias
09:30
09:45
10:00
10:15
10:30
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12:45
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MARKET SHIFT

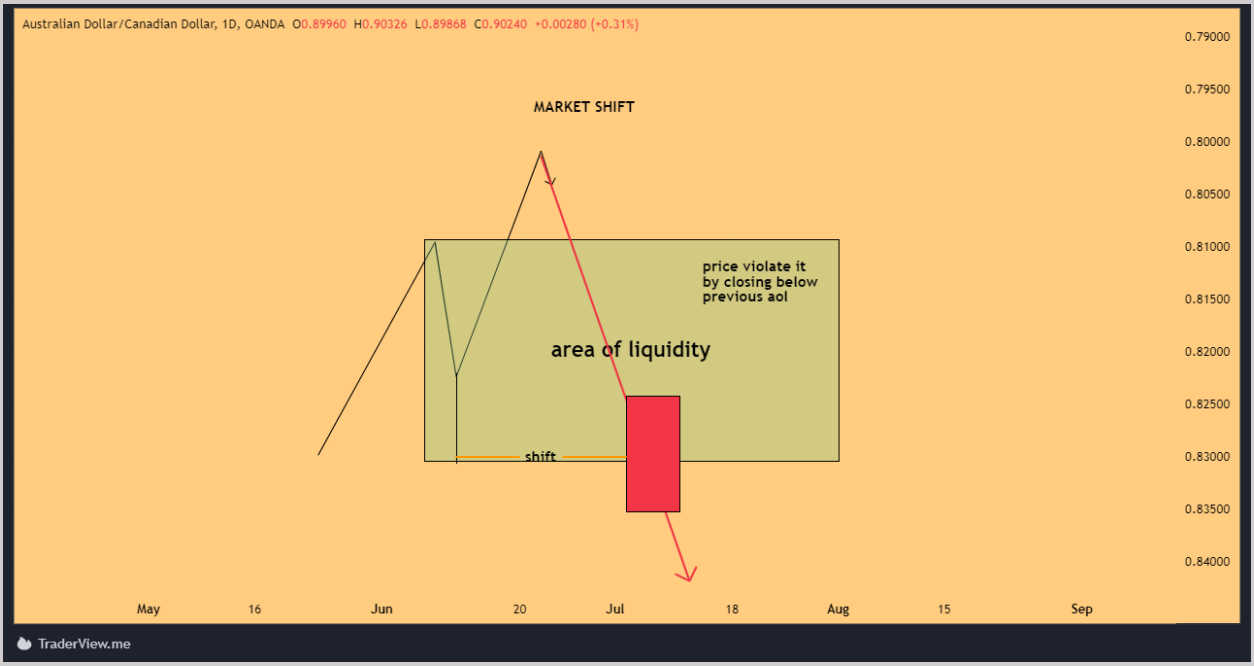
Understanding Market Shift Conditions

In forex trading, recognizing when the market is about to reverse direction is crucial for effectively participating in both buying and selling trades. The concepts of transition, shift point, and reclaim point help traders understand market shifts and adapt their strategies accordingly.

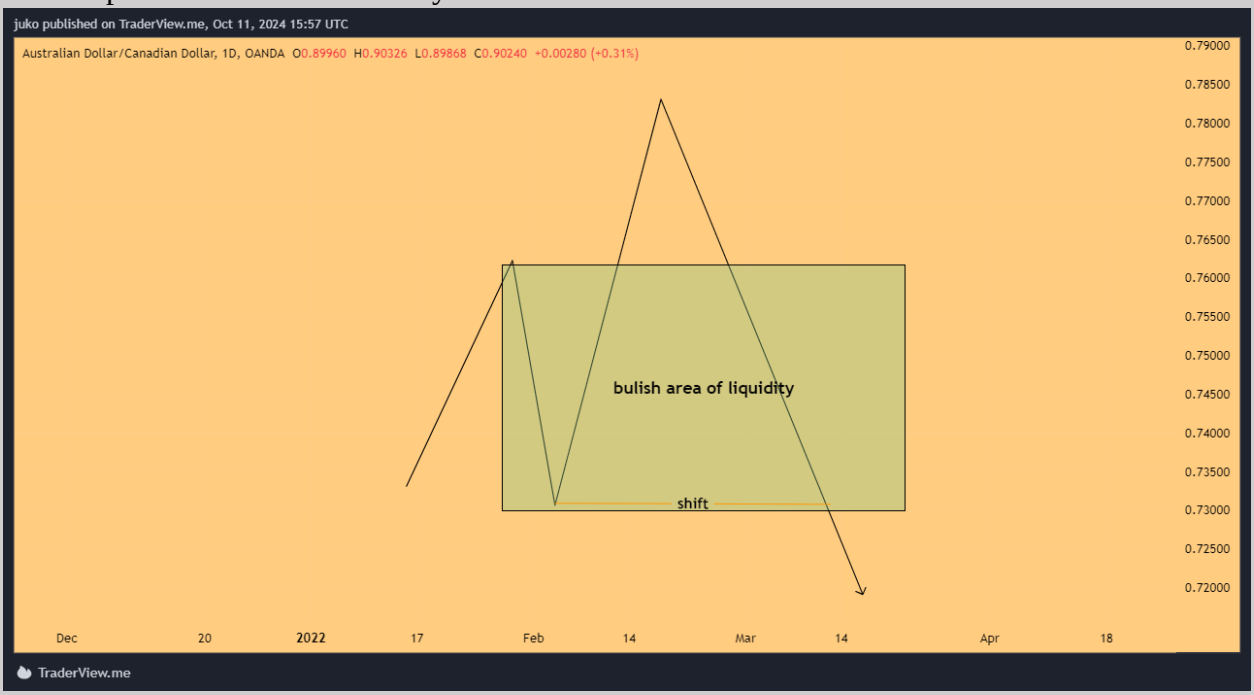


1. Shift Point

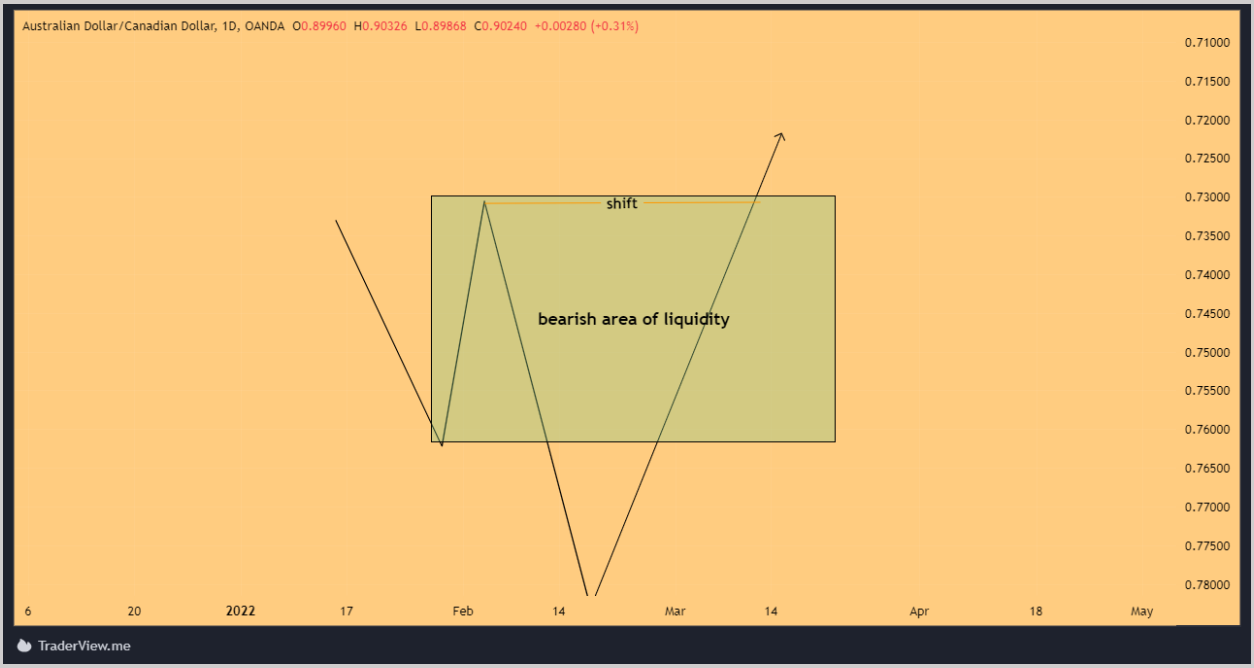
- **Definition**: The shift point refers to the previous market trend's invalidation point. It marks the level where the market trend is considered no longer valid. This point is identified when the market closes below (for a bullish trend) or above (for a bearish trend) a significant level, indicating a potential change in trend direction.



- **Identification**:
- **Bullish Trend**: The shift point is the level where the market closes below a significant support level, suggesting that the previous bullish trend may be invalidated.



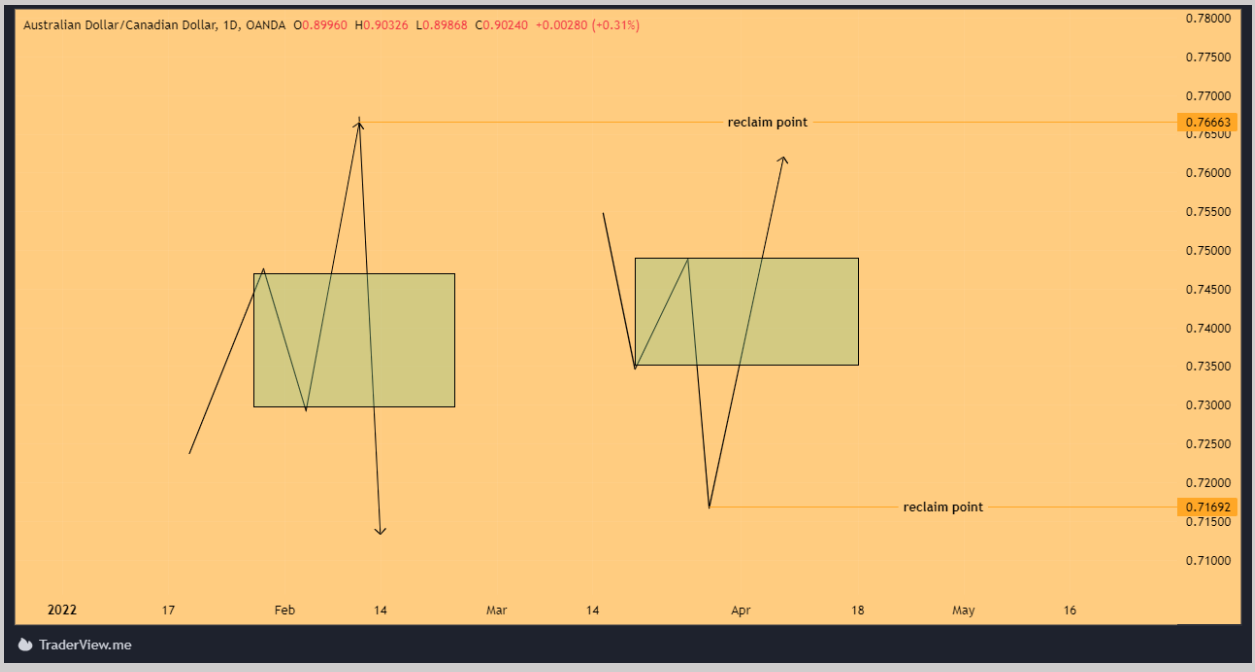
- **Bearish Trend**: The shift point is the level where the market closes above a significant resistance level, suggesting that the previous bearish trend may be invalidated.



- **Implication**: Closing below (or above) the shift point indicates that the market may be preparing to reverse its direction, signaling a possible shift from buying to selling or vice versa.

2. Reclaim Point

- **Definition**: The reclaim point is the previous market's highest or lowest point that, when the market returns and closes above (or below) after initially closing below (or above) the shift point, signals a return to the previous trend's dominance.



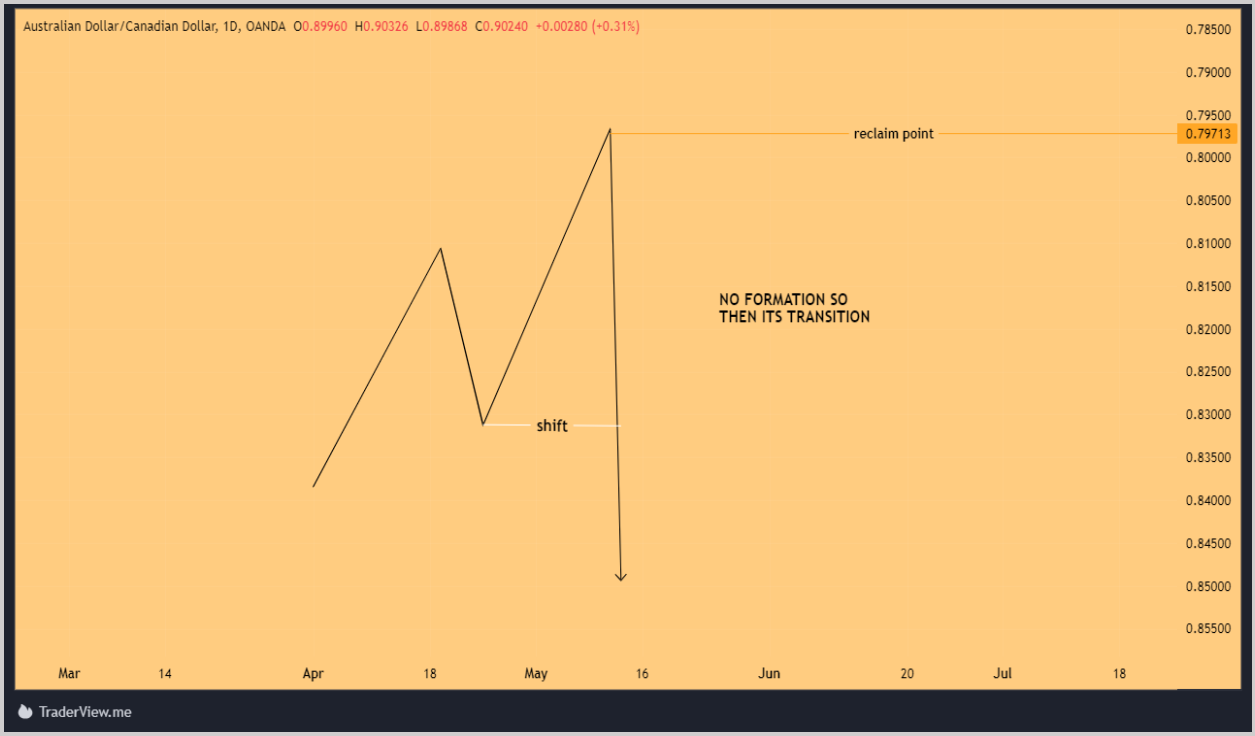
- **Identification**:
  - **Bullish Scenario**: After closing below, the shift point, if the market returns and closes above the previous highest point (reclaim point), it indicates that bullish dominance is returning.

- **Bearish Scenario**: After closing above, the shift point, if the market returns and closes below the previous lowest point (reclaim point), it indicates that bearish dominance is returning.

- **Implication**: A close above (or below) the reclaim point after a shift point invalidation confirms that the previous trend's strength or dominance is reasserting itself, providing a signal to align trading strategies with the returning trend.

3. Transition

- **Definition**: Transition occurs when the market closes below (or above) the shift point without forming a subsequent upward or downward structure. It indicates that the market is in a state of change without a clear formation of a new trend.



Identification:

- **Bullish Scenario**: The market closes below the shift point but does not form a new upward structure. It remains in a state of uncertainty or transition, suggesting that the bearish trend may be starting, but it’s not yet confirmed.

Bearish Scenario: The market closes above the shift point but does not form a new downward structure. It remains in a state of uncertainty or transition, suggesting that the bullish trend may be starting, but it’s not yet confirmed

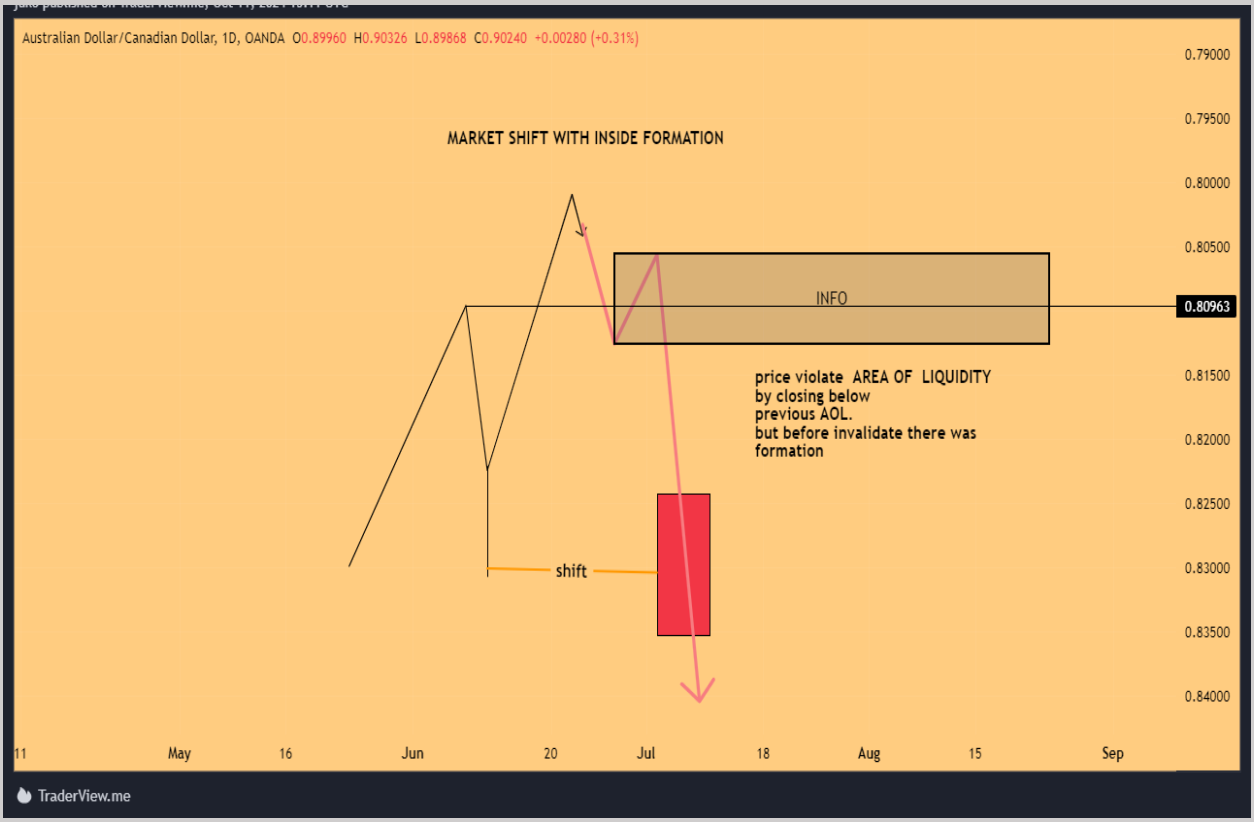
TYPE OF SHIFTS

1: SHIFT WITH INSIDE FORMATION

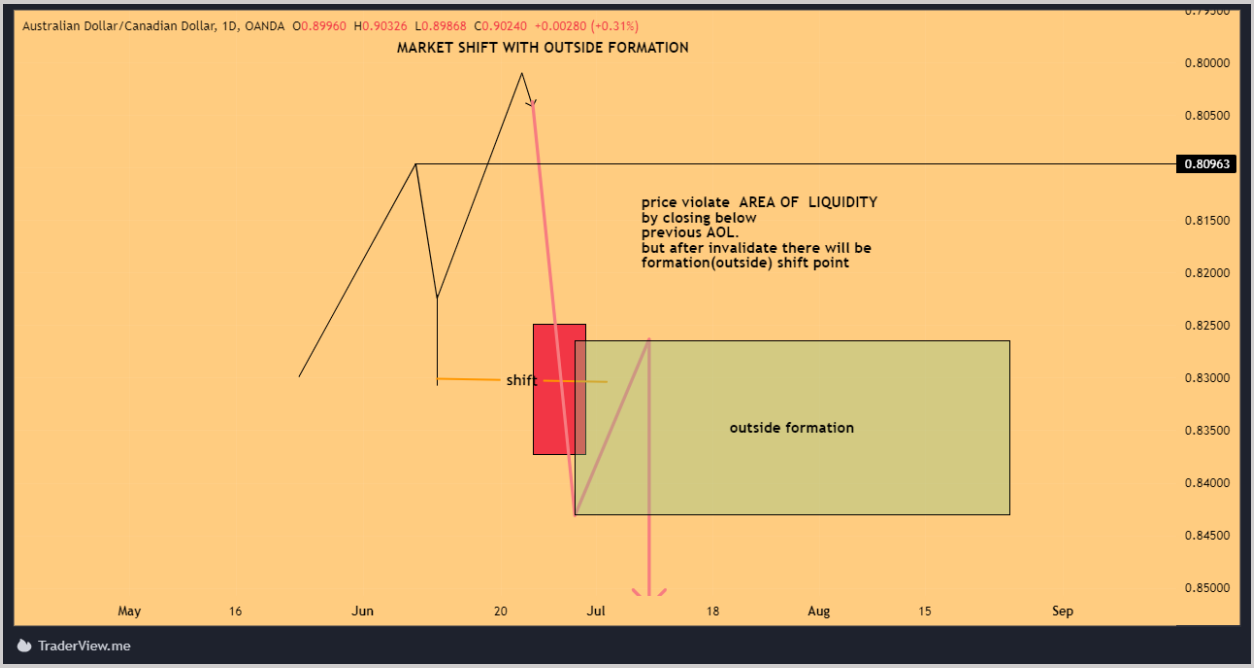
2: WITH OUTISDE FORMATION

3: SHIFT WITH BOTH INSIDE FORMATION AND OUTSIDE FORMATION

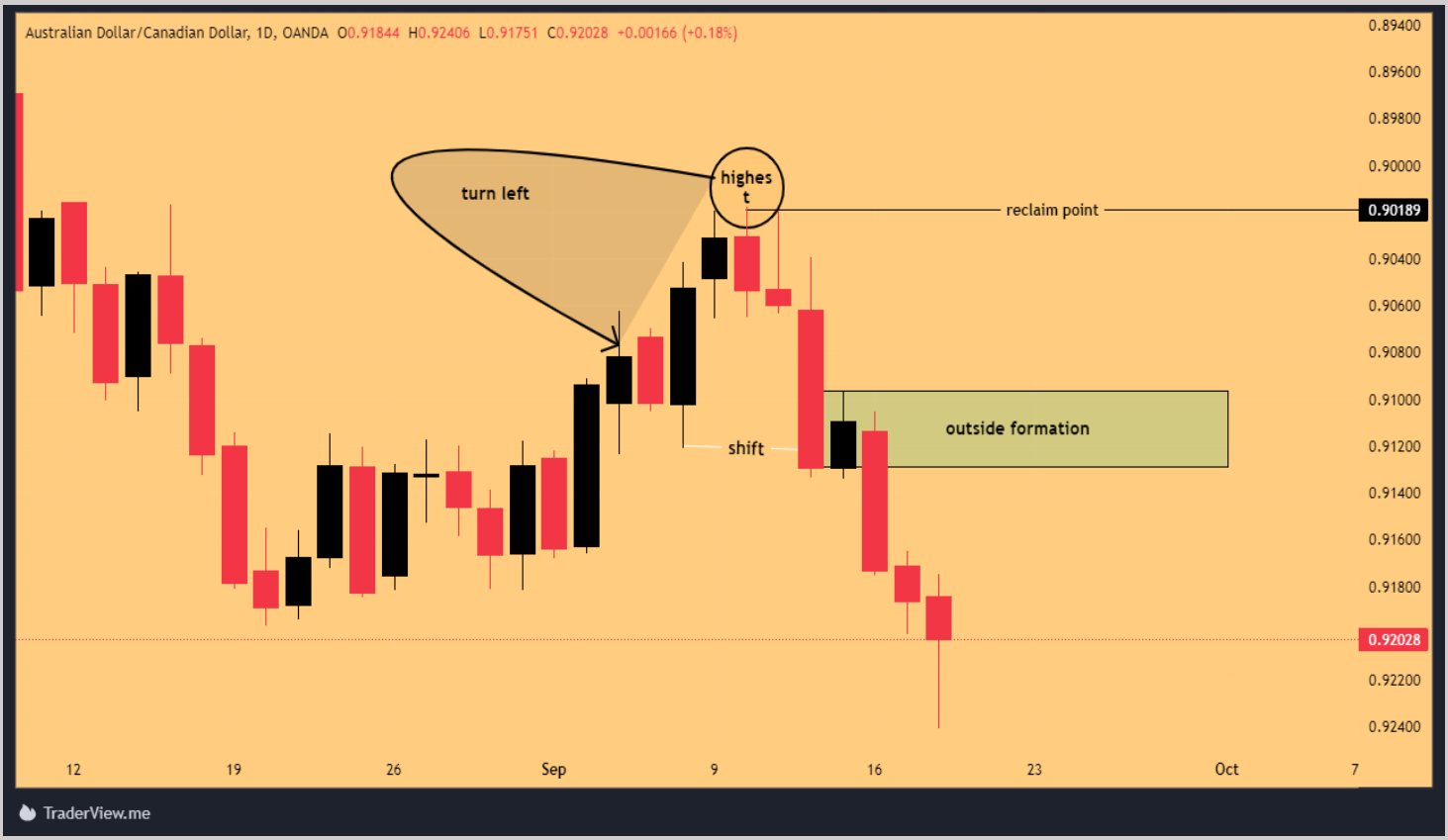
SHIFT WITH INSIDE FORMATION

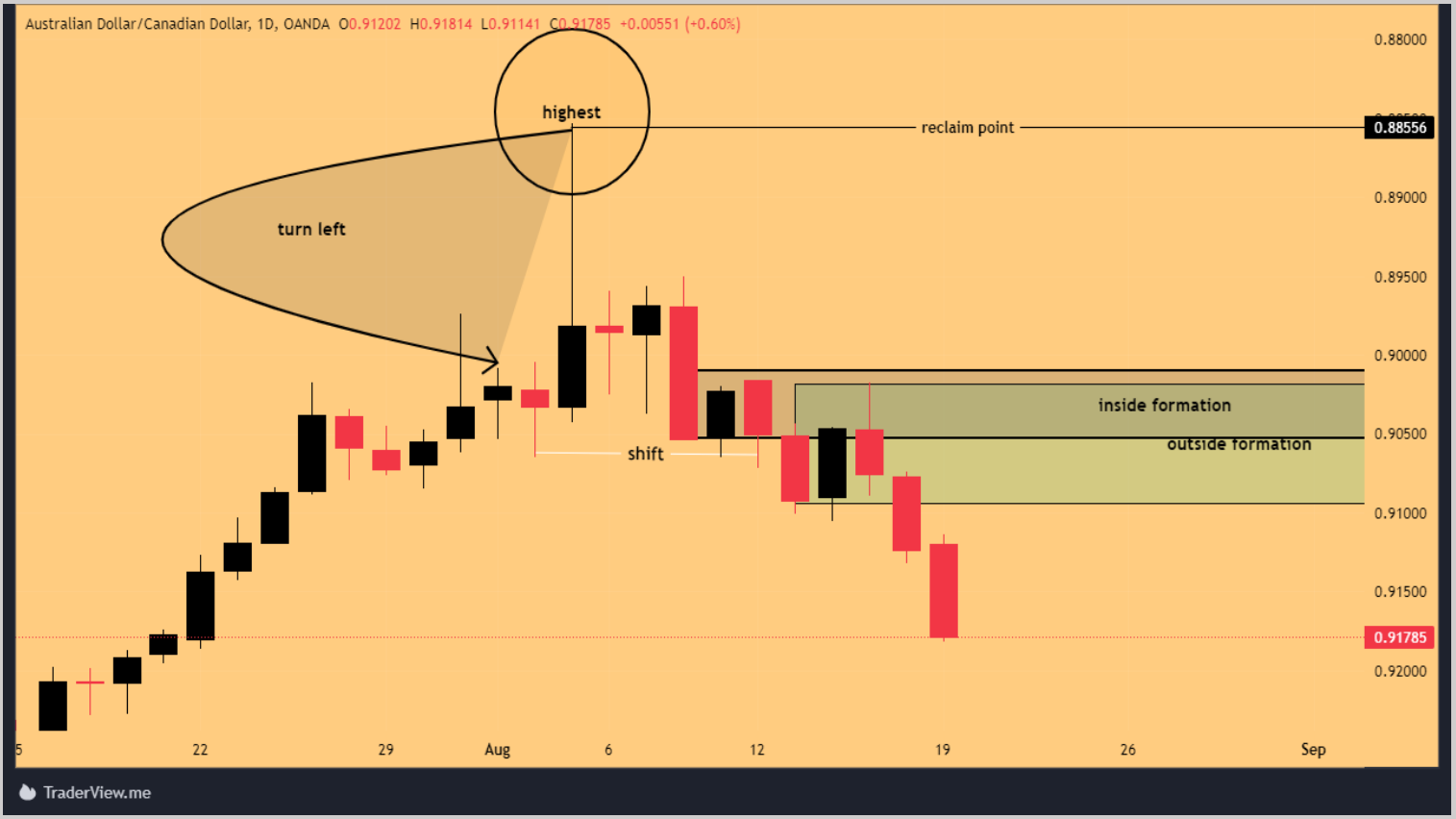


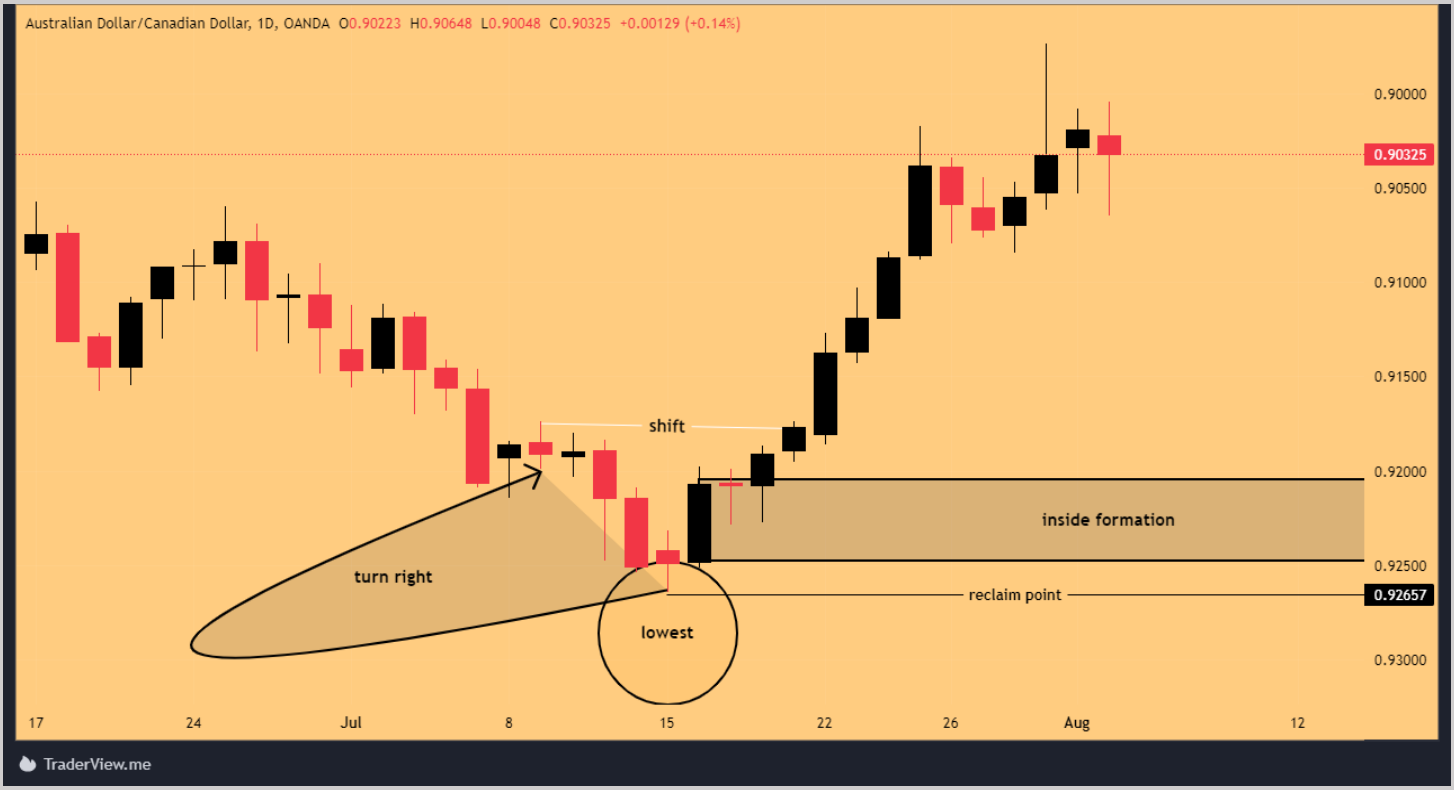
WITH OUTISDE FORMATION



REAL CHARTS EXAMPLE

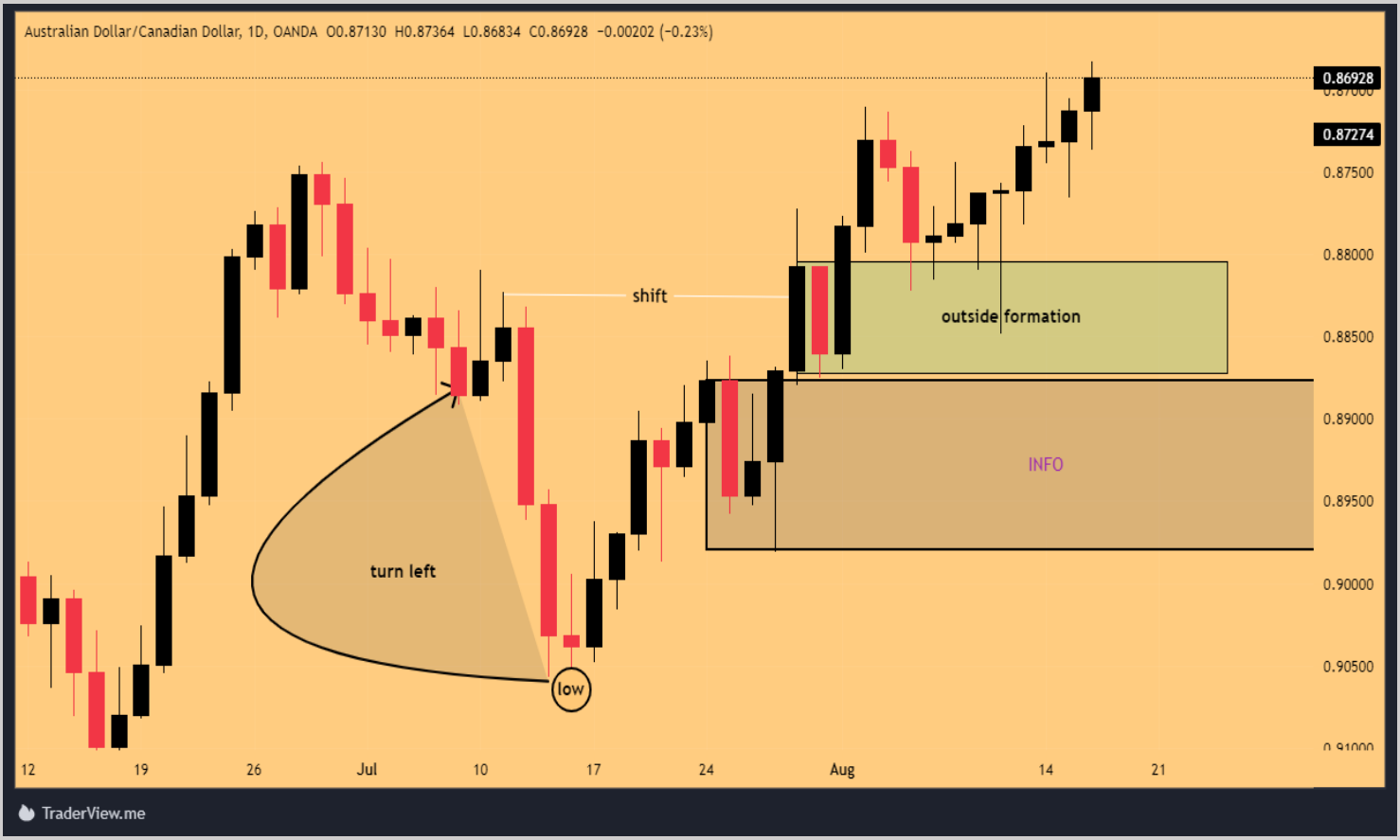


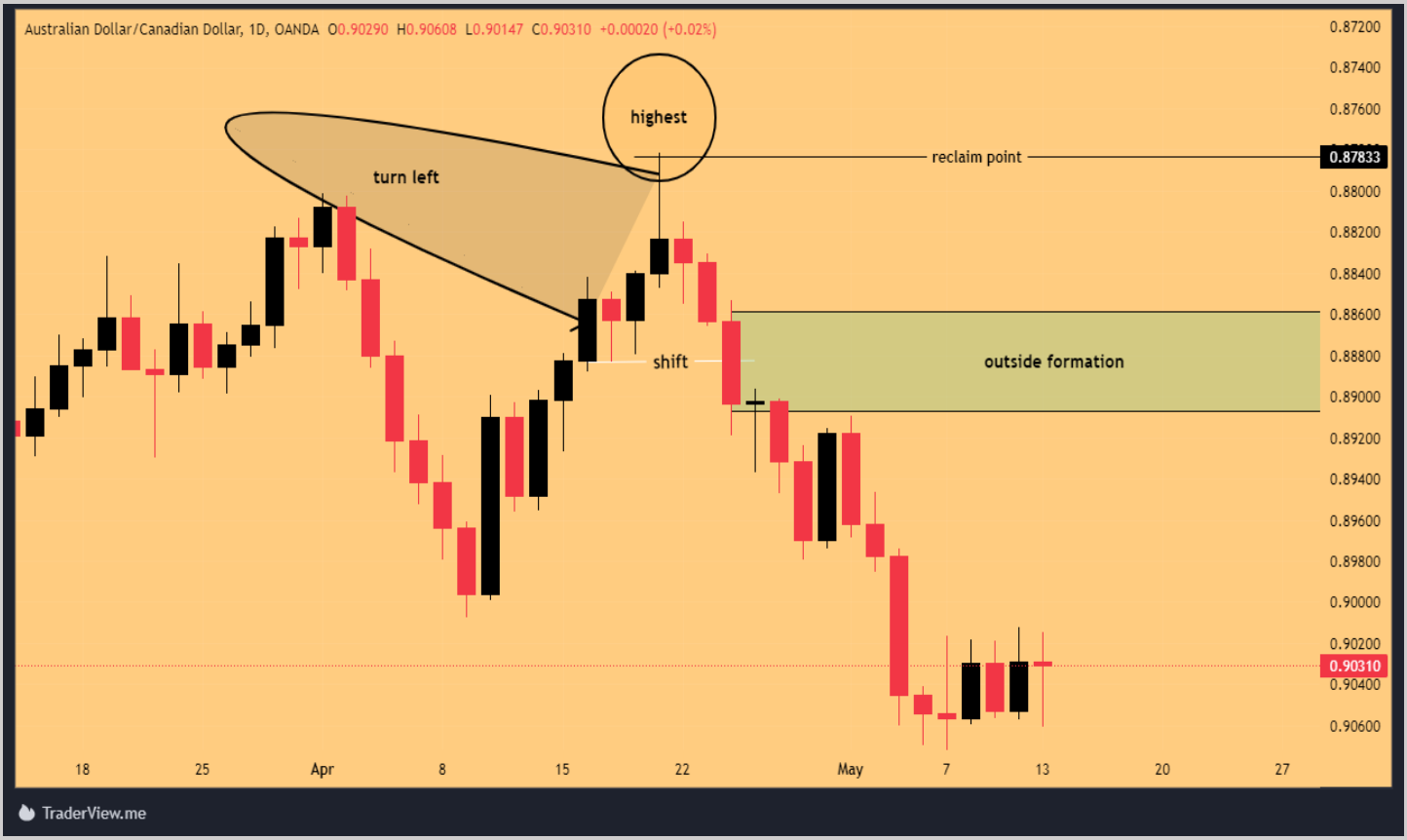

Australian Dollar/Canadian Dollar, 1D, OANDA O0.91202 H0.91814 L0.91141 C0.91785 +0.00551 (+0.60%)
highest
reclaim point
0.88556
turn left
inside formation
outside formation
shift
0.91785
0.88000
0.89000
0.89500
0.90000
0.90500
0.91000
0.91500
0.92000
5
22
29
Aug
6
12
19
26
Sep
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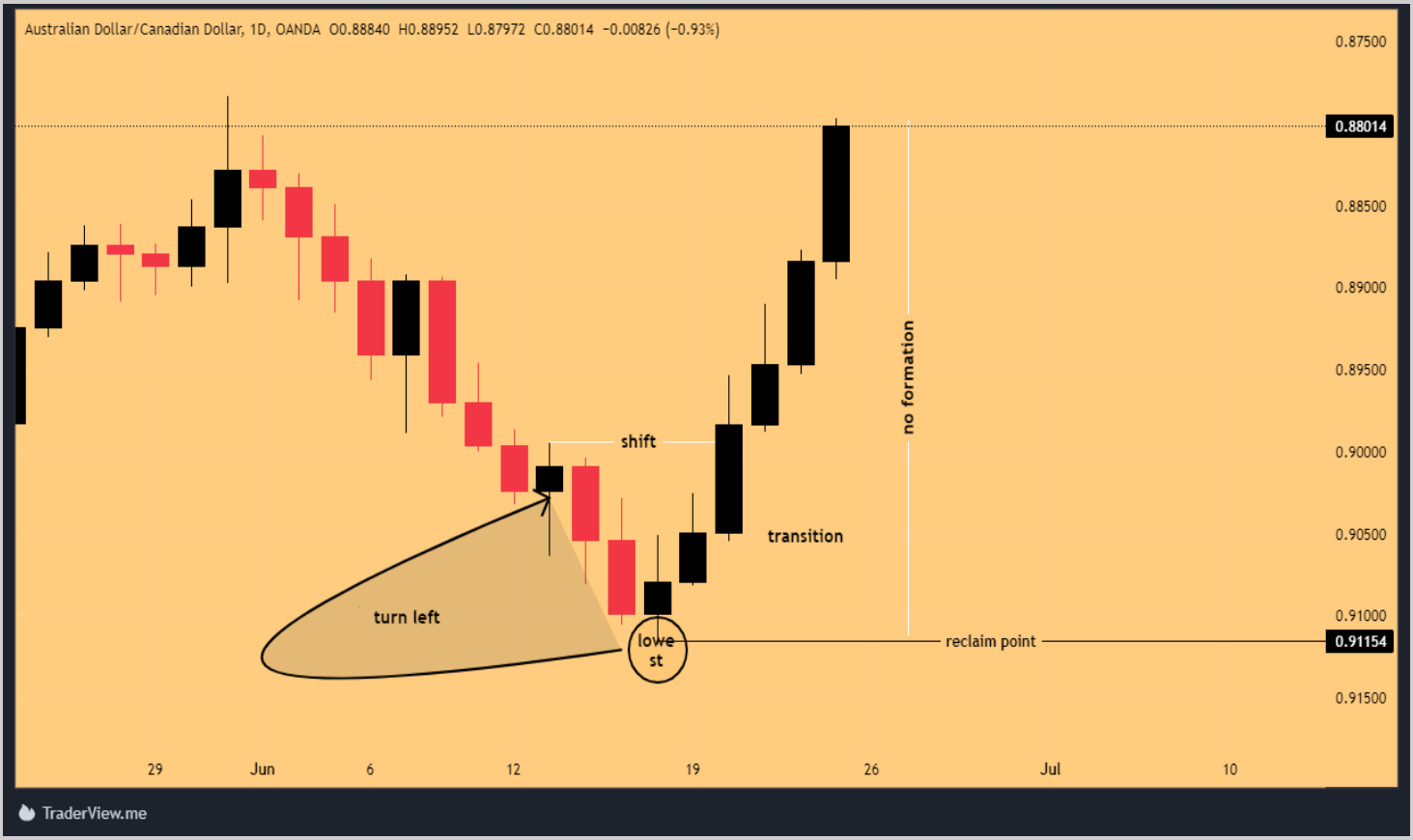

Australian Dollar/Canadian Dollar, 1D, OANDA O0.90223 H0.90648 L0.90048 C0.90325 +0.00129 (+0.14%)
0.90325
shift
inside formation
turn right
reclaim point
0.92657
lowest
0.90000
0.90500
0.91000
0.91500
0.92000
0.92500
0.93000
17
24
Jul
8
15
22
26
Aug
12
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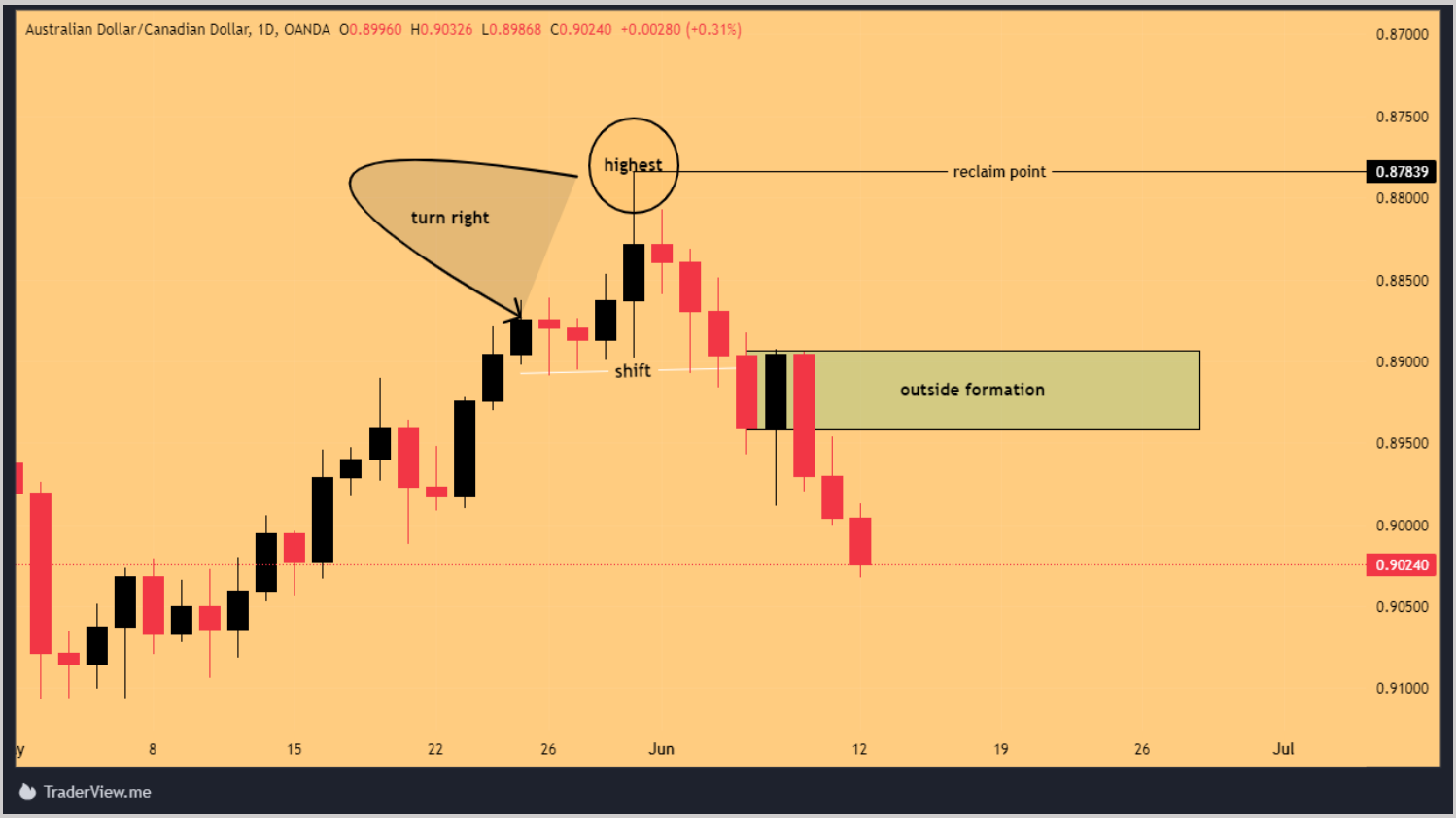

Australian Dollar/Canadian Dollar, 1D, OANDA O0.89418 H0.89791 L0.89284 C0.89638 +0.00220 (+0.25%)
turn left
highest
reclaim point
0.88017
shift
transition
shift without
formation
0.89638
6
11
18
25
Apr
8
TraderView.me


Australian Dollar/Canadian Dollar, 1D, OANDA O0.88708 H0.89251 L0.88673 C0.89098 +0.00390 (+0.44%)
turn left
highest
reclaim point
0.87274
INFO
shift
0.89098
15
22
26
Feb
12
19
26
Mar
11
TraderView.me


Australian Dollar/Canadian Dollar, 1D, OANDA O0.87130 H0.87364 L0.86834 C0.86928 −0.00202 (−0.23%)
0.86928
0.87274
0.87500
0.88000
0.88500
0.89000
0.89500
0.90000
0.90500
shift
outside formation
INFO
turn left
low
12
19
26
Jul
10
17
24
Aug
14
21
TraderView.me

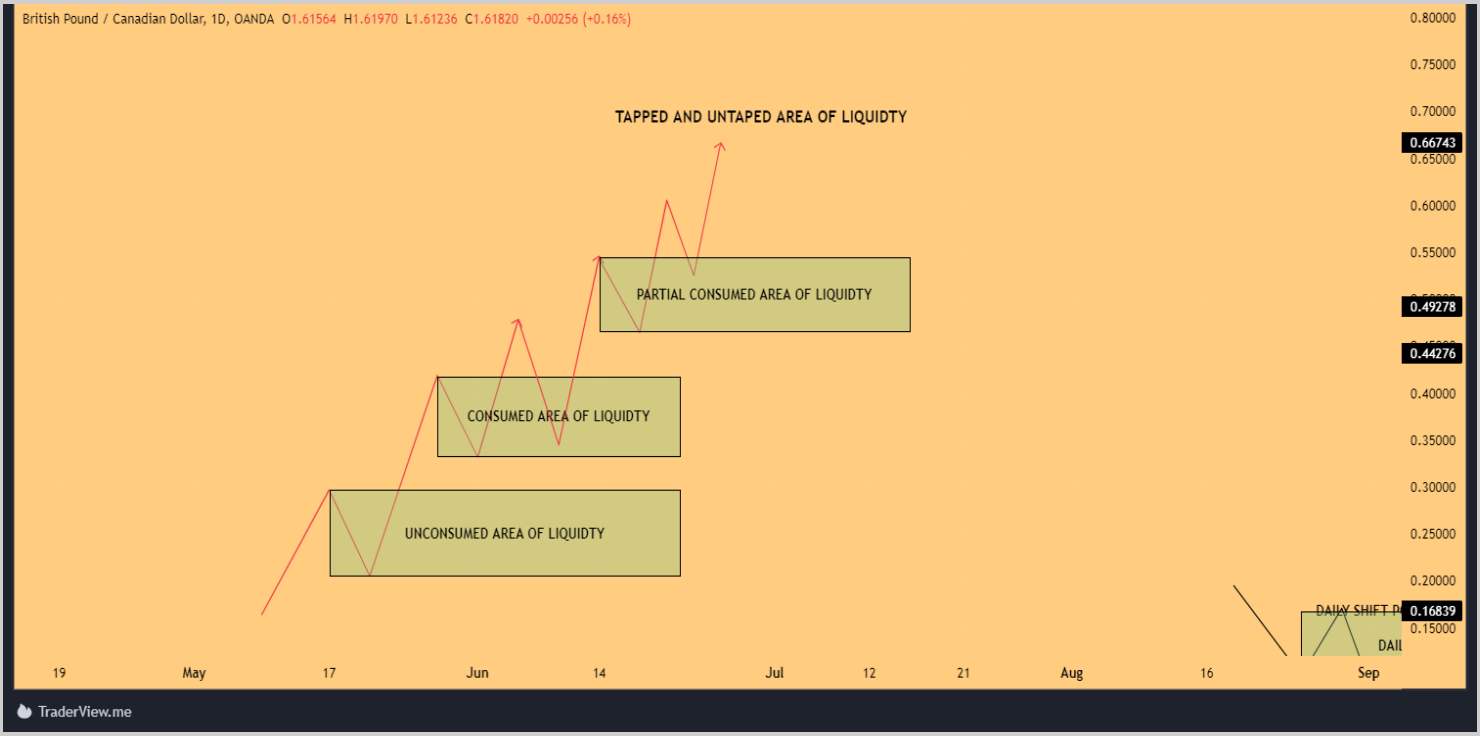

Australian Dollar/Canadian Dollar, 1D, OANDA O0.90290 H0.90608 L0.90147 C0.90310 +0.00020 (+0.02%)
0.87200
0.87400
0.87600
0.87833
0.88000
0.88200
0.88400
0.88600
0.88800
0.89000
0.89200
0.89400
0.89600
0.89800
0.90000
0.90200
0.90310
0.90400
0.90600
highest
reclaim point
turn left
shift
outside formation
18
25
Apr
8
15
22
May
7
13
20
27
TraderView.me


Australian Dollar/Canadian Dollar, 1D, OANDA O0.88840 H0.88952 L0.87972 C0.88014 −0.00826 (−0.93%)
0.87500
0.88014
0.88500
0.89000
0.89500
0.90000
0.90500
0.91000
0.91154
0.91500
shift
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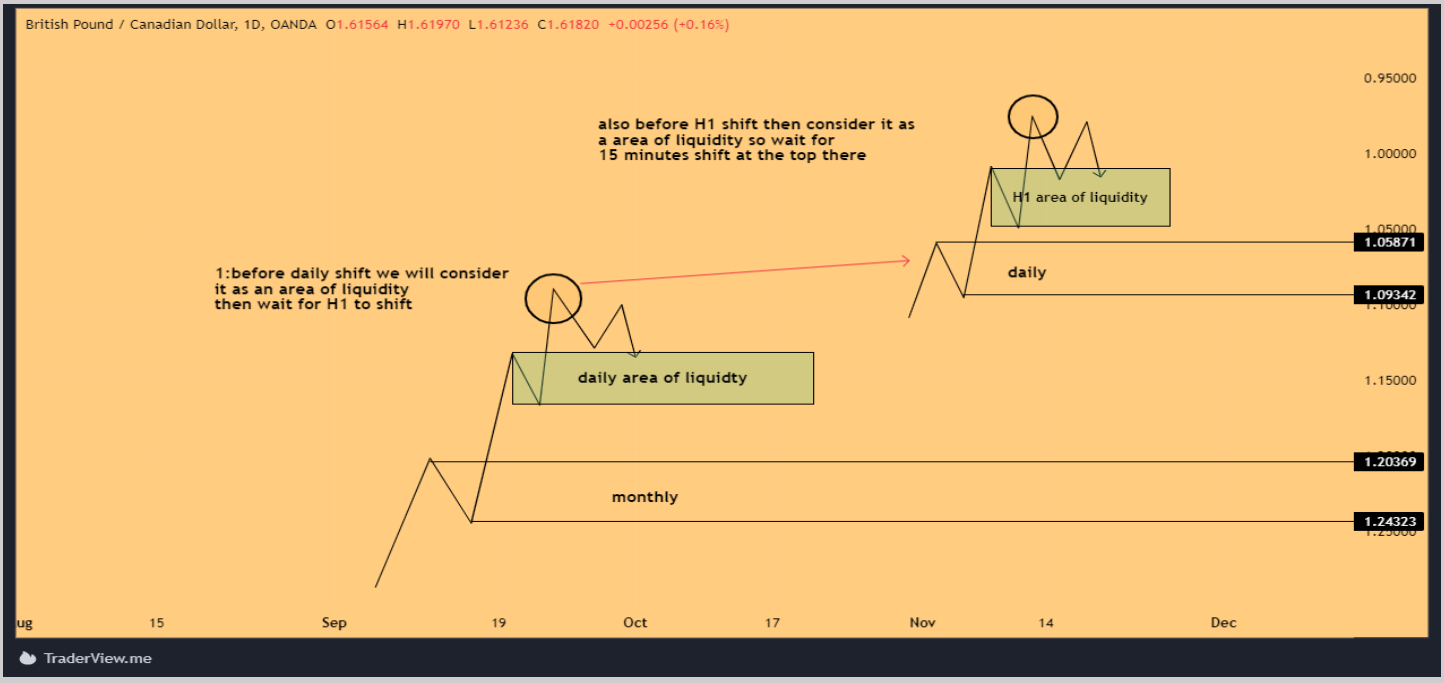

Australian Dollar/Canadian Dollar, 1D, OANDA O0.89960 H0.90326 L0.89868 C0.90240 +0.00280 (+0.31%)
0.87000
0.87500
highest
reclaim point
0.87839
0.88000
0.88500
turn right
shift
outside formation
0.89000
0.89500
0.90000
0.90240
0.90500
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LIQUIDTY CONSUMPTION

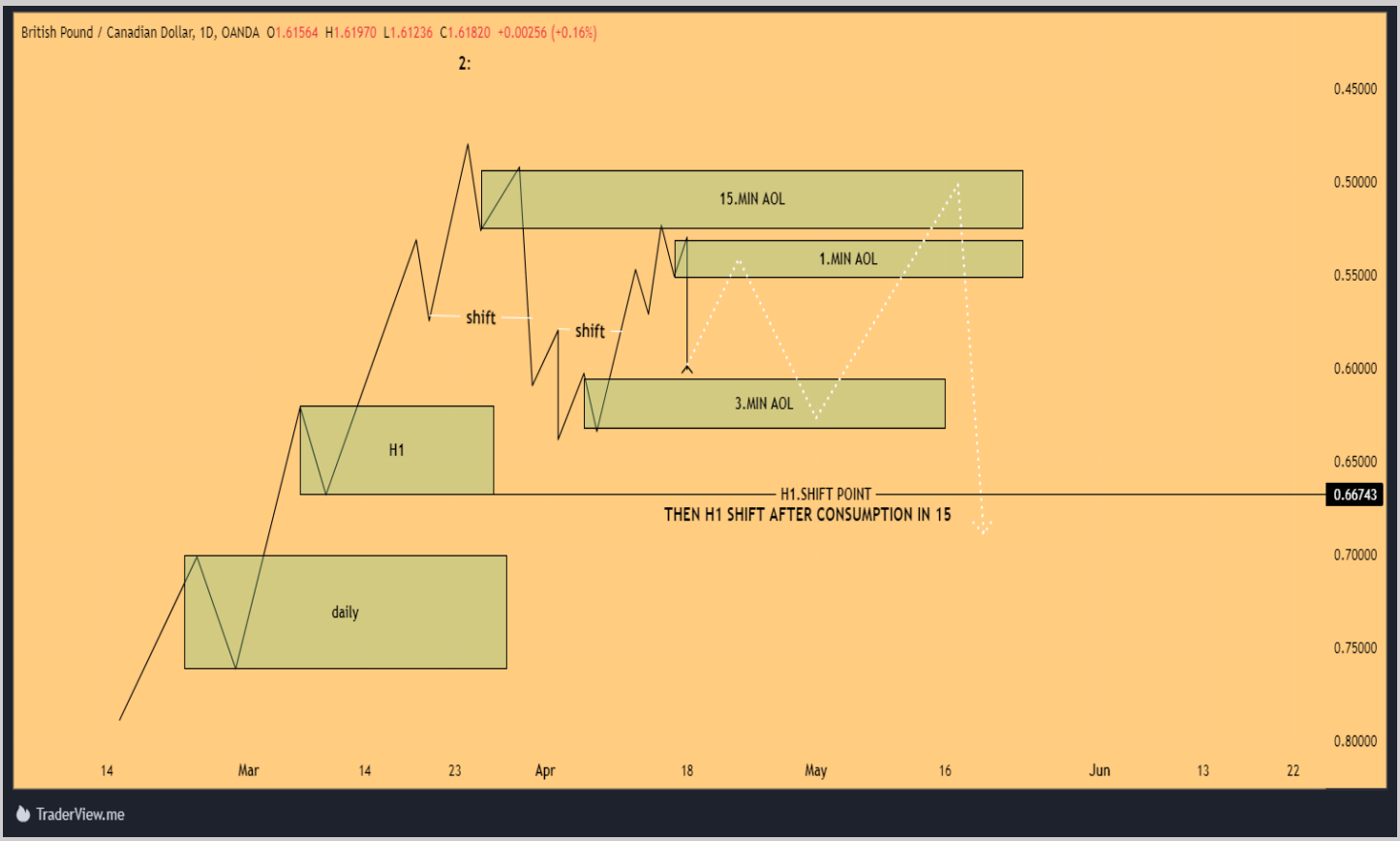
In liquidity consumption, our primary focus is on whether the liquidity area or zone is fresh or untested by price. This allows us to identify it as an optimal point of interest. In the concept of consumption, we can say that price consumes an area if it utilizes 50% of that zone.



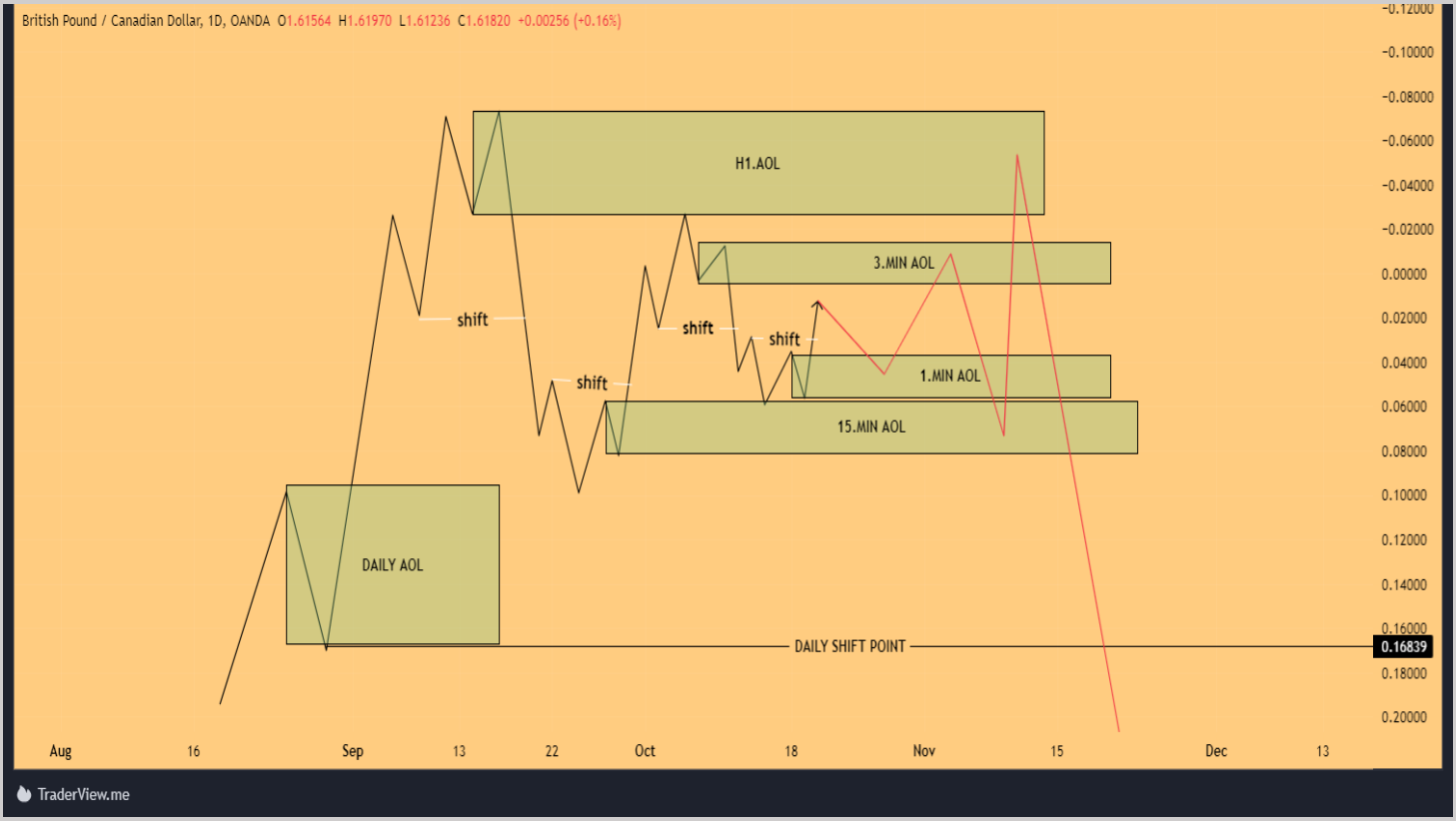
Liquidity consumption, in brief, involves first identifying the area of liquidity on a higher timeframe, such as the monthly (LU). Once this area is established, we observe for a shift in the daily timeframe. Price may return to the monthly liquidity area, but before the daily shift occurs, it is still considered an area of liquidity. Afterward, the H1 timeframe needs to shift, which signals the potential for price to move towards the daily liquidity area



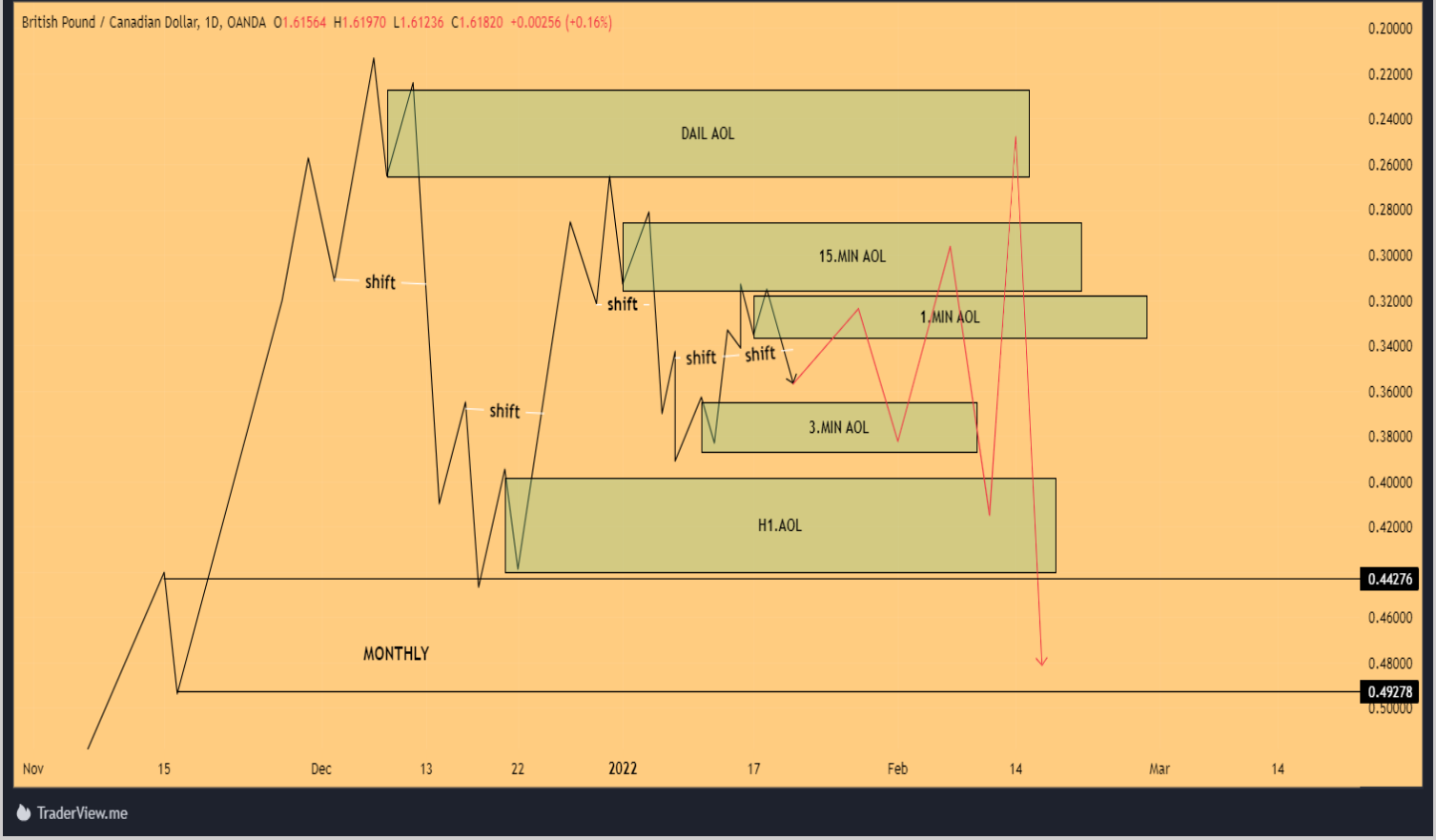
Before the H1 shift, we need to mark it as an area of liquidity (AOL). We begin by observing a shift in the 15-minute timeframe, which gives us a new area of liquidity. From there, we monitor the 3-minute shift, allowing price to move toward the 15-minute AOL. Before this happens, we need to establish a 3-minute AOL and observe a shift in the 1-minute timeframe. The consumption of the 1-minute liquidity area will push the price toward the 3-minute AOL. Once price reaches this zone, it continues toward the 15-minute area of liquidity, which is eventually consumed, leading to a shift in the H1 AOL.



After the H1 shift, a new area of liquidity will form. The same process of shifting and consumption in the lower timeframes will occur, gradually consuming the new H1 area of liquidity. Eventually, this will lead to a shift in the daily timeframe as well.



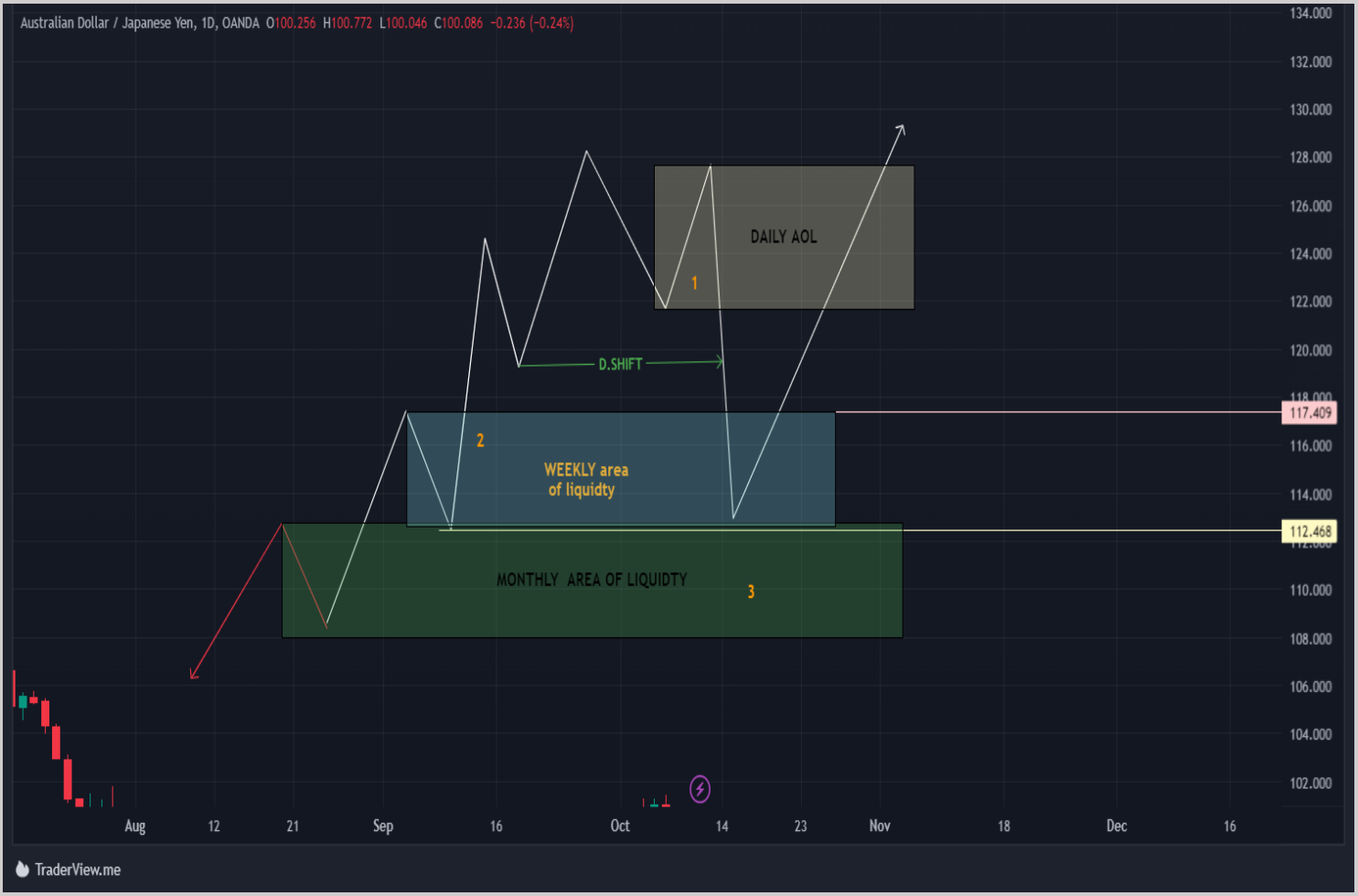
The same concept applies here: once the daily shift occurs and creates a new area of liquidity, we follow the same process of consumption from H1 down to the 1-minute timeframe to consume the daily area of liquidity. Eventually, this leads the price back to the monthly area of liquidity for further consumption.



TROUBLE AREAS IN TIMEFRAMES (FTAS) IN TRADING CYCLES

When managing trades across multiple timeframes, **trouble areas** can arise when a **higher timeframe** creates liquidity or market movement that opposes the current cycle you are trading. These are referred to as **FTAs (trouble areas)**.

FTAs help validate shifts in market structure, manage trades, and take profits. Understanding how to navigate these areas is critical to optimizing your trades



1. Power of Timeframes

In market structure, higher timeframes carry more weight and are considered **more powerful**. For example, the **Monthly** or **Weekly** charts provide the dominant directional bias, whereas lower timeframes like **H4** or **H1** give more granular price movements.

- **Statement**: "The higher the timeframe, the more powerful the area of liquidity."
- **Application**: This means if you're trading within a **Monthly Cycle** but encounter a **Weekly** or **H4 area of liquidity**, you need to respect those higher timeframes even if they aren't part of your current cycle.

2. Handling FTAs (Trouble Areas)

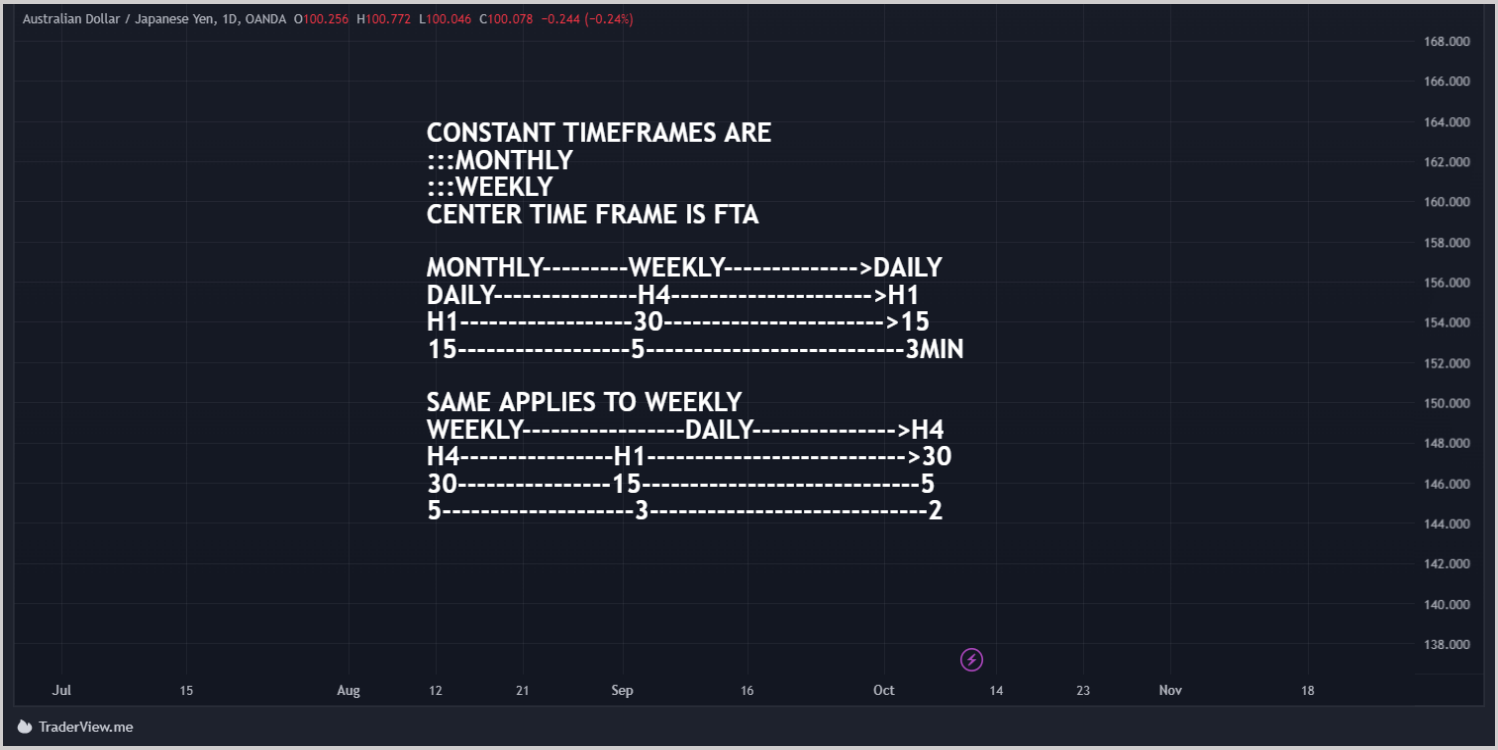
- **Identifying FTAs**: FTAs are areas where a powerful higher timeframe intersects or conflicts with your current timeframe cycle. For instance, you might be trading on an **H1 Cycle**, but encounter a strong **H4 liquidity area**. Even though you're trading on H1, the H4 area should be treated as significant.
- **Usage of FTAs**:
    1. **Validating Market Structure Shifts**: FTAs can be used to **confirm shifts** in market structure. If the price reaches an FTA, it might signal the end of a trend or shift in direction.

2. **Managing Trades**: If you're in a trade from a lower timeframe and approach an FTA, you should consider managing your position. For example, if you're in a **1-Hour trade** and encounter an **H4 liquidity zone**, you might take **partial profits** or adjust your stop-loss to secure gains.
3. **Take Profit Points**: FTAs serve as natural **take-profit zones**. When trading on a lower timeframe and approaching an FTA from a higher timeframe, taking profit there can be a strategic move before the price reverses or consolidates.

3. Integrating Timeframes in Cycles

When trading within different cycles, it's important to understand how FTAs relate to the timeframes in use.

WE READ FROM RIGHT TO LEFT:EXAMPLE YOU CAN'T REACH MONTHLY AOL FROM DAILY BEFORE FINISH PRICE ACTION IN WEEKLY ALSO YU CAN'T REACH FROM H1 TO DAILY BEFORE FINISH PRICE ACTION IN H4.



Monthly Cycle:

- **Constant Timeframe**: Monthly
- **Situational Timeframes**: Daily → 1-Hour → 15-Minutes → 5-Minutes
- **FTAs**: While trading in the Monthly Cycle, **Weekly** and **H4** timeframes become FTAs. Even though you are focusing on 1-Hour or lower timeframes, any strong liquidity zones on H4 or Weekly should be treated as potential trouble areas.

Weekly Cycle:

- **Constant Timeframe**: Weekly

- **Situational Timeframes**: H4 → 30-Minutes → 5-Minutes
- **FTAs**: In the Weekly Cycle, **Daily** and **1-Hour** timeframes become FTAs. For instance, if you're trading based on H4 but hit a Daily liquidity zone, you must manage your trade accordingly since Daily is more powerful.



4. Example: Managing Trades with FTAs

Let's break down an example of trading with FTAs in the **Weekly Cycle**:

- **Step 1**: You analyze the market from the **Weekly Chart** and determine the overall bias (bullish).



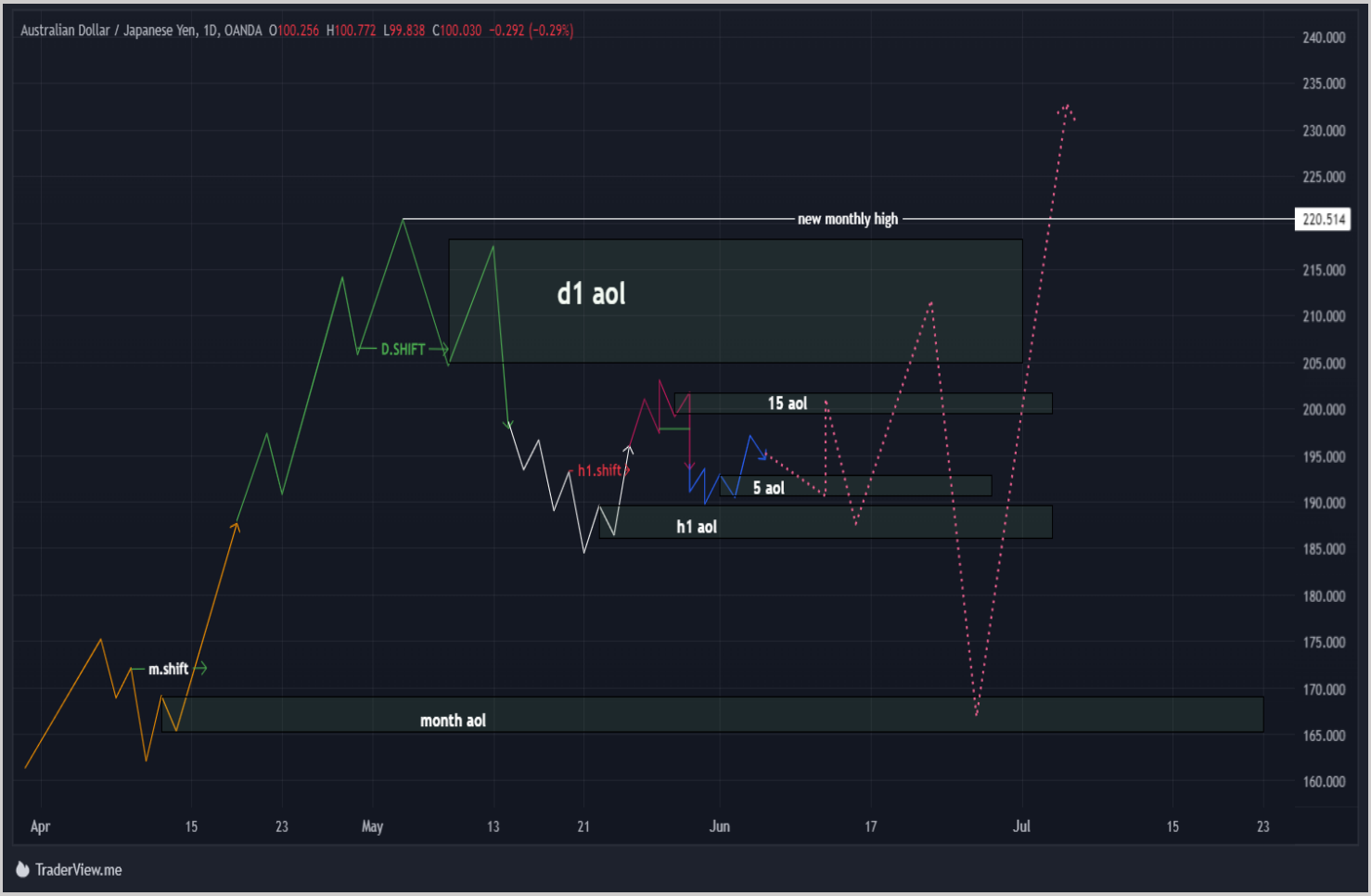
- **Step 2**: You drop down to the **H4 Chart** to find the price action that will bring price in area of liquidity in weekly. And that is shift



- **Step 3**: As the price moves within your H4 analysis, you shift to the **30-Minute Chart** for a more refined entry point.

- **Step 4**: after an entry there the price will be moving toward weekly aol then but you should manage the trade by using daily structure as it fta if daily failed to shift so the price will be also reversed back.

And everything should be done In each aol



REAL CHARTS



REAL CHARTS




Gold Spot / U.S. Dollar, 4h, OANDA O2614.000 H2617.425 L2610.330 C2615.645 +1.680 (+0.06%)
3 MIN ZONE
H4.TYPE 3
H4.SHIFT
2690.000
2685.000
2680.000
2675.000
2673.254
2670.000
2665.000
2660.000
2655.000
2650.000
2645.000
2640.000
2635.000
2630.000
2625.000
2620.000
2615.645
29:20
2610.000
2605.000
13:00
23
25
27
Oct
3
7
9
13:00
14
16
13:00
21
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ENTRY MODULE

This chapter focuses on the **Entry Module**, bringing together all the concepts discussed in the previous sections. Now, we'll combine everything into a cohesive approach for entering trades. The entry modules covered include:

1. **Shift Entry Module**
2. **Flip Entry Module Type 1**
3. **Flip Entry Module Type 2**
4. **Liquidity Engineering Entry Module**
5. **FTA Entry Module**

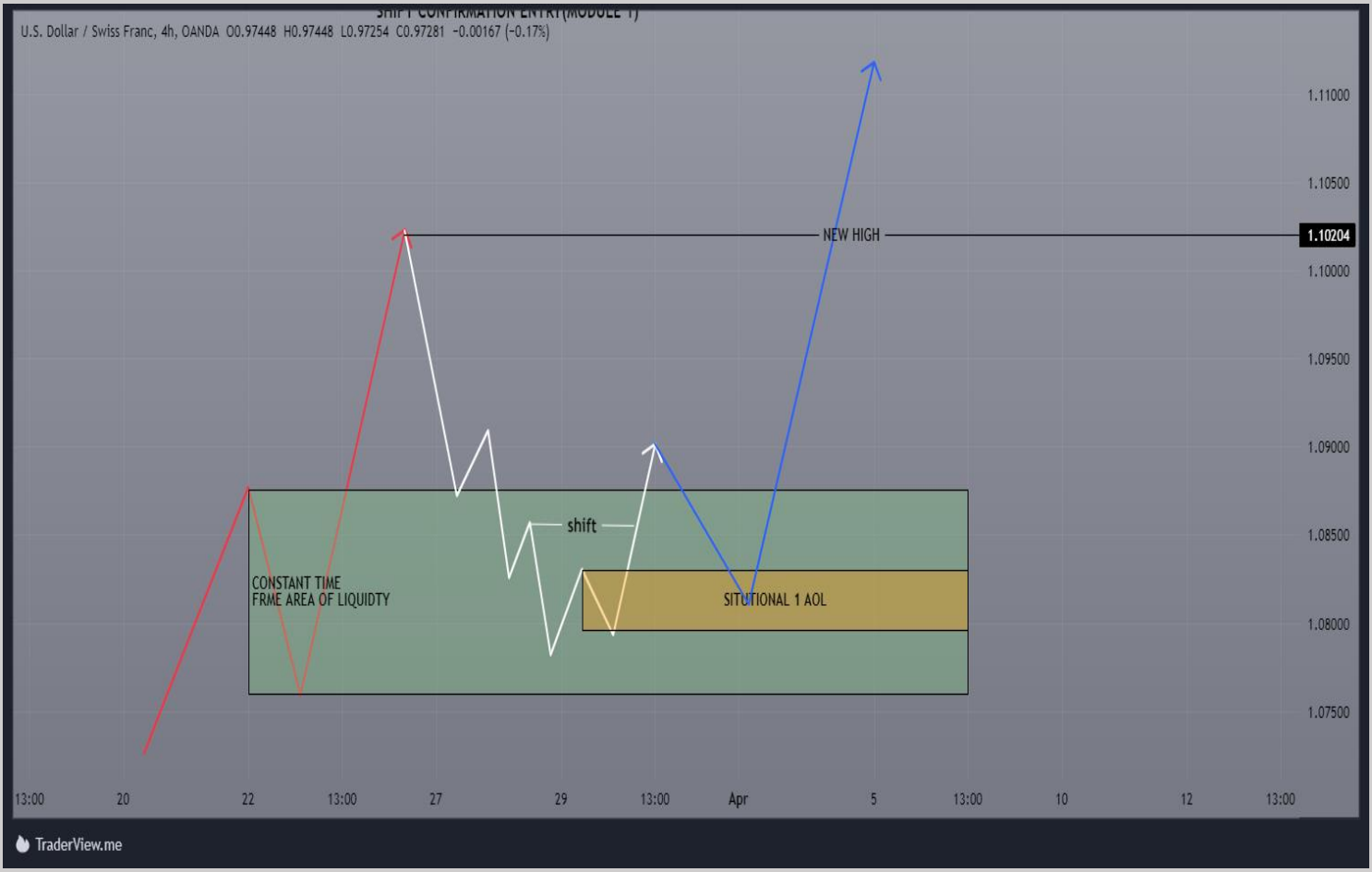
Each entry technique is designed to enhance your understanding and execution of high-probability trades. Let's dive into how each module works in practice.

Shift Entry Module

Shift Entry Module

The **Shift Entry Module** involves combining the skills learned from identifying areas of liquidity through cycle analysis and timeframe coordination. The entry is triggered after the price reaches an area of liquidity. Once there, we identify a **shift** in the market structure and mark the newly created area of liquidity as our point of interest or **value**.

If the area created still results in a large stop loss, we can refine it further. This is done by applying **liquidity engineering** and **inside-zone refinement** using lower timeframes, allowing for a more precise entry with reduced risk.



REAL CHART EXAMPLE

1: spot an area of liquidity from constant time frame in a circle you need to use according to coordination



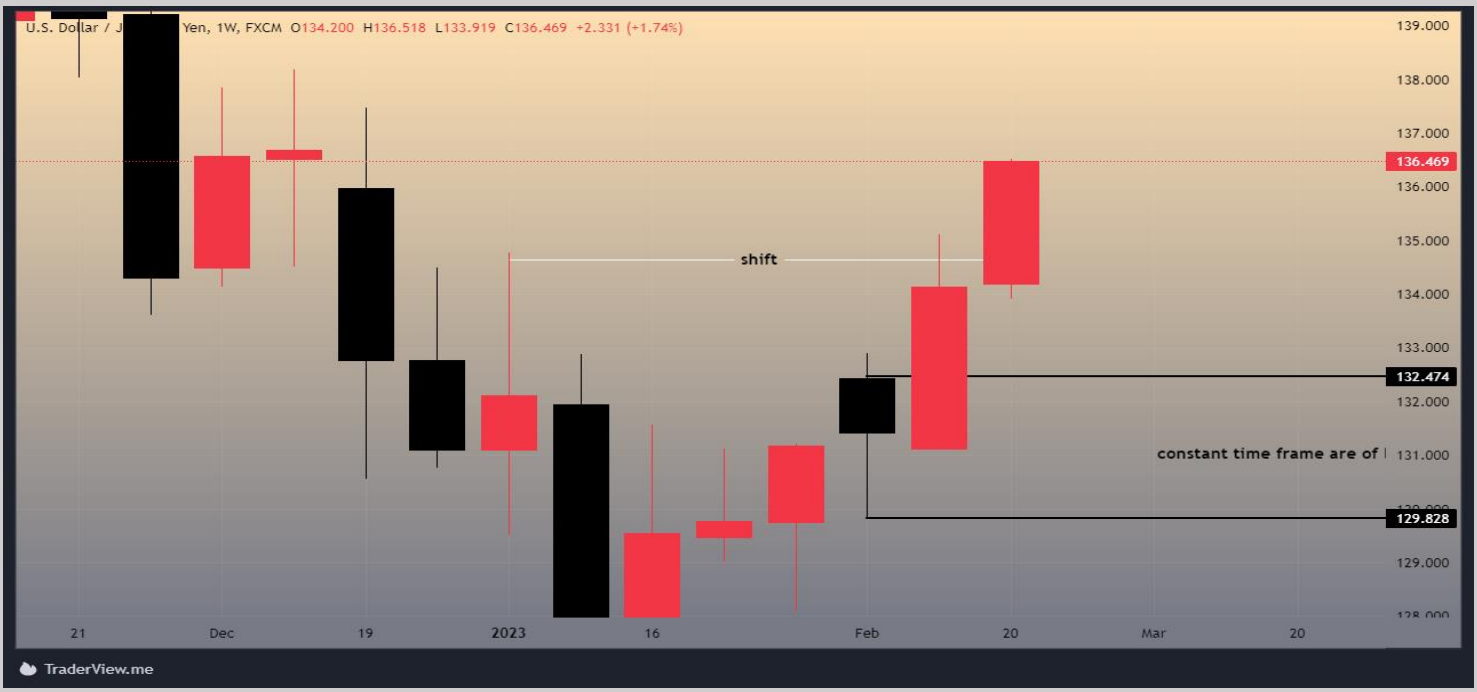
2:wait for the price to return in that same area in lower timeframe situational 1 and perform a shift that will give you new formation and use it as new area of liquidity



3: refinement this could be by using inside zone that have not been consumed or liquidity engineering and flips



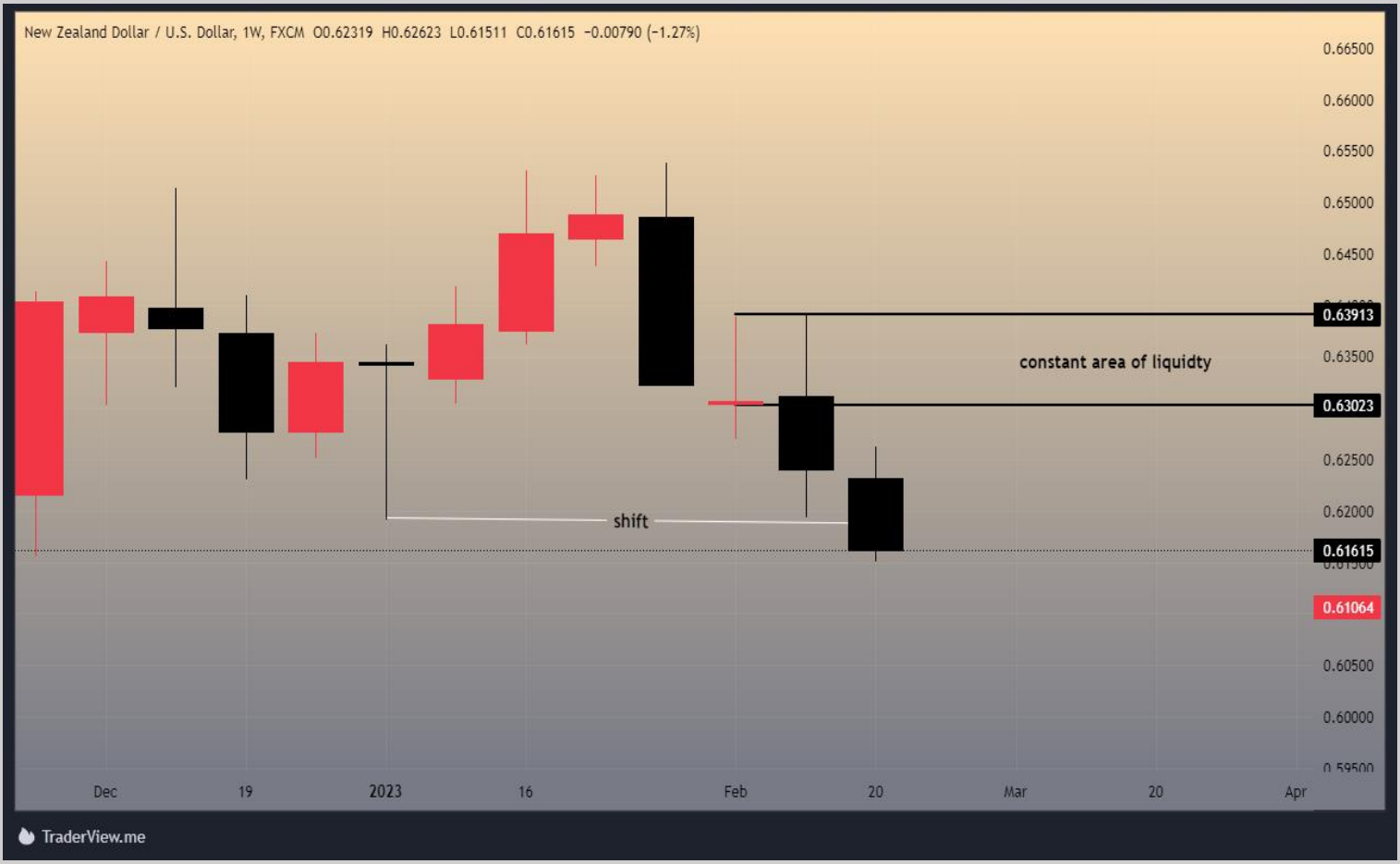
REPEAT THE SAME STEP AS ABOVE




U.S. Dollar / Japanese Yen, 4h, FXCM O132.556 H132.946 L132.545 C132.747 +0.191 (+0.14%)
135.000
134.500
134.000
133.500
133.000
132.747
132.474
132.000
131.500
131.000
130.500
130.000
129.828
shift in situational 1 timeframe with same area
shift
outside formation
constant time frame are of liquidty
15
13:00
20
22
13:00
27
29
Apr
5
13:00
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U.S. Dollar / Japanese Yen, 1h, FXCM O133.033 H133.340 L132.970 C133.263 +0.230 (+0.17%)
134.000
133.500
133.263
133.000
132.474
132.000
131.500
131.000
130.642
130.500
130.000
129.828
shift in situational 1 timeframe with same area
shift
outside formation
30 minute liquidity engineering
constant time frame are of liquidty
22
12:00
27
29
12:00
Apr
4
6
10
TraderView.me

REPEATE THE SAME STEPS



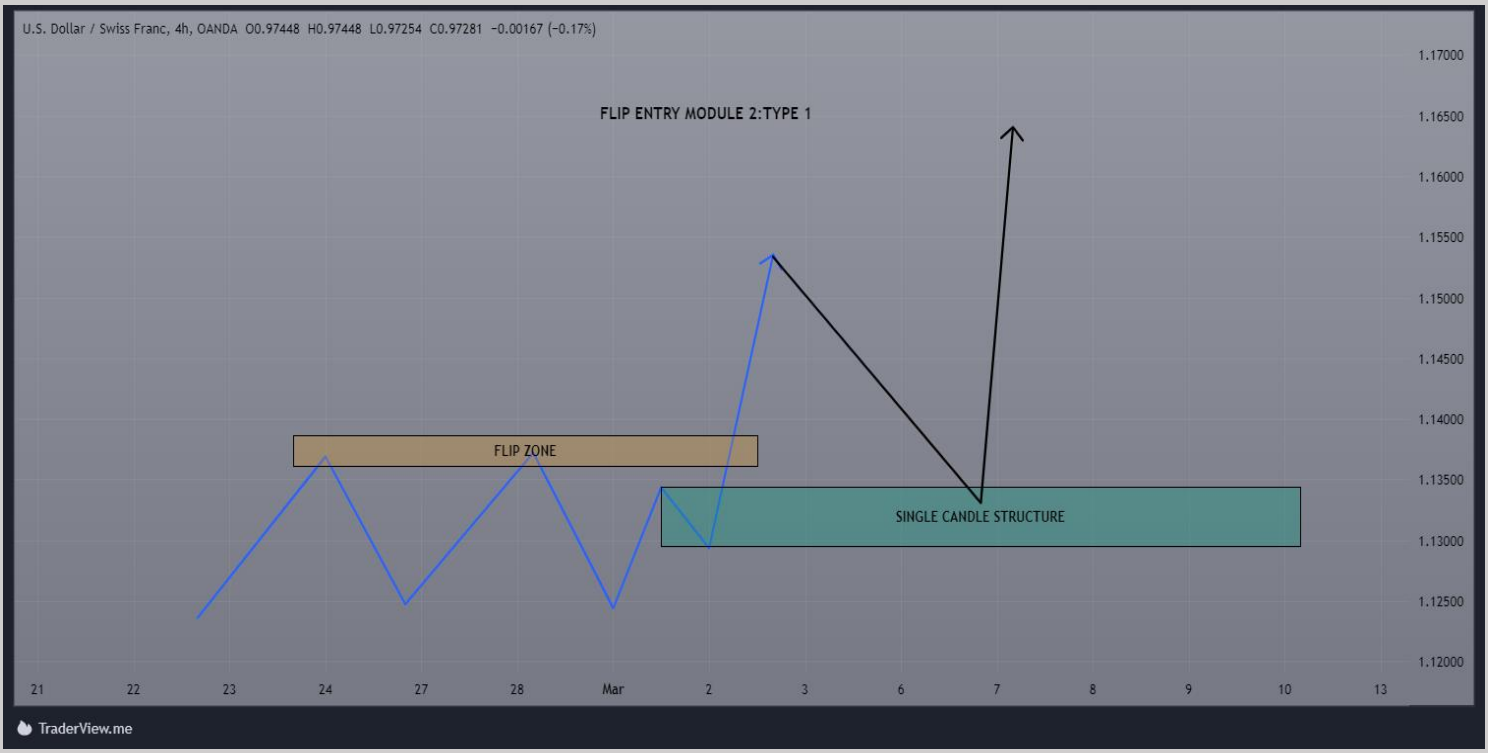



New Zealand Dollar / U.S. Dollar, 1h, FXCM O0.61703 H0.61749 L0.61702 C0.61725 +0.00022 (+0.04%)
constant area of liquidty
shift happen inside
new situational one area of liquidity
5.min zone
shift
0.64000
0.63913
0.63800
0.63600
0.63400
0.63252
0.63142
0.63127
0.63023
0.62800
0.62600
0.62400
0.62200
0.62000
0.61800
0.61725
0.61690
5
6
7
10
11
12
13
14
17
18
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Flip Entry Module Type 1

This module involves using flip levels, such as support and resistance, to identify potential trade entries. The steps are as follows:

1. Spotting the Flip Level: Identify the key swing points that touch a specific zone. If there are more than two touches, the zone qualifies as a potential level.it should be done from h4 and above timeframes only
2. Flip Zone Confirmation: Wait for the price to break through the level. Once the level is broken, it becomes a flip zone, indicating a shift in the market structure.
3. Single Candle Structure Check: In the same timeframe before the level is broken, look for a single candle formation. This candle can help signal entry by analyzing liquidity consumption and applying liquidity engineering techniques.



Spotting the Flip Level and single candle structure like below



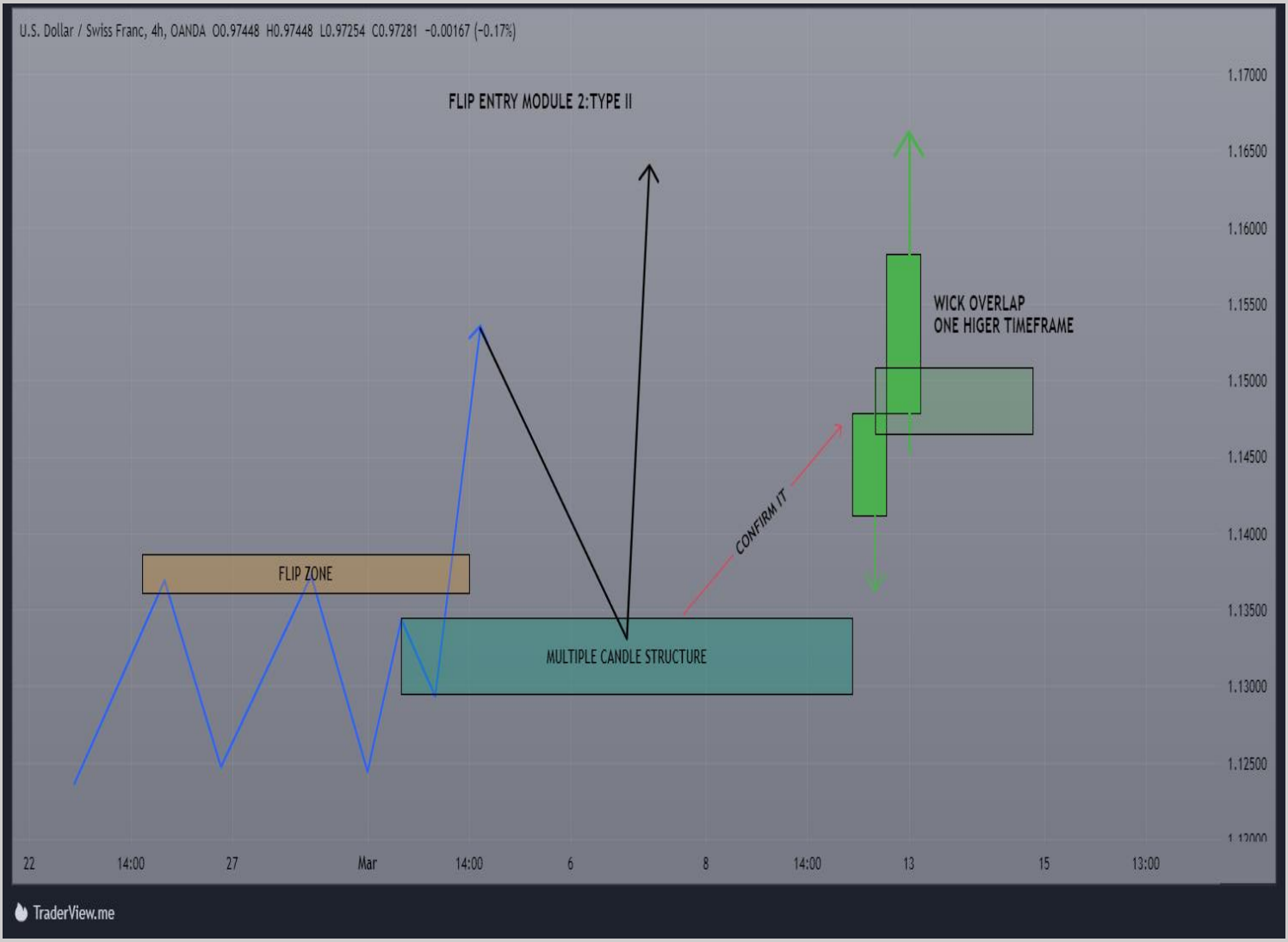
Find entry as discussed from liquidity engineering and liquidity consumption



Flip Entry Module Type 2

This module focuses on spotting flip levels along with multiple candle structures in higher timeframes (H4 and above). The steps are as follows:

1. **Spotting the Flip Level and Multiple Candle Structure**: Identify the flip level alongside a clear multi-candle structure in the H4 timeframe or higher. Ensure the structure is significant and well-defined.
2. **Marking the Structure**: Once the flip level and structure are identified, mark them clearly on the chart.
3. **Higher Timeframe Confirmation**: Move up one timeframe for confirmation. If you're analyzing the H4 timeframe, move to the daily timeframe. If you're on the daily, move to the weekly.
4. **Wick Overlap Check**: On the higher timeframe, look for wick overlaps within the marked structure. The presence of wick overlap confirms the entry signal. If no wick overlap is found, this entry module is not valid, and no trade should be taken.



Spotting the Flip Level and Multiple Candle Structure



Higher Timeframe Confirmation (wick overlap only)



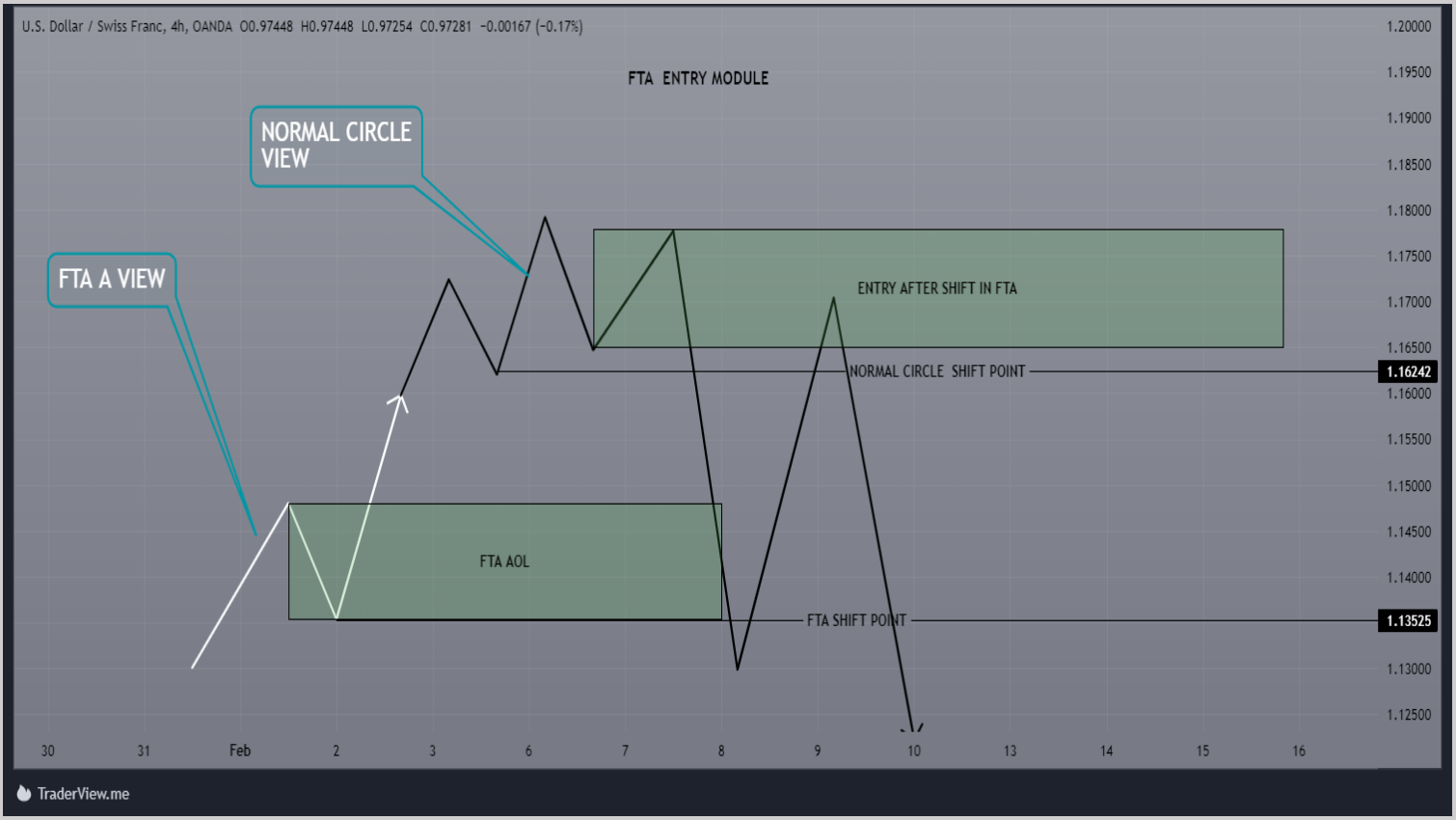
ENTRY SHOULD BE TAKEN AS USUALLY IN THAT AREA



FTA Entry Module

In this module, the goal is to identify a market shift within a trading cycle and validate it using the FTA (First Trouble Area) concept. The key steps are as follows:

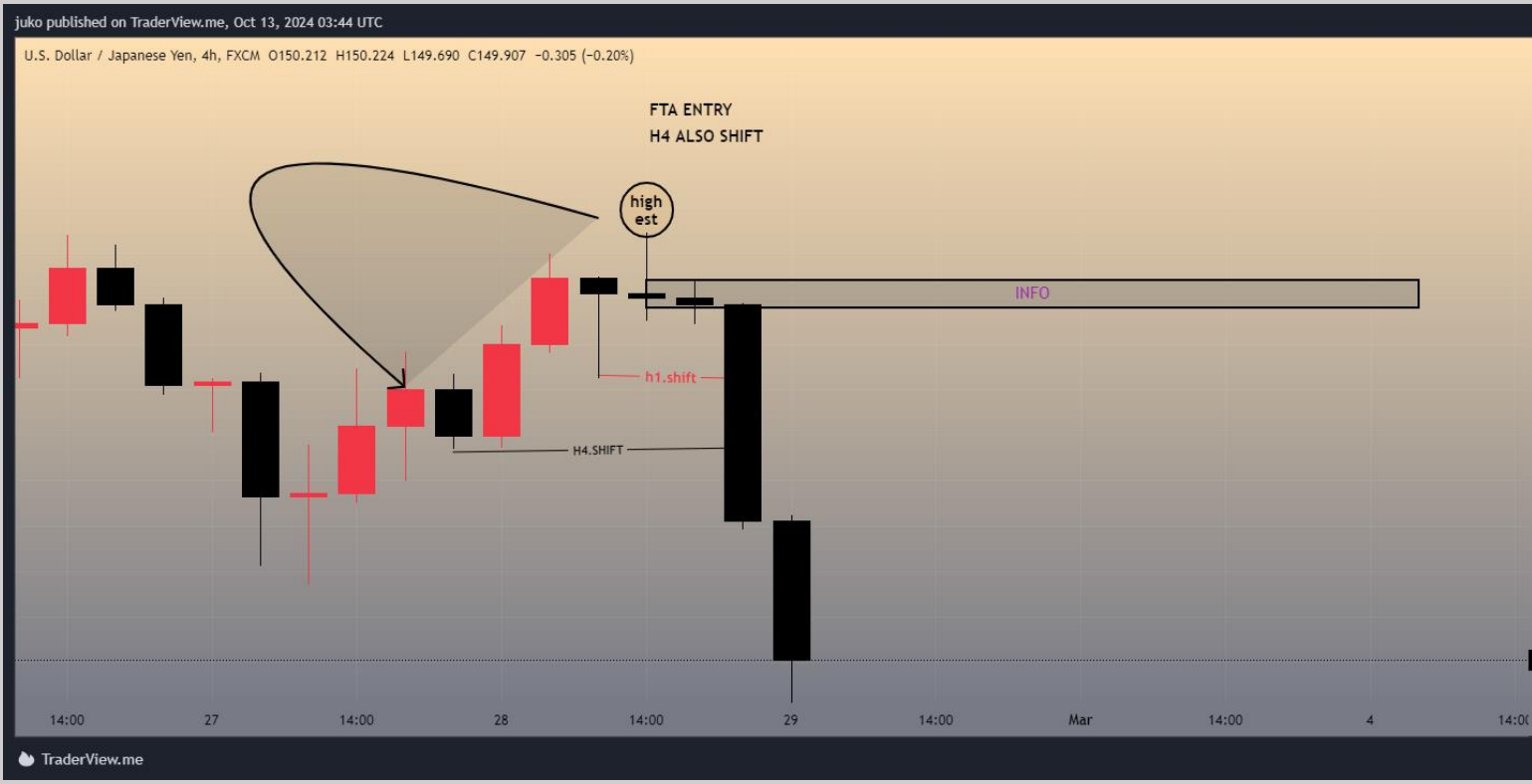
1. **Identify Market Shift in One Trading Cycle**: Start by analyzing a single trading cycle, such as the H1 timeframe. Look for a market shift that leaves a clear formation, indicating a potential entry point.
2. **Coordinate Timeframes**: Once the market shift is identified in the H1 timeframe, validate it by checking the higher timeframe (H4) for confirmation.
3. **Validate with FTA**: In the H4 timeframe, determine whether it has also shifted or if it only made a transition. If the H4 confirms the shift, it validates the H1 formation, leading to a higher probability trade. If the H4 is only transitioning without a full shift, caution is advised.



1: spot shift in one timeframe (H1) and mark formation left



2spot shift also in its fta timeframe by just check transition then we will be confirm using of original timeframe formation



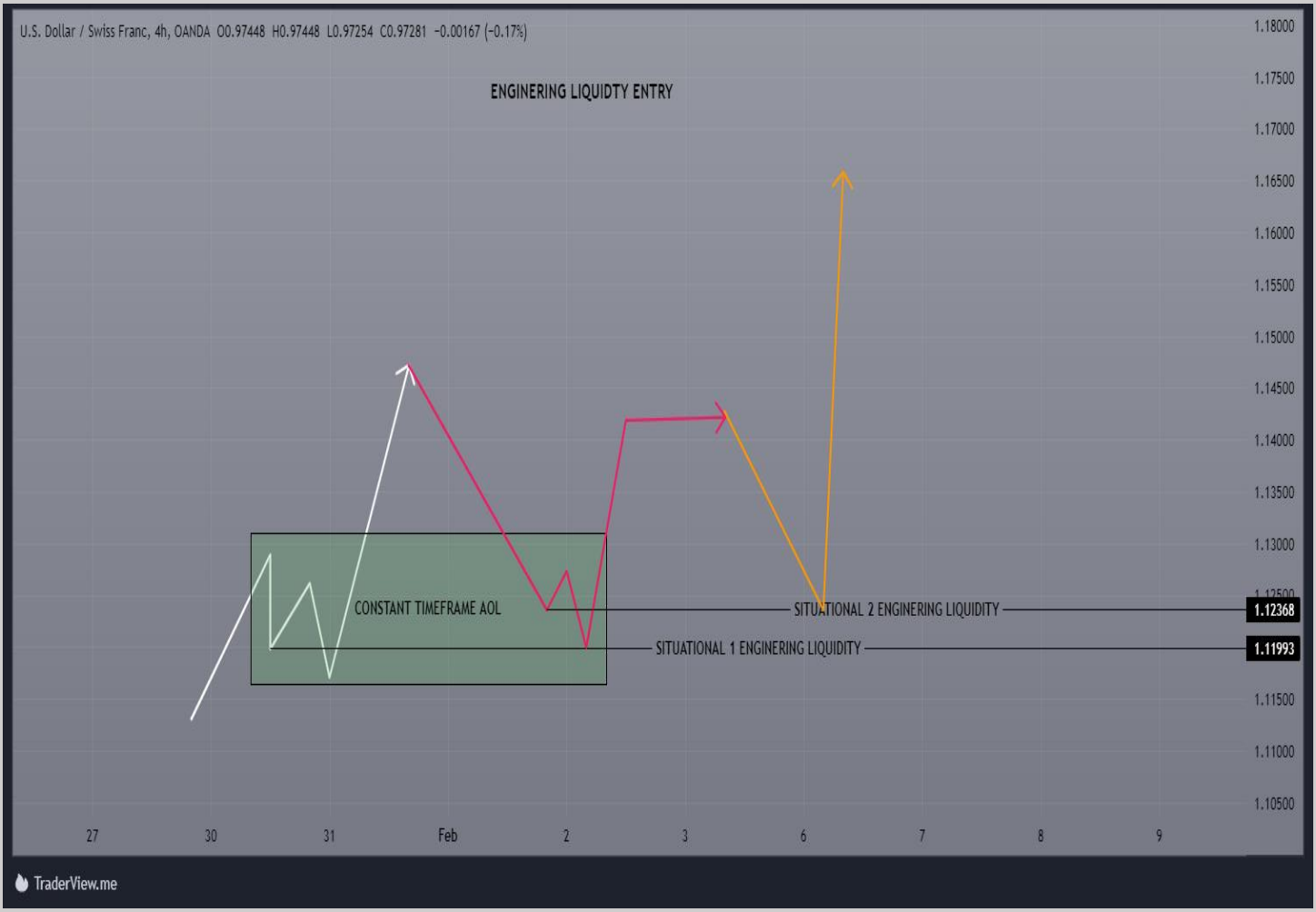
3: find entry as usually



Liquidity Engineering Entry Module

This module involves spotting liquidity from the constant timeframe and using liquidity engineering to confirm entries through multiple situational timeframes. The steps are as follows:

1. **Spot Liquidity from Constant Timeframe**: Begin by identifying areas of liquidity on the constant timeframe (such as the daily or weekly). These levels serve as key areas for potential price movement.
2. **Move to Situational Timeframe 1**: Transition to the first situational timeframe (e.g., H4) that is in coordination with the constant timeframe. Look for liquidity engineering near the invalidation zone—where price may reject or reverse.
3. **Wait for Market to Tap Liquidity**: After the market taps into the identified liquidity in Situational Timeframe 1, wait for a reaction or confirmation.
4. **Move to Situational Timeframe 2**: Once the liquidity is tapped in the first situational timeframe, move to a lower situational timeframe (e.g., H1) to look for further liquidity engineering. This second level confirms that liquidity has been consumed or re-engineered.
5. **Take Confirmed Entry**: After identifying liquidity engineering across both situational timeframes, take a confirmed entry based on the reactions near the liquidity zones. This layered confirmation provides higher probability for the trade.



Spot Liquidity from Constant Timeframe:



Move to Situational Timeframe 1



Wait for Market to Tap Liquidity and move to situational 2 for entry



Repeat same steps







Repeat same steps

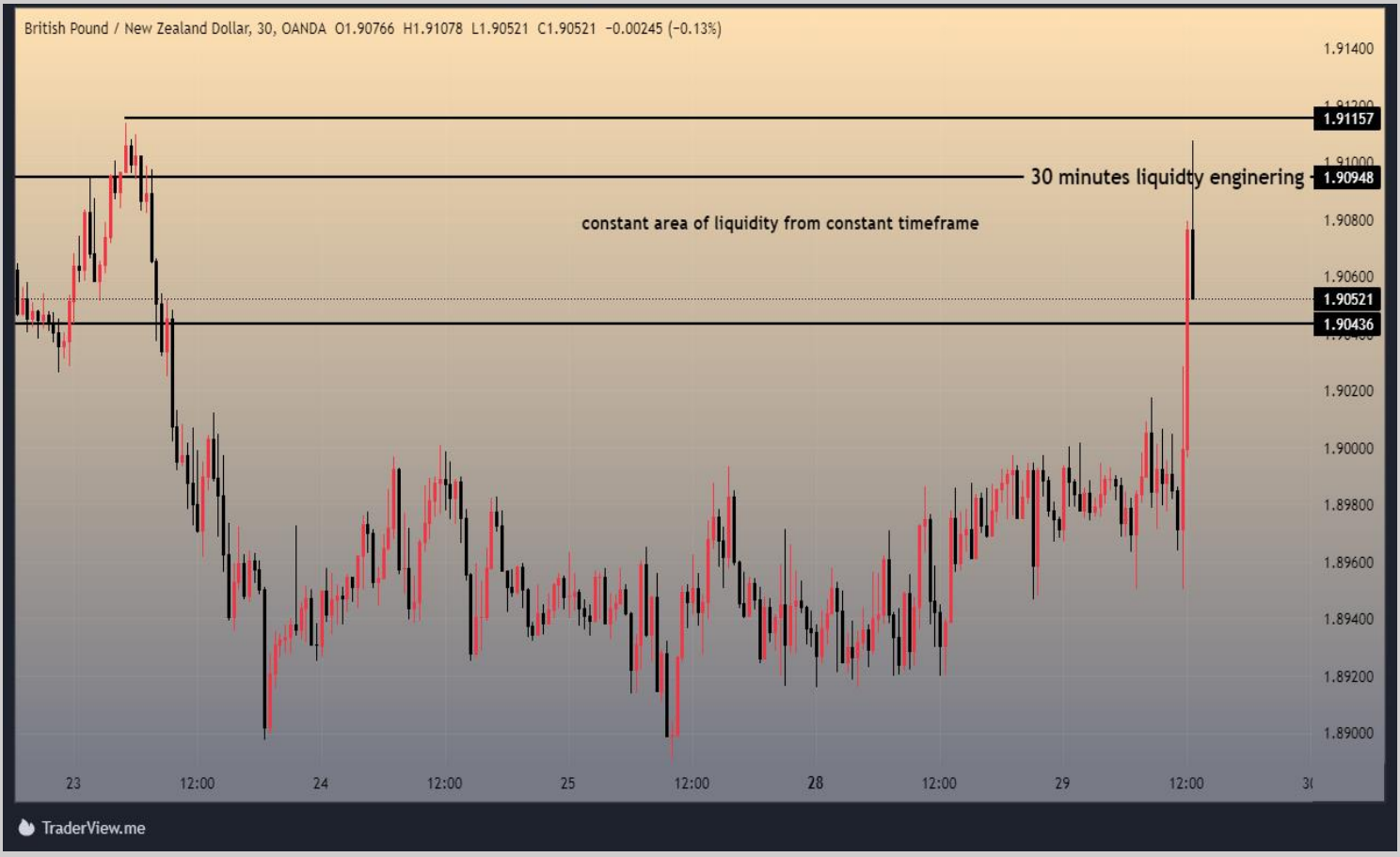



Euro / British Pound, 1D, FXCM O0.85852 H0.85909 L0.85396 C0.85397 −0.00455 (−0.53%)
daily liquidity engineering
0.86567
0.85976
0.85397
0.84564
0.87500
0.87000
0.85500
0.85000
0.84000
0.83500
Jul
Aug
Sep
Oct
Nov
Dec
2022
Feb
Mar
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Euro / British Pound, 1h, FXCM O0.85044 H0.85088 L0.84907 C0.84989 −0.00055 (−0.06%)
daily liquidity engineering
h1 liquidity engineering
after tap daily l.e
market enginer another
l.e
0.85977
0.85976
0.85882
0.85879
0.84989
0.84776
0.84564
0.86100
0.85800
0.85700
0.85600
0.85500
0.85400
0.85300
0.85200
0.85100
0.84900
0.84700
0.84600
0.84500
29
Dec
12:00
6
8
12:00
13
15
12:00
20
22
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Repeat same steps






British Pound / New Zealand Dollar, 5, OANDA O1.88810 H1.88812 L1.88766 C1.88780 −0.00030 (−0.02%)
30 minutes liquidty enginering
5.min liquidity engineering
1.91400
1.91157
1.90948
1.90654
1.90552
1.90549
1.90436
1.90200
1.90000
1.89800
1.89600
1.89400
1.89200
1.89000
1.88780
1.88600
07:30
09:00
10:30
12:00
13:30
15:00
16:30
18:00
19:30
21:00
22:30
30
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Conclusion

As you reach the end of this book, it's important to remember that trading success doesn't happen overnight. The strategy and concepts shared here are the result of countless hours of study, observation, and experience in the market. While the tools and methods outlined can provide structure and clarity to your trading, the true key to mastery lies in **backtesting**.

Backtesting is essential for understanding how this strategy performs across different market conditions and timeframes. By consistently testing and refining your approach, you'll not only gain confidence in the strategy but also improve your ability to adapt to the ever-changing nature of the forex market. Take the time to backtest each concept, adjust where necessary, and track your progress closely.

Additionally, trading is an ongoing learning process. As you apply this strategy and encounter new challenges, questions will inevitably arise. To address this, I'm already planning a **second ebook** that will be based on the feedback, questions, and discussions that come from readers like you. Your input will shape the next step in this journey, ensuring we continue to evolve together as traders.

Thank you for taking this step with me, and I look forward to hearing your experiences and insights as you develop your own path to trading success.

APA STRATEGY & TRADING PHYSIOLOGY

Many forex books on the market hide critical information, leaving readers struggling without achieving real success. Despite paying for these books, nothing changes in how they view the market, and they often waste time without seeing results. This book is different. It brings a revolution, guiding you step by step through my trading system and its confirmations for taking trades.

Additionally, after each section, you can submit assignments to share your insights and progress. This feature allows you to engage with the material actively, helping you develop a solid trading career. No other book offers such a practical and interactive experience.

This book is not just about theory—it's about transforming how you approach the forex market, giving you the tools and feedback to succeed.

JM MAKER